



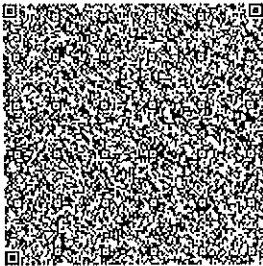
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## INDIA NON JUDICIAL

### Government of National Capital Territory of Delhi

#### e-Stamp

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|---------------------------|----------------------------------------|
| Certificate No.           | : IN-DL64080909793757M                 |
| Certificate Issued Date   | : 05-Jun-2014 03:36 PM                 |
| Account Reference         | : IMPACC (IV)/ dl776103/ DELHI/ DL-DLH |
| Unique Doc. Reference     | : SUBIN-DL77610325039296209373M        |
| Purchased by              | : JAWAHAR HEMRAJANI                    |
| Description of Document   | : Article Others                       |
| Property Description      | : Not Applicable                       |
| Consideration Price (Rs.) | : 0<br>(Zero)                          |
| First Party               | : JAWAHAR HEMRAJANI                    |
| Second Party              | : Not Applicable                       |
| Stamp Duty Paid By        | : JAWAHAR HEMRAJANI                    |
| Stamp Duty Amount(Rs.)    | : 100<br>(One Hundred only)            |



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This stamp paper forms an integral part of the Investment Agreement entered by and among Glass Wall Systems (India) Pvt. Ltd and IBEF II and IBEF-IIA and Mr. Jawahar Hemrajani and Mr. Kamlesh Choudhary and the Balance Shareholders dated 9th June, 2014.

*[Handwritten signatures]*

#### Statutory Alert:

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SECURITY COVER

**INVESTMENT AGREEMENT**

BY AND AMONG

**GLASSWALL SYSTEMS (INDIA) PRIVATE LIMITED**  
(as Company)

AND

**INDIA BUSINESS EXCELLENCE FUND II**  
(as IBEF II)

AND

**INDIA BUSINESS EXCELLENCE FUND - IIA**  
(as IBEF IIA)

AND

**MR. JAWAHAR HEMRAJANI**  
(as Jawahar)

AND

**MR. KAMLESH CHOUDHARI**  
(as Kamlesh)

AND

**Persons listed in SCHEDULE 1**  
(as Balance Shareholders)

Dated 9<sup>th</sup> June, 2014

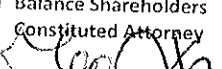
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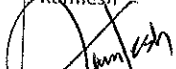
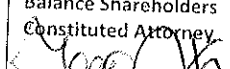
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## INVESTMENT AGREEMENT

This **INVESTMENT AGREEMENT** ("Agreement") executed at New Delhi on this 19<sup>th</sup> day of June, 2014 ("Execution Date"):

### BY AND AMONG:

- (1) **GLASS WALL SYSTEMS (INDIA) PVT. LTD.**, a private limited company incorporated in India under the provisions of the Companies Act, 1956, and having its registered office at 718/719, Corporate Centre, Nirmal Life Style, L.B.S Marg, Mulund (West), Mumbai-400080, acting through its office at 423, Sector - 8, IMT Manesar, Gurgaon. (hereinafter referred to as "Company", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors and permitted assigns);

AND

- (2) **IL&FS TRUST COMPANY LIMITED**, a public company incorporated under the provisions of the Companies Act, 1956 and having its registered office at the IL&FS Financial Centre, C-22, G Block, Bandra Kurla Complex, Bandra (East), Mumbai 400051, India acting in its capacity as trustee of **INDIA BUSINESS EXCELLENCE FUND II ("IBEF II")**, a unit scheme of Business Excellence Trust II, a trust created under the Indian Trust Act, 1882, acting through its investment manager, MOPE Investment Advisors (India) Private Limited, a company registered in India under the Companies Act, 1956 having its registered office at 8 Palm Spring Centre, 2<sup>nd</sup> Floor, Palm Court Complex, New Link Road, Malad (West), Mumbai 400064 (hereinafter referred to as "**IL&FS**", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors and assigns);

AND

- (3) **INDIA BUSINESS EXCELLENCE FUND - IIA**, a public limited company incorporated under the laws of Mauritius and having its office at Suite 304, Third Floor, NG Tower, Cyber City, Ebene, Mauritius (hereinafter referred to as "**IBEF IIA**", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include its successors and assigns)

AND

- (4) **MR. JAWAHAR HEMRAJANI**, an Indian citizen, aged 51 years, holding PAN AAAPH4147F and currently residing at 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703 (hereinafter referred to as "**Jawahar**", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include his heirs, executors, administrators and permitted assigns);

AND

- (5) **MR. KAMLESH CHOUDHARI**, an Indian citizen, aged 40 years, holding PAN AABPC0207C and currently residing at B / 2504, Avalon Heights, Hiranandani Complex, Near Lakecastle Building, Powai IIT, Mumbai-400076 (hereinafter referred to as "**Kamlesh**", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and

|         |          |         |         |         |                                              |
|---------|----------|---------|---------|---------|----------------------------------------------|
| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
|         |          |         |         |         |                                              |

include his heirs, executors, administrators and permitted assigns);

AND

- (5) The Persons listed in SCHEDULE 1, represented by their constituted attorney, Jawahar and/or Kamlesh (hereinafter collectively referred to as the "Balance Shareholders", which expression shall, unless it be repugnant to the context or meaning thereof, be deemed to mean and include their respective heirs, executors, administrators and permitted assigns);

Hereinafter, (a) Jawahar and Kamlesh shall be collectively referred to as "Promoters" and individually as "Promoter"; (b) IBEF II and IBEF IIA shall be collectively referred to as "Investors" and individually as "Investor"; (c) the Balance Shareholders shall be collectively referred to as "Confirming Parties" and individually as "Confirming Party"; and (d) the Investor, the Company, the Promoters and the Confirming Parties shall be collectively referred to as "Parties" and individually as the "Party".

WHEREAS:

- A. The Company is a private limited company engaged in the Business (as defined hereinafter).
- B. As on the Execution Date, the authorized share capital of the Company is Rs. 26,00,00,000/- (Rupees Twenty Six Crore only) divided into 2,05,00,000 (Two Crore Five Lakh) equity shares of par value of Rs. 10 (Rupees Ten only) each and 55,00,000 (Fifty Five Lakh) preference shares of par value of Rs. 10 (Rupees Ten only) each and the paid-up share capital of the Company is Rs. 14,98,36,400/- (Rupees Fourteen Crore Ninety Eight Thousand Thirty Six Thousand Four Hundred only) divided into 1,49,83,640 (One Crore Forty Nine Lakhs Eighty Three Thousand Six Hundred and Forty only) Equity Shares of Rs. 10 (Rupees Ten only) each. The shareholding pattern of the Company as at the Execution Date is more fully set out in Part A of SCHEDULE 2.
- C. The Company is desirous of raising monies for the purpose of further growth and expansion. Accordingly, the Company made a rights offer to the Promoters and the Balance Shareholders inviting them to subscribe to certain compulsorily convertible preference shares of the Company to be issued in two series. However, the Promoters and the Balance Shareholders have declined to accept the offer. Given the requirement of the Company for the raising monies, the board of directors of the Company offered the said compulsorily convertible preference shares to the Investors and the Investors agreed to subscribe to such compulsorily convertible preference shares on certain terms and conditions which are not detrimental to the interest of the Company and their Shareholders and such terms and conditions have been accepted by the Promoters and the Balance Shareholders. Pursuant to the above, the Investors have agreed to subscribe the compulsorily convertible preference shares of the Company on certain terms and conditions which were accepted by the Promoters and the Balance Shareholders.
- D. Pursuant to discussions and negotiations with the Company and the Promoters and in consideration of and by placing reliance on the representations, covenants, warranties and indemnities made and provided by the Promoters and the Company and representation by the Balance Shareholders under the Transaction Documents (as defined hereinafter), the Investors have agreed to:

|         |          |         |         |         |                                              |
|---------|----------|---------|---------|---------|----------------------------------------------|
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|         |          |         |         |         |                                              |

- (a) subscribe to the Investor Subscription Securities (as defined hereinafter) by payment of the Subscription Amount (as defined hereinafter) to the Company; and
- (b) purchase the Investor Purchase Shares (as defined hereinafter) by payment of the Purchase Amount (as defined hereinafter) to the Selling Shareholders (as defined hereinafter);
- E. The Company has agreed to issue and allot the Investor Subscription Securities to the Investor, in accordance with the terms and conditions set out in this Agreement. The Selling Shareholders have agreed to sell the Investor Purchase Shares to the Investors, in accordance with the terms and conditions set out in this Agreement.
- F. Pursuant to the above, the Parties are desirous of entering into this Agreement to govern the terms and conditions relating to the issue and allotment of the Investor Subscription Securities, purchase and sale of Investor Purchase Shares and in order to define their mutual rights and obligations and set out the terms and conditions governing their relationship as the shareholders of the Company, *inter se*, as well as with the Company, and the management of the Company.

**IN CONSIDERATION OF THE MUTUAL COVENANTS AND AGREEMENTS SET FORTH HEREIN AND FOR OTHER GOOD AND VALUABLE CONSIDERATION, THE RECEIPT AND SUFFICIENCY OF WHICH IS HEREBY ACKNOWLEDGED, THE PARTIES HERETO AGREE AS FOLLOWS:**

## 1. DEFINITIONS AND INTERPRETATION

### 1.1 Definitions

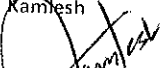
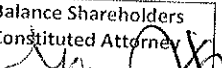
In this Agreement, the following terms, to the extent not inconsistent with the context thereof, shall have the following meanings assigned to them herein below:

"Act" means the Companies Act, 1956 or the Companies Act, 2013 (as applicable) and any amendment thereto or any other re-enactment thereof.

"Affiliate(s)" means:

- (i) with respect to any Person other than a natural Person, any other Person that is directly or indirectly, through one or more intermediate Persons, Controlling, Controlled by, or under common Control of such Person and any investment funds managed or advised by such specified Person; and
- (ii) with respect to any natural Person, (i) any other Person that is a Close Relative of such Person, and (ii) any Person that is directly or indirectly, through one or more intermediate Persons, Controlled by such Person;

*provided that with respect to the Investors the term 'Affiliate' shall also include any pooled investment fund(s) and/or juristic entity managed by the same manager, managing member, limited partner/investors of pooled investment fund(s) of IBEF II and/or IBEF IIA, general partner or management company or by an entity Controlling, Controlled by, or under common Control with such manager, managing member, general partner or management*

|                                                                                                |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
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company.

"Ancillary Entities" means the entities set out in Schedule 17 hereto.

"Articles" means the articles of association of the Company, as amended from time to time.

"Assets" means assets or properties (whether immovable, movable, tangible, intangible, absolute, accrued or fixed), including cash, cash equivalents, receivables, real estate, plant and machinery, equipment, Intellectual Property rights, raw materials, inventory, furniture, and fixtures.

"Anti-Corruption Legislations" means the Prevention of Corruption Act, 1988, the Prevention of Money Laundering Act, 2002 and any other anti-corruption Laws applicable, where the Company does business including any rules and regulations formed there under from time to time;

"Authorisation" means any consent, registration, filing, notarization, certificate, license, approval, permit, authority, no-objections or exemption from, by or with any Governmental Authority, whether given by express action or deemed given by failure to act within any specified time period and all lenders', corporate, creditors' and shareholders' approvals or consents, including any of the aforementioned which may be required with respect to the Business.

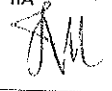
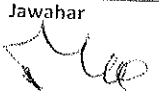
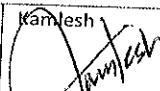
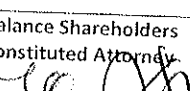
"Big Four Accounting Firms" means any of KPMG, PricewaterhouseCoopers, Deloitte & Touche Tohmatsu or Ernst & Young and/ or their affiliated or associate firms permitted to practice in India.

"Board" means the board of Directors of the Company.

"Business" means providing complete solutions, whether by way of, *individually and/or collectively*, design, engineering, manufacture, trading, supply, erection and commissioning in architectural facade and glass wall curtain systems including but not limited to building envelopes, aluminium doors and windows, all types of railings, glass partitions whether indoors or outdoors, fabrication of aluminium profiles, powder coating, painting, all types of glass glazing, aluminium composite panel, stone cladding or cladding by way of using any material, designing, fabrication, installation of any type of glass or metal structures like bridges, pathways, canopies, skylights.

"Business Day" means a day on which scheduled commercial banks are open for normal banking business in Mumbai, India and Port Louis, Mauritius.

"Business Plan" means the annual detailed business and financing plan of the Company prepared by the Company and the Promoters and approved by the Investors in accordance with this Agreement, which includes the annual budget, comprising a projected profit and loss account, a projected balance sheet and projected cash flow statements, projected revenues, projected costs, projected operating and projected capital expenditures, and projected financing requirements, amount and timing of debt financing, if any, the current and future business strategy, project details including but not limited to project cost and project financial statements, for the on-going Financial Year, and as may be amended from

|                                                                                                |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Kamlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
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time to time in accordance with the terms of this Agreement.

"CCPS Series 1" means cumulative compulsorily convertible participating preference shares of the Company of series 1, having a face value of Rs. 10 (Rupees Ten Only) each, terms and conditions of which are contained in **Schedule 10**.

"CCPS Series 2" means cumulative compulsorily convertible participating preference shares of the Company or series 2, having a face value of Rs. 10 (Rupees Ten Only) each, terms and conditions of which are contained in **Schedule 11**.

"CFO" means the chief financial officer of the Company or any Person of whatsoever designation performing the functions of a chief financial officer, who is primarily responsible for the upkeep and management of accounts, management information system and cash flows of the Company and who is appointed in accordance with this Agreement;

"Close Relatives" means parents, spouse, son, daughter and their respective spouses;

"Closing" means the complete consummation of each of the transactions and actions by each of the Parties concerned, as contemplated in Clause 5.3 of this Agreement.

"Closing Date" shall have the meaning ascribed to the term in Clause 3.2(f).

"Competitor" means any Person engaged in the Business, any supplier of the Company and any real estate developer.

"Conditions Precedent" means the conditions precedent mentioned in Clause 3.1 of this Agreement.

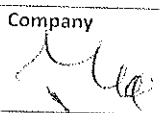
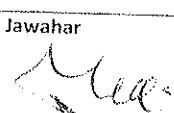
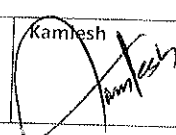
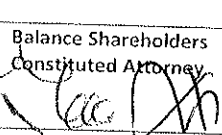
"Confidential Material" shall have the meaning ascribed to the term under Clause 22.1 of this Agreement.

"Contingent Liability(ies)" means (a) a possible obligation from past events that will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Person; or (b) a present obligation from past events but which is not recognized because (i) it is not probable that an outflow of resources will be required to settle the obligation; or (ii) the obligation cannot be measured reliably.

"Control", with respect to a Person, includes the right to appoint majority of the directors or to control the management or policy decisions of such Person exercisable by a Person or Persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or in any other manner and includes, without prejudice to the generality of the foregoing, the ownership, directly or indirectly, of more than 26% of the voting rights of such Person.

"Deed of Adherence" means the deed of adherence in the form set out in **Schedule 8**.

"Default Notice" shall have the meaning ascribed to the term under Clause 18.2(b) of this Agreement.

|                                                                                    |                                                                                     |                                                                                     |                                                                                     |                                                                                      |                                                                                       |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| IBEF II                                                                            | IBEF IIA                                                                            | Company                                                                             | Jawahar                                                                             | Kamlesh                                                                              | Balance Shareholders<br>Constituted Attorney                                          |
|  |  |  |  |  |  |

"Director" means a director of the Company and any alternate of such director appointed in accordance with the Act, this Agreement and the Articles.

"Disclosed" means any information which is truly, accurately, completely and specifically disclosed, in the Disclosure Schedule and/or the Updated Disclosure Schedule and/or this Agreement.

"Disclosure Schedule" means the disclosures and qualifications made by the Company and/or the Promoters, as the case may be, in the format set out in Schedule 6, qualifying specific and identified Representations and Warranties on the Execution Date. It is clarified that references to the Disclosure Schedule shall include the Updated Disclosure Schedule, as the context may require.

"Dividend Policy" shall mean the dividend policy as provided in Schedule 13 hereto.

"Execution Date" shall have the meaning ascribed to it in the preamble to this Agreement;

"Encumbrance" means any encumbrance including, without limitation, any security interest, claim, mortgage, pledge, charge, hypothecation, deed of trust, lien, deposit by way of security, bill of sale, assignment, option or right of pre-emption, attachment of Assets, beneficial ownership (including usufruct and similar entitlements), any provisional or executory attachment, or any other type of preferential arrangement, privilege or priority of any kind having the effect of security or other such obligations, any designation of loss payees or beneficiaries or any similar arrangement under any insurance policy, any conditional sale or other title retention agreement or any lease in the nature thereof and any other interest held by a third party or a contract to give or refrain from giving any of the foregoing, any encumbrance, including any restriction imposed under any contract (other than this Agreement) on the transferability of the Securities.

"Equity Shares" mean the fully paid up equity shares of the Company, each having a face value of Rs. 10 (Rupees Ten Only).

"ESOP Plan" shall have the meaning ascribed to the term under Clause 13.5(a) of this Agreement.

"Event of Default" shall have the meaning ascribed to the term under Clause 18.1 of this Agreement.

"Financial Year" means the period commencing on 1<sup>st</sup> of April of a year and ending on the 31<sup>st</sup> day of March of the following year.

"Financial Investors" shall mean (a) any Person who is not a Competitor (b) any Person engaged in the business of investing, buying and selling securities; (c) any asset management companies, private equity/venture capital entities (incorporated as limited liability partnerships, trusts or companies), mutual funds, hedge funds, proprietary funds, financial institutions, banks (nationalised or otherwise and domestic or international), foreign institutional investors or any Person who provides equity or quasi equity funding, debt, guarantees, etc. or a combination of the above; (d) investment companies controlled directly or indirectly, by Persons referred to in, (b) and (c) above. It is clarified that the

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| IBEF II | IBEF IIA | Company | Jawahar | Ramlesh | Balance Shareholders<br>Constituted Attorney |
|         |          |         |         |         |                                              |

following shall not be considered to be 'Financial Investors': (i) any Person where information exists in the public domain that such Person intends to enter into Business and (ii) any person with reputational risk to the Business.

For the purpose of this definition "Financial Investor of reputational risk" shall mean where such Financial Investor or its promoters are in the negative list of International Financial Corporation ("IFC") or where such Financial Investor or its promoters have been convicted of (and no appeal is pending and stayed against such conviction) any criminal offence (other than a traffic violation or similar offense). In the event, where such Financial Investor or its promoter are a Financial Investor of reputational risk as per this definition and the Investors are still desirous of transferring Investor Securities to such Financial Investor and in the event the Promoters disagree to such transfer, the Parties shall refer the said matter to the President of the Institute of Chartered Accountants of India (or any substitute thereof) ("Expert") for assessing the reputational risk of such Financial Investor. The decision of Expert on the matter shall be binding on the Parties.

"FMV" means fair market value which shall be determined by one of the Big Four Accounting Firm, mutually agreed upon between the Investors and Promoters. The FMV shall be calculated on a going concern basis and shall take into account the discounted cash flow valuation, valuation multiple in comparable transactions, strategic transactions and trading multiples of listed peers and shall be calculated in accordance with the principles of Indian GAAP. Where the FMV is being determined pursuant to any notice by the Investor provided under the terms of this Agreement, or is consequent to any breach by the Promoters and/ or Company, whether such FMV shall be determined as on the date of the notice or date of the said breach shall be decided at the option of the Investors.

"Force Majeure" or "Force Majeure Event" means the occurrence of an act of God, epidemic, lightning, earthquake, landslide, cyclone, flood, volcanic eruption, chemical or radioactive contamination or ionising radiation, fire or explosion, an act of war (whether declared or undeclared), invasion, armed conflict or act of foreign enemy, blockade, embargo, riot, insurrection, terrorist or military action, civil commotion or politically motivated sabotage, industry-wide or state-wide strikes or industrial action or any other event which is beyond reasonable control of any Party;

"Fully Diluted Basis" means, with respect to calculation of the equity shareholding ownership in the Company calculated at the relevant point in time if required under this Agreement and that such calculation should be made assuming that all Share Equivalents outstanding on the day such calculation is required to be made, have been converted in terms of Schedule 10 and Schedule 11 to this Agreement, exercised or exchanged (as the case may be).

"Fundamental Representations and Warranties" shall mean the representations and warranties set out in Clauses 2.1, 3.1, 4.1 4.2, 4.3, 6.1 of Schedule 5 Part A and Clauses 1.1, 1.2, 2.1 of Schedule 5 Part B

"GAAP" means generally accepted accounting principles in India, notified by the appropriate Governmental Authority under the Act.

"Governmental Authority" means any government (foreign domestic, territorial, state, municipal or local), or any governmental, non-governmental, legislative, executive,

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administrative, fiscal, judicial, quasi-judicial or regulatory authority, government-owned or government-controlled (in whole or in part) enterprise, body, board, bureau, ministry, department, commission, court, tribunal, agency, instrumentality or other Person exercising legislative, executive, administrative, fiscal, judicial or regulatory functions (including planning authorities, mediators or arbitrators of competent jurisdiction), having jurisdiction over the matter in question, and includes any such authority having jurisdiction over or responsibility with respect to, the administration, assessment, determination, collection or imposition of any Tax, the Securities and Exchange Board of India and the RBI.

**"Indebtedness"** of any Person, means all obligations of such Person: (a) for borrowed money, (b) evidenced by notes, bonds, debentures or such similar instruments, (c) for the deferred purchase price of goods or services (other than trade payables or accruals incurred in the Ordinary Course of Business), (d) under capital leases; and (e) in the nature of guarantees of the obligations described in items (a) through (d) above of any other Person.

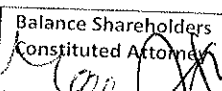
**"Independent Director(s)"** shall have the meaning ascribed to the term under Clause 7.1(b) of this Agreement.

**"Insolvency Event"** means any of the following events, in respect of any Party:

- (a) any corporate action, legal proceedings or other procedure or step is taken or notice is given and received in relation to:
  - (i) winding-up, dissolution or administration (by way of voluntary arrangement, scheme of arrangement or otherwise) of the relevant Party; or
  - (ii) a composition, assignment or arrangement with any creditors of the relevant Party due to any debt restructuring exercise; or
  - (iii) the appointment of a provisional liquidator, a liquidator, receiver, or other similar officer in respect of the relevant Party or in respect of its substantial assets, who is not removed within a period of 120 (one hundred and twenty) days of such appointment; or
  - (iv) enforcement of any security over any assets of the relevant Party, which has not been stayed or withdrawn within a period of 120 (one hundred and twenty) days of such appointment.
  - (v) Relevant party becomes sick or declared as sick under applicable Law.

**"Integrity Requirements"** means the integrity-related obligations (including but not limited to, obligations) related to AML/CFT, "know-your-customer" and fraud, corruption and Sanctionable Practices of the Company under (a) applicable Law and relevant codes of conduct and similar requirements, rules and codes conduct issued by industry self-regulatory organizations and similar trade associations, (b) Clause 8.1 and (c) Schedule 14.

**"Intellectual Property"** means all of the following anywhere in the world and all legal rights, title or interest in, under or in respect of the following arising under Law, whether or not filed, perfected, registered or recorded and whether now or later existing, filed, issued or acquired, including all renewals: (a) all national, regional and international patents, patent applications, patent disclosures, and all related re-issues, re-examinations, divisions, revisions, restorations, renewals, extensions, provisionals, continuations and continuations in part; (b) all copyrights, copyright registrations and copyright applications, copyrightable works and all other corresponding rights; (c) all mask works, mask work registrations and

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mask work applications; (d) all trademarks; (e) all inventions (whether patentable, patented or un-patentable and whether or not reduced to practice, any said patents, including any extensions, reissues, re-examinations, renewals, divisions, continuations, continuations-in-part, or design patents); (f) know-how, including technical know-how, process know-how, technology, technical data, trade secrets, confidential business information, manufacturing and production processes and techniques, clinical data and protocols, research and development information (including all research and development data, experimental and project plans), advertising and promotional materials, customer, distributor, third party manufacturer and supplier lists and information, correspondence, records, and other documentation, and other proprietary documentation and information of every kind; (g) all databases, data collections and data exclusivity; and (h) all other proprietary rights; including the right to sue for past, present or future infringement, misappropriation or dilution of any of the foregoing.

**"Investment Amount"** means aggregate of the Subscription Amount and the Purchase Amount, or any further amount invested by the Investors from time to time.

**"Investor Director(s)"** shall have the meaning ascribed to the term under Clause 7.1(a)(i) of this Agreement.

**"IRR"** means the discount rate expressed as an annual percentage rate, which when applied to any cash flows, results in a net present value of zero on those cash flows taking into account the date and amounts of such cash flows. While calculating the IRR, the coupon received by the Investors and any dividend declared by the Company would also be taken into consideration to adjust the calculation of IRR.

**"Investor Per Share Price"** means the total amount paid by the Investor for purchase of/subscription to the Investor Securities divided by the number of Equity Shares held by the Investor (on a Fully Diluted Basis) at the time of computation.

**"Investor Purchase Shares"** means an aggregate of 16,19,854 (Sixteen Lakh Nineteen Thousand Eight Hundred Fifty Four) fully paid up Equity Shares being purchased by the Investors, comprising 10,52,904 (Ten Lakh Fifty Two Thousand Nine Hundred Four) Equity Shares by IBEF II and 5,66,950 (Five Lakh Sixty Six Thousand Nine Hundred Fifty) Equity Shares by IBEF IIA, from the Selling Shareholders pursuant to and in accordance with the terms of this Agreement.

**"Investor Securities"** means collectively the Investor Subscription Securities and the Investor Purchase Shares and other Securities, which are issued to the Investors upon conversion of Investors Subscription Securities, any stock split, consolidation, bonus securities or issuance of fresh securities against the Investors Subscription Securities and Investor Purchase Shares due to mergers, amalgamation and reorganisation of the Company held by the Investors from time to time, and shall also include any Equity Shares acquired by the Investors in accordance with Clause 12.3 (b) and Clause 24.1.

**"Investor Subscription Securities"** means the aggregate of

(a) 8,00,000 (Eight Lakh) CCPS Series 1 being subscribed to by IBEF II at Rs. 100 (Rupees One Hundred only) each comprising of face value of Rs. 10 (Rupees Ten only) and premium of Rs. 90 (Rupees Ninety only) pursuant to and in accordance with the

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- terms of this Agreement; and
- (b) 47,00,000 (Forty Seven Lakh) CCPS Series 2 being subscribed to by IBEF IIA at Rs. 100 (Rupees One Hundred only) each comprising of face value of Rs. 10 (Rupees Ten only) and premium of Rs. 90 (Rupees Ninety only) pursuant to and in accordance with the terms of this Agreement.

"Investor Tag-Along Right" shall have the meaning ascribed to the term under Clause 12.4(a) of this Agreement.

"IPO" means closing of an underwritten initial public offering of the Equity Shares by the Company (whether by a fresh issue, or a sale of the existing Equity Shares or a combination of both), pursuant to which the Equity Shares are listed on a Stock Exchange, in which at least the minimum number of shares mandatory under the listing requirements are sold / issued to the public, in compliance with all applicable Laws and pursuant to Clause 17.2 of this Agreement.

"Key Management Person" means heads of following departments (i) design, (ii) contracts and (iii) marketing, the chief executive officer, the CFO and chief operating officer of the Company (by whatever name called) appointed from time to time and any other officer of the Company as may be designated as a 'Key Management Person' by the Board from time to time.

"Law" means and includes any statute, law, bye-law, enactment, regulation, ordinance, policy, treaty, rule, notification, direction, directive, guideline, requirement, license, rule of common law, order, decree, judgment, or any restriction or condition including any similar form of decision of, or determination, application or execution by, or interpretation or pronouncement having the force of law of, any Governmental Authority having jurisdiction over the matter in question.

"Liabilities" means all indebtedness, obligations, Contingent Liabilities and other liabilities of a Person including any obligation to pay Tax (whether absolute, accrued, fixed, or otherwise, or whether due or to become due).

"Loss" means actual and direct (i) losses, Liabilities, damages, diminution in value, fines, interest, penalties and (ii) Taxes or any other costs and penalty (whether the foregoing arise out of third-party claims or not and whether or not pursuant to any pronouncements, orders and/or decrees by any Governmental Authority) including, reasonable attorneys' fees and expenses and all amounts paid in investigation, defence or settlement of any of the foregoing but excluding all punitive or indirect damages.

"Lock In Period" shall have the meaning ascribed to the term under Clause 12.3(a) of this Agreement.

"Long Stop Date" shall have the meaning ascribed to the term under Clause 3.2(a) of this Agreement.

"Material Adverse Change" means any event, occurrence, fact, condition, change, development or effect that, individually or in the aggregate, has caused or is likely to cause a material adverse change in:

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- (i) the Assets, Business, properties, Liabilities, financial condition, results, operations or prospects of the Company (i.e. having a financial impact of Rs. 5,00,00,000 (Rupees Five crores or more);

For the avoidance of doubt it is clarified that where the any event, occurrence, fact, condition, change, development or effect that, individually or in the aggregate, has caused or is likely to cause a material adverse change which cannot be quantified in terms of money then the said limit of Rs. 5,00,00,000 (Rupees Five Crores or more) will not apply.

- (ii) the ability of the Company and/or the Promoters to: (i) perform their respective obligations; or (ii) consummate the transactions contemplated, under the Transaction Documents; and
- (iii) validity and enforceability of the Transaction Documents or the rights or remedies of the Investors therein or the transactions contemplated therein.

"Memorandum" means the memorandum of association of the Company as amended from time to time.

"Ordinary Course of Business" means the ordinary course of business of the Company consistent with past custom and practice, to the extent consistent with applicable Law; *provided that* a series of related transactions which taken together is not in the Ordinary Course of Business shall in each case individually also be deemed not to be in the Ordinary Course of Business.

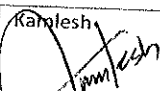
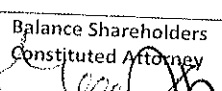
"ODP" means a detailed organisational development plan of the Company acceptable to the Promoters and the Investors, to be prepared by the Company, and which shall provide for the following in detail:

- HR manual
- Performance measurement systems
- Balanced Scorecard including KRA, KPI and job responsibilities
- Incentive and compensation policies
- Training & development plan
- Induction module
- 360 degree feedback mechanism

"PAT" or "Profit-after-tax" means consolidated net earnings of the Company, for the year ending on March 31 of the applicable Financial Year computed as per Indian GAAP and as audited by the statutory auditors of the Company subject to the adjustments being made to the PAT for the purpose of this Agreement as detailed in schedule 14;

"Permitted Transfer" shall have the meaning ascribed to the term under Clause 12.3(b) of this Agreement.

"Person(s)" means any person (including a natural person), trust, Hindu undivided family (HUF), firm, trade union, company, corporation, Governmental Authority, state or agency of a state or any association or partnership (whether or not having separate legal personality) of two or more of the foregoing.

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"Potential Investor" shall have the meaning ascribed to the term under Clause 13.4(a) of this Agreement.

"Post Money Equity Valuation" shall mean Pre Money Equity Valuation plus the Subscription Amount.

"Power of Attorney" shall mean the power of attorney(s) provided by the Balance Shareholders in favour of Jawahar and Kamlesh, authorising Jawahar and Kamlesh to act on behalf of the Balance Shareholders in respect of the transactions proposed under this Agreement.

"Pre Money Equity Valuation" shall mean deemed pre money valuation as specified in clause 4 (c) of Schedule 10 or clause 4 (c) of Schedule 11 to this Agreement, as determined from time to time.

"Promoter Director(s)" shall have the meaning ascribed to the term under Clause 7.1(a)(ii) of this Agreement.

"Promoter Group" shall mean the Promoters and the Balance Shareholders.

"Purchase Amount" means a sum of Rs. 20,00,00,000/- (Rupees Twenty Crores Only) being the aggregate purchase price payable by the Investors to the Selling Shareholders for purchasing the Investor Purchase Shares in accordance with the terms of this Agreement.

"RBI" means the Reserve Bank of India.

"Registrar of Companies" means the registrar of companies having jurisdiction in the area where the registered office of the Company is situated.

"Related Party" (i) with respect to any individual, means: (a) the Relatives of such individual, (b) entities Controlled by such individual and/or his Relatives, either individually or jointly, and (c) directors and Affiliates of the entities referred to in (b), and (ii) with respect to any company, shall have the meaning ascribed to the term in the Act.

"Related Party Policy" means the policy as approved by the Investors and adopted by the Board.

"Relative" shall have the meaning assigned to the term in the Act.

"Representations and Warranties" means the representations and warranties by the Company and/or the Promoters made under this Agreement and as specifically set out in Clause 6 and Schedule 5.

"Reserved Matter Items" shall have the meaning ascribed to the term under Clause 7.6(a) of this Agreement.

"Restated Articles" means the restated and amended Articles incorporating the provisions of this Agreement in Agreed Form.

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"Sanctionable Practice" means any Corrupt Practice, Fraudulent Practice, Coercive Practice, Collusive Practice, or Obstructive Practice, as those terms are defined in and interpreted in accordance with the Anti-Corruption Guidelines as mentioned in **Schedule 14** hereof.

"Securities" means the Shares and Share Equivalents and shall include the Investor Purchase Shares and Investor Subscription Securities.

"Selling Shareholders" shall mean Mr. Kamlesh Choudhari, Mr. Eshan Hemrajani and Mr. Amit Hemrajani.

"Share capital" means all of the issued and paid up Shares.

"Share Equivalents" means preference shares, debentures, bonds, loans, warrants, options, depositary receipts, debt securities, loan stock, notes, or any other instruments, securities or certificates which are convertible into or exercisable or exchangeable for, or which carry a right to subscribe to or purchase, or which represent or bestow any beneficial ownership / interest in, the Equity Shares.

"Shareholder" means any Person who holds any Shares.

"Shares" means preference shares of the Company and/or Equity Shares.

"Specific Properties" means the owned properties of the Company listed in Schedule 16.

"Stock Exchange" means the Bombay Stock Exchange Limited, the National Stock Exchange of India Limited (including, in each case, any successor thereto) and/or any other recognised stock exchange (domestic or international) as may be mutually acceptable to the Investors and the Promoters and the Company.

"Subscription Amount" means a sum of Rs. 55,00,00,000/- (Rupees Fifty Five Crores Only) being the aggregate subscription amount payable by the Investors to the Company for subscribing to the Investor Subscription Securities in accordance with the terms of this Agreement.

"Taxes" means (i) any direct or indirect taxes including excise duties, stamp duties, customs duties, service tax, value added tax, sales tax, local taxes, cess, and (ii) all forms of deductions, withholdings, duties, imposts, levies, fees or other charges or taxes of a similar nature charged/levied by any Governmental Authority (including any penalty or costs or charges or interest payable in connection with any failure to pay the same), whether levied, collected, withheld or assessed.

"Threshold Price" means, in relation to any Share,

- (a) if the Share is a Share Equivalent, effective price per Shares upon conversion at which such Security is issued as divided by the number of Equity Shares issued upon conversion, exercise or exchange (as the case may be) of such Share Equivalent at the time of computation; and
- (b) if the Share is not a Share Equivalent, the price at which such Shares are issued.

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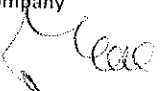
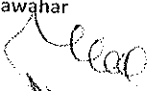
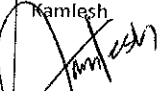
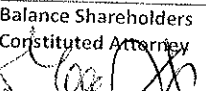
"Transaction Documents" means a collective reference to this Agreement, the Restated Articles and all other deeds and documents executed by the Parties to give effect to the transactions contemplated under the Agreement.

"Transfer" means to sell, gift, exchange, give, assign, transfer any interest in trust, alienate, Encumber, amalgamate, merge or suffer to exist (whether by operation of Law or otherwise) any Encumbrance on, or otherwise dispose of in any manner whatsoever, voluntarily or involuntarily, but shall not include transfers by way of testamentary or Intestate successions, and the term "Transferred" shall have a meaning correlative to the foregoing. The term "Transfer", when used as a noun, shall have a correlative meaning.

"Updated Disclosure Schedule" means the disclosures and qualifications made by the Company and/or the Promoters, as the case may be, in the format set out in Schedule 6, qualifying specific and identified Representations and Warranties on the Closing Date with respect to actions/events between the Execution Date and the Closing Date.

## 1.2 Interpretation

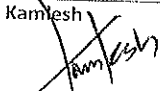
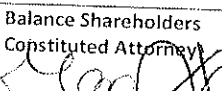
- (i) All references in this Agreement to statutory provisions shall be construed as meaning and including references to:
  - (A) any statutory modification, consolidation or re-enactment (after the date of this Agreement) for the time being in force;
  - (B) all delegated legislation made pursuant to a statutory provision; and
  - (C) any statutory provisions of which these statutory provisions are a consolidation, re-enactment or modification.
- (ii) References to "Clauses", "Schedules", "Annexures", "Recitals" and "Preamble" shall be to clauses or schedules or recitals or preamble or annexures of this Agreement.
- (iii) The Schedules attached hereto are incorporated in and are intended to be a part of this Agreement, provided that in the event of a conflict between the terms of any Schedule and the terms of the body of this Agreement, the terms of the body of this Agreement shall take precedence.
- (iv) All titles, subject headings, table of contents and similar items are provided for the purpose of reference and convenience and are not intended to affect the meaning of the content or scope of this Agreement.
- (v) The terms "hereof", "hereto" and derivative or similar words refer to this entire Agreement or specified Clauses of this Agreement, as the context may require.
- (vi) References to the singular number shall include references to the plural number and vice versa.
- (vii) Words denoting one gender shall include all genders.

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- (viii) Any reference to any agreement or document shall include references to any such agreement or document as it may, after the Execution Date, from time to time, be amended, varied, supplemented or novated in writing in accordance with the requirements of such agreement or document.
- (ix) A reference to conduct includes, without limitation, an omission, statement or undertaking whether or not in writing.
- (x) Reference to the word "include" shall be construed without limitation.
- (xi) If any word or phrase is defined, its other grammatical forms or conjugations shall have a corresponding meaning.
- (xii) A reference to writing includes any means of reproducing words in a tangible and permanently visible form.
- (xiii) Reference to a "month" or a "year" shall be to a calendar month or calendar year, respectively.
- (xiv) Reference to "consent" or "approval" shall mean prior written consent/approval.
- (xv) any reference to a document in "**Agreed Form**" is to a document in form and substance agreed among the Company, the Promoters and the Investor, and initialled for the purpose of identification by or on behalf of each of them.
- (xvi) Any reference to mutual agreement shall mean any mutual agreement in writing by the concerned Parties.
- (xvii) The expressions "body corporate", "holding company", "subsidiary" and "subsidiary company" shall have the respective meanings ascribed to them in the Act.
- (xviii) Unless expressly provided otherwise, the provisions of this Agreement which relate to the Promoters are given and entered into by them jointly and severally. The Investors may release or compromise the liability of a Promoter without affecting the liability of the other Promoter. If any liability of a Promoter is, or becomes, illegal, invalid or unenforceable in any respect, this shall not affect or impair the liability of the other Promoter under this Agreement.
- (xix) No provisions of this Agreement shall be interpreted in favour of, or against, any Party by reason of the extent to which such Party or its counsel participated in the drafting hereof or by reason of the extent to which any such provision is inconsistent with any prior draft hereof.

## 2. SUBSCRIPTION TO INVESTOR SHARES

### 2.1 Investor Securities

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In consideration of the Company and the Promoters agreeing to provide the Investors with the rights contained in the Transaction Documents and subject to the terms and conditions of this Agreement and fulfilment of the Conditions Precedent:

- (a) the Investors hereby agree to subscribe, and the Company hereby agrees to issue and allot to the Investors, at Closing on the Closing Date, their respective Investor Subscription Securities (free from all Encumbrances and together with all rights attaching thereto) against the receipt of the Subscription Amount payable by the Investors to the Company in the manner specified in Clause 5.3(b) of this Agreement; and
- (b) the Investors hereby agree to purchase, and the Selling Shareholders hereby agree to sell and transfer to the Investors, at Closing on the Closing Date, the Investor Purchase Shares (free from all Encumbrances and together with all rights attaching thereto) against the receipt of the Purchase Amount payable by the Investors to the Selling Shareholders in the manner specified in Clause 5.3(c) of this Agreement. The Investor Purchase Shares, shall rank *pari passu* with the existing Equity Shares of the Company.

Details of the number and type of Securities, the number of Equity Shares being sold by the Selling Shareholders and the amounts payable in respect of the Investor Securities either purchased or subscribed to by the Investors, are more fully set out in Part B of Schedule 2 of this Agreement.

## 2.2 Shareholding Post Closing

Upon completion of Closing, the shareholding pattern of the Company as at the Closing Date shall be as set out in Part B of SCHEDULE 2.

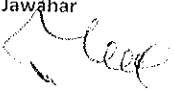
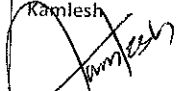
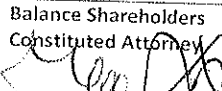
## 2.3 Use of Subscription Amount

The Company and the Promoters covenant and undertake that the Company shall use the Subscription Amount infused by the Investors by subscribing to the Investor Subscription Securities under this Agreement only for the financial requirements of the Company based on the Business Plan., unless otherwise mutually agreed in writing between the Investors, the Company and the Promoters.

## 3. CONDITIONS PRECEDENT

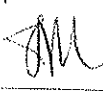
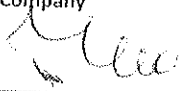
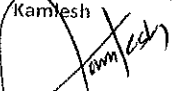
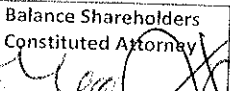
- 3.1 The Parties agree that the obligation of the Investors to subscribe to the Investor Subscription Securities and purchase the Investor Purchase Shares in the manner provided herein, is conditional upon the fulfilment of the following conditions precedent, ("Conditions Precedent"), to the satisfaction of the Investor, unless specifically waived in writing by the Investor:

- (a) the Board passing valid resolutions (in terms satisfactory to the Investors) in their respective meetings, approving in principle the: (a) issue of the Investor Subscription Securities to the Investors on the Closing Date by the Company upon receipt of the Subscription Amount; and (b) the proposed Transfer of the Investor Purchase Shares

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to the Investors on the Closing Date upon receipt of the Purchase Amount by the Selling Shareholders;

- (b) non-occurrence of any Event of Default;
- (c) no change, event or circumstance having occurred which has or which is likely to have a Material Adverse Change;
- (d) the Company preparing and furnishing to the Investors, a detailed Business Plan for the Company for the Financial Years 2015 till 2018 in the form and terms satisfactory to the Investors ("Initial Business Plan");
- (e) completion of financial, accounting, legal and operational due diligence on the Company to the satisfaction of the Investor, and the Company, Balance Shareholders and the Promoters having reasonably satisfied the Investors that all issues arising out of such due diligence have been resolved in a manner required by, and to the reasonable satisfaction of, the Investor. It is agreed between the Parties that the Company shall not provide a certificate of completion of this condition.
- (f) the authorised Share capital of the Company having been duly amended to enable the issue of the relevant Investor Subscription Securities and the Equity Shares upon conversion of the Investor Securities which are Share Equivalents and passing of appropriate resolutions by the Board and shareholders of the Company for such purpose (including resolutions for making necessary amendments to the Memorandum and Articles to reflect such increase).
- (g) the draft of the Restated Articles being in Agreed Form;
- (h) Execution of the Power of Attorney;
- (i) the Form FC-TRS, to be filed with the RBI on the Closing Date, will be filled-up and copies thereof to be provided to the Investors;
- (j) the Company having complied with the provisions of Clause 4 (*Conduct Before Closing*);
- (k) the Company and the Promoters (as applicable) having obtained all Authorisations, required in respect of the execution, delivery and performance of the Transaction Documents or transactions contemplated therein or arising out of the performance of the Transaction Documents including the following:
  - (i) Intimation to Bank of India and the Thane Janta Sahakari Bank;
  - (ii) the Company shall intimate Maharashtra Industrial Development Corporation that the Company shall submit a fresh building plan for development of Plot No. N-67, Additional Ambernath Industrial Area, Jambivali, Thane.
- (m) the Company shall have dematerialised its Equity Shares other than the Equity

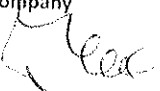
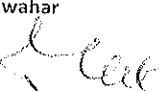
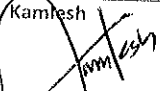
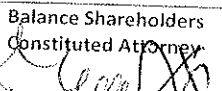
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Shares held by Mr. Hariram Hemrajani;

- (n) the Company shall intimate Dow Corning's about the transaction contemplated under this Agreement
- (o) the Company and the Promoters shall cause Sameto AG-Drive Pvt. Ltd. to make an application to Maharashtra Industrial Development Corporation for sub-letting the factory premises by Sameto AG-Drive Pvt. Ltd. to the Company.
- (p) The Company shall duly prepare and file an application with the appropriate Governmental Authority for a professional tax enrolment certificate for the Ahmedabad.
- (q) The Company shall provide a certificate that 125 KV DG set at Ambernath factory has been removed from the premises of the Company.
- (r) The Company shall duly prepare and file applications with the appropriate Governmental Authorities for obtaining the following Authorisations for the factory owned and operated the Company in Ambernath: (a) consent to establish / consent to operate under the Water (Prevention and Control of Pollution) Act, 1974, the Air (Prevention and Control of Pollution) Act, 1981, (b) Principal Employer Certificate under the Contract Workers (Regulation and Abolition) Act, 1970.

### 3.2 Responsibility for Satisfaction of Conditions Precedent

- (a) The Company and the Promoters shall use all reasonable endeavours to ensure the satisfaction of the Conditions Precedent as soon as possible after the Execution Date but in any event not later than five days before the Long Stop Date, unless mutually extended in writing by the Parties
- (b) If the Company and/or the Promoters become aware of any event or circumstance that shall or may prevent any of the Conditions Precedent from being satisfied by the Long Stop Date they shall forthwith notify the Investors in writing of the same.
- (c) If the Conditions Precedent are not satisfied by the Long Stop Date for any reason whatsoever, the Investors may (at its sole discretion), either (a) extend the Long Stop Date; or (b) waive the unfulfilled Conditions Precedent in writing and proceed with Closing; or (c) terminate this Agreement and on such termination, the Parties shall not have any rights or obligations under this Agreement.
- (d) Within 2 (two) days of completion of all the Conditions Precedent (which are not waived by the Investors), the Company and the Promoters shall promptly deliver to the Investors a certificate substantially in the form attached to this Agreement as Schedule 4 ("CP Satisfaction Certificate"), signed by the Company and the Promoters, to the effect that the Conditions Precedent (which have not been waived) have been fully satisfied, attaching certified true copies of all necessary documents to evidence the satisfaction of the said Conditions Precedent.

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(e) Within 4 (four) Business Days of receipt of the CP Satisfaction Certificate, the Investors, if satisfied with the completion of all the Conditions Precedent, shall notify the Company and the Promoters of its satisfaction with the fulfilment of the Conditions Precedent (which have not been waived) in writing ("**CP Acceptance Notice**").

(f) Within 3 (three) Business Days of the issuance of the CP Acceptance Notice by the Investor, the Parties shall proceed to Closing as mutually agreed between the Company, Investors and Promoters ("**Closing Date**").

3.3 In the event the Closing does not take place by the Long Stop Date any Party shall have the right to terminate this Agreement by giving a written notice to the other Party, in which case, no Party shall have any claim or demand against other Party.

#### 4. CONDUCT BEFORE CLOSING

##### 4.1 Operations prior to Closing

During the period between the Execution Date until the Closing Date, the Company shall, and the Promoters shall ensure that the Company shall, carry on its business and activities in accordance with **Schedule 3** of this Agreement.

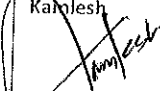
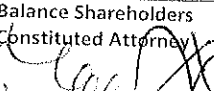
##### 4.2 Notification of Material Event

If during the period between Execution Date and Closing, the Company and/or the Promoters become aware of any occurrence or fact that:

- (a) causes, has caused any material covenant or agreement of the Promoters or the Company made under the Transaction Documents to be breached;
- (b) results in a Material Adverse Change; or
- (c) results in or is likely to result in the breach of any Representations and Warranties;

then the Company and/or the Promoters (as the case may be) shall immediately notify the Investors of such fact or occurrence in writing and shall provide all information in its possession in relation to such fact or occurrence to the Investor; *provided that* if any of the events mentioned in Clauses 4.2 (a) to (c) above are notified to the Investors by the Company or the Promoters or comes to the knowledge of the Investors through any other means and in the event that the Company or the Promoters fail to cure the same within a period of 30 (days) from the date of such events mentioned in Clauses 4.2 (a) to (c) above, being informed to the Investor, then the Investors may, in their sole discretion, decide not to proceed with Closing and terminate this Agreement. On such termination, the Parties shall not have any rights or obligations under this Agreement and the Investors shall, in any manner whatsoever, not be liable to the Company or the Promoters or the Balance Shareholders for such termination.

#### 5. CLOSING

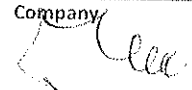
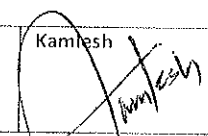
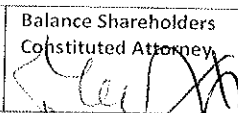
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- 5.1 Each Party hereby agrees and undertakes that it shall, at all times prior to the Closing Date, take such steps as may be necessary to achieve Closing.
- 5.2 Closing shall take place during business hours on the Closing Date at the office of the Company or otherwise at any other place and time mutually agreed in writing by the Company, Promoters and the Investors.
- 5.3 **Closing Actions**

On the Closing Date, the Parties shall undertake the following actions or deliver the following documents in the order stated hereunder:

- (a) the Company shall and the Promoters shall ensure that the Company shall, deliver to the Investors the following documents:
- (i) an Updated Disclosure Schedule (if any), provided that where, in the opinion of the Investor, any matters disclosed in the Updated Disclosure Schedule have a material adverse impact on the Company or the rights of the Investors contained herein, the Investors shall have the right to refuse to complete Closing, or at its discretion, complete Closing subject to such terms, conditions and indemnities on matters disclosed in the Updated Disclosure Schedule, as it deems fit;
  - (ii) a certificate signed by the Company to the effect that the Representations and Warranties continue to be true and correct as on the Closing Date with the same effect as though such Representations and Warranties had been made as of such Closing Date;
  - (iii) a certificate signed by the Company to the effect that there has been no Material Adverse Change since the Execution Date until the Closing Date;
  - (iv) certified true copies of all resolutions passed by the Board and the Shareholders since the Execution Date until the Closing Date; and
  - (v) certified true copy of a certificate of valuation from a reputed chartered accountant firm indicating the fair value of the Investor Securities, determined in accordance with the applicable provisions of the Foreign Exchange Management Act, 1999.
- (b) The whole of the Subscription Amount shall be paid by the Investors to the Company by delivery of a banker's cheque or through irrevocable wire transfer instructions to the following bank account of the Company:

Name of the Beneficiary: Glass Wall Systems (India) Private Limited  
 Bank: ICICI Bank  
 Branch: LBS Marg, Mulund West Branch  
 Bank Account No.: 119505000051  
 RTGS/NEFT No.: ICIC0001195  
 SWIFT Code: ICICINBBCTS

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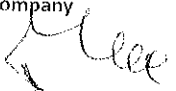
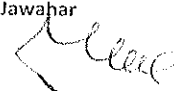
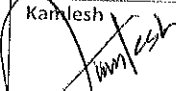
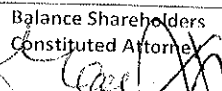
- (c) The whole of the Purchase Amount shall be paid by the Investors to the Selling Shareholders by delivery of a banker's cheque or through irrevocable wire transfer Instructions to the following bank account of the Selling Shareholders:

Name of the Beneficiary: Mr. Kamlesh Choudhari  
Bank: TJSB Sahakari Bank Limited  
Branch: Airoli Branch  
Bank Account No.: 010110100006085  
RTGS/NEFT No.: TJSB0000010  
SWIFT Code: TJSKINBBXXX

Name of the Beneficiary: Mr. Eshan Hemrajani  
Bank: ICICI Bank  
Branch: Vashi, Sector -I Branch  
Bank Account No. 015101042652  
RTGS/NEFT No.: ICIC0000151  
SWIFT Code: ICICINBB151

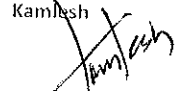
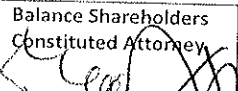
Name of the Beneficiary: Mr. Amit Hemrajani  
Bank: ICICI Bank  
Branch: Vashi, Sector -I Branch  
Bank Account No. 015101043378  
RTGS/NEFT No.: ICIC0000151  
SWIFT Code: ICICINBB151

- (d) The Investors shall deliver to the Board the name of the person(s) nominated by them if any, as Investor Director(s) and Observer and all relevant documents (including a consent letter from such nominee Investor Director(s)) relating to such appointment.
- (e) The Selling Shareholders shall, (i) submit to the designated authorised dealer, the duly completed and executed Form FC-TRS in quadruplicate, together with the documents required to be submitted along with the Form FC-TRS (including the documents provided by the Investors and the Company) for the Investor Purchase Shares being transferred by Selling Shareholders in favour of the Investors; and (ii) obtain the due acknowledgement and endorsement of the Form FC-TRS by the authorised dealer;
- (f) The Promoters and the Company shall cause the Board to, and the Board shall convene and hold immediately a Board meeting where the following businesses shall be transacted:
- (i) effect the issuance and allotment of the Investor Subscription Securities;
  - (ii) take note of the Form FC-TRS (in relation to the sale of the Investor Purchase Shares) duly acknowledged and endorsed by the authorized dealer;
  - (iii) approve the Transfer of the Investor Purchase Shares in favour of the

|                                                                                               |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
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Investors;

- (iv) approve the appointment of the Investor Director(s) and Observer, if any to the Board in accordance with Clause 7.1 below, subject to approval in a Shareholders' meeting;
  - (v) approve the appointment of the two additional Promoter Director(s) to the Board in accordance with Clause 7.1(a)(ii) below, subject to approval in a Shareholders' meeting in the next AGM;
  - (vi) approve the Restated Articles, subject to approval in a Shareholders' meeting;
  - (vii) approve and adopt the Initial Business Plan as the Business Plan of the Company;
  - (viii) approve and adopt the Dividend Policy;
  - (ix) approve registering IBEF II as Shareholders in respect of the CCPS Series 1 forming part of the Investor Securities in the register of members;
  - (x) approve registering IBEF IIA as Shareholders in respect of the CCPS Series 2 forming part of the Investor Securities in the register of members;
  - (xi) approve registering the Investors as Shareholders in respect of the Equity Shares forming part of the Investor Securities in the register of members; and
  - (xii) issue a notice to convene, at shorter notice on the same day, an extraordinary general meeting of the Shareholders on the Closing Date *inter alia* to carry out all the businesses listed in Clause 5.3(g) of this Agreement;
- (g) The Promoters and Balance Shareholders shall cause the Company to, and the Company shall, convene and hold an extraordinary general meeting at shorter notice (for which the Shareholders shall give their consent in the form prescribed under the Act) where the following businesses shall be transacted to:
- (i) approve the allotment of the CCPS Series 1 and CCPS Series 2 to the Investors;
  - (ii) appoint the individuals nominated by the Investors as Investor Director(s) on a non-retiring, non-rotational basis and as permanent Directors on the Board;
  - (iii) approve and adopt the Restated Articles;
- (h) the Company shall amend all the relevant Company's registers in connection with the actions performed on the Closing Date, including the register of members to record the Investors as the holder of the Investor Securities;
- (i) the Company shall cause the depository accounts of the Investors, as intimated to

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the Company by the Investors, to be credited with the Investor Purchase Shares; the Company shall deliver to the Investors duly signed, stamped, sealed and endorsed certificate(s) in respect of the Investor Subscription Securities.

- (j) the Company shall deliver to the Investors duly completed, executed and filled-in Form FC-GPR in respect of the Investor Subscription Securities, in five (5) original sets, along with all other documents, as required to be filed to the RBI.
- (k) the Company shall deliver to the Investors certified true copies of the Company's Restated Articles, Memorandum, extracts of register of members, register of Directors, register of share application and allotments, register of share transfers, register of debenture holders, register of preference share holders and all resolutions passed in accordance with this Clause 5.3 to the Investor.

5.4 All actions contemplated by Clause 5.3 above to be completed on the Closing Date shall be deemed to occur simultaneously and no action shall be deemed to be consummated unless all such actions are consummated. If any of such actions does not take place on the same day then the Parties shall, on the instructions of the Investor, do either of the following:

- (a) within a period of 3 (three) Business Day, undo such actions which have already been carried out with respect to Closing pursuant to Clause 5.3 including return of the Subscription Amount and Purchase Amount to the Investor; or
- (b) complete certain actions set out in Clause 5.3 above on different days and complete Closing; *provided that* in such case, the Business Day on which the last of such actions have been completed, shall be deemed to be the Closing Date.

#### 5.5 Post-Closing Actions

- (a) The Company shall and the Promoters shall cause the Company to, complete the following to the satisfaction of the Investors within such number of days after the Closing Date as specified below or such extended period as the Investors and the Promoters may mutually agree:
  - (i) within 30 (Thirty) days of the Closing Date, complete all statutory filings and reporting requirements required to be complied with pursuant to the Closing, including filings with the Registrar of Companies (including with respect to issuance and allotment of the Investor Securities, appointment of the Investor Director(s) and the Independent Director(s) and amendment of the Articles) as required to comply with the applicable Laws and provide certified copies of all such filings and communications to the Investor; and
  - (ii) within 30 (Thirty) days of the Closing Date, such documents and submissions as are required by applicable Law to be filed with the Reserve Bank of India or with an authorized dealer for onward filing, including intimation of receipt of inward remittance and Form FC-GPR in relation to the allotment of the Investor Subscription Securities to the Investors;
  - (iii) within 6 (six) months of the Closing Date, appoint a CFO acceptable to the

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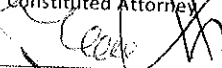
Investors, who shall report to the executive Directors;

*provided that* in the event the Company is unable to hire a CFO during the Initial Period, the Company will automatically be granted an extension of another 6 (six) months from date of expiry of the Initial Period ("Additional Period") to appoint a CFO acceptable to the Investors;

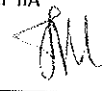
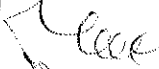
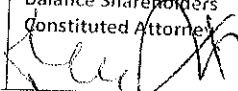
*provided further that* if the Company is unable to appoint a CFO within the Additional Period, the Investors will have the right to nominate a CFO within 2 (two) months of expiry of the Additional Period and the Company will be bound to appoint (and take all such necessary actions in connection with such appointment) such Investor nominated person as the CFO of the Company;

- (iv) within 12 (twelve) months of the Closing Date, present an ODP to the Investors;
  - (v) within 2 (two) months of the Closing Date, present a Related Party Policy as approved by the Investors and approved by the Board, which will specifically state that the existing related party transactions will continue as per the existing terms and conditions however, the Promoters shall on a best effort basis try to minimize the existing related party transactions; and
  - (vi) review of audited accounts for the Financial Year 2014 by the newly appointed statutory auditor.
- (b) The Company shall, and the Promoters and the Balance Shareholders shall cause the Company to, at the next annual general meeting of the Company (i.e. the annual general meeting approving the audited accounts for the Financial Year 2013-14):
- (i) remove the statutory auditor existing as on the Execution Date with effect from beginning of Financial Year 2014 - 2015 and in its place appoint any one of the Big Four Accounting Firms, or any other accounting firm acceptable to the Investors, as its statutory auditor for the Financial 2014 - 2015; and
  - (ii) appoint an internal auditor acceptable to the Company, the Promoters and the Investors and shall not necessarily be a Big Four Accounting Firm.
- (c) The Company and the Promoters shall:
- (i) within 6 (six) months of the Closing Date appoint an independent Director mutually acceptable to the Investors and the Promoters;
  - (ii) between 6 (six) months of Closing Date till 12 (twelve) months of Closing Date, appoint another independent Director (in addition to the Independent Director mentioned in (i) above), mutually acceptable to the Investors and the Promoters.

Both independent directors, as appointed above, may hereinafter be collectively referred to as the "Independent Directors".

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- (d) The Company and the Promoters shall within 6 (six) months of the Closing Date obtain the extension of time or waiver from Maharashtra Industrial Development Corporation to construct 2000 sq.mts. of built up area or more than 20% FSI for Plot No. N-67, Additional Ambernath Industrial Area, Jambivali, Thane.
- (e) The Company and the Promoters shall within 60 (sixty) days of the Closing Date:
- file annual returns for the Financial Year 2012-2013 for its branch located at Haryana; and
  - file annual returns and audit report for units located at Haryana and Gujarat for the Financial Year 2012-2013.
- (f) The Company and the Promoters shall on or before June 30, 2014 discharge their service tax liability under the Voluntary Compliance Encouragement Scheme;
- (g) Within a period of 90 (ninety) days from the Closing Date, the Company shall have obtained a professional tax enrolment certificate for the Ahmedabad;
- (h) Within a period of 90 (ninety) days from the Closing Date, the Company shall inform the Office of Additional Director General of Foreign Trade (Mumbai), Ministry of Commerce and Industry, Government of India about the change in shareholding of the Company as per the terms and conditions in the Certificate of Importer-Exporter Code (Registration no. 0310056527) obtained by the Company.
- (i) Within a period of 60 (sixty) days from the Closing Date, the Company shall inform the Engineering Exports Promotion Council (EEPC), India about the change in shareholding of the Company as per the terms and conditions in the EEPC India Registration (Registration no. 201/M24648) obtained by the Company.
- (j) The Company and the Promoters shall within 90 (Ninety) days of the Closing Date form the following committees:
- Audit Committee;
  - Nomination and Remuneration Committee; and
  - Corporate Social Responsibility Committee.
- (k) The Company and the Promoters shall within 180 (one hundred and eighty) days of the Closing Date obtaining the following Authorisations for the factory owned and operated the Company in Gurgaon: (a) factory license under the Factories Act, 1948; (b) consent to establish / consent to operate under the Water (Prevention and Control of Pollution) Act, 1974, the *Air (Prevention and Control of Pollution) Act*, 1981, and the Hazardous Wastes (Management and Handling) Rules, 1989.
- (l) The Company shall within 180 (one hundred and eighty) of the Closing Date obtain the following Authorisations for the factory owned and operated by the Company in Ambernath: (a) consent to establish / consent to operate under the Water (Prevention and Control of Pollution) Act, 1974, the *Air (Prevention and Control of Pollution) Act*, 1981, (b) Principal Employer Certificate under the Contract Workers

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(Regulation and Abolition) Act, 1970

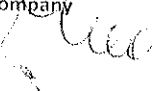
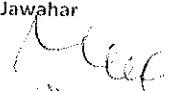
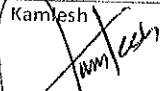
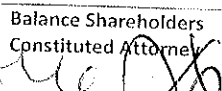
- (m) The Company and the Promoters shall within time frame provided in Schedule 16 take necessary action and provide requisite co-operation to undertake the formalities/transfer for the Specific Properties in the manner as set out in Schedule 16;
- (n) The Company and the Promoters shall within 60 (sixty) days of the Closing Date obtain consents, waivers, permissions or no-objections from Bank of India and The Thane Janta Sahakari Bank in respect of the transaction contemplated by this Agreement;
- (o) the Company shall intimate to Athmaa Steel Venture Company for the transaction contemplated under this Agreement;
- (p) the Company and the Promoters shall within 180 (One Hundred and Eighty) days of the Closing Date obtain approval from Maharashtra Industrial Development Corporation for sub-letting the factory premises by Sameto AG-Drive Pvt. Ltd to the Company.

## 6. REPRESENTATIONS AND WARRANTIES

### 6.1 Company Representations and Warranties

Save as Disclosed, as of the Execution Date and the Closing Date, each of the Promoters and the Company hereby, jointly and severally, represent and warrant to the Investors:

- (a) that the Company is duly incorporated and validly existing under the Laws of India;
- (b) that the Company has the power and authority to execute and deliver the Transaction Documents and to carry on its Business and operations as they are being conducted;
- (c) that the execution and delivery of the Transaction Documents by the Company have been duly authorised and approved and do not require any further Authorisation or consent of any third party, except as specified in the Transaction Documents;
- (d) that upon execution, the Transaction Documents will constitute legal, valid and binding obligations of the Company, enforceable in accordance with their terms;
- (e) that the execution and delivery of the Transaction Documents by the Company, and its promises, agreements or undertakings under the Transaction Documents do not (i) violate any applicable Law, or (ii) violate or contravene the provisions of or constitute a default under or impose any lien under any document, contract, agreement or any other instrument to which it is a party or which are applicable to it, or (iii) violate the contents of its Memorandum and/or Articles;
- (f) that the Company has obtained appropriate waivers and Authorisations to operate its Business; and

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- (g) in terms as set out in Part A of SCHEDULE 5.

## 6.2 Promoters Representations and Warranties

Save as Disclosed, as of the Execution Date and the Closing Date, each of the Promoters hereby, jointly and severally, represent and warrant to the Investors:

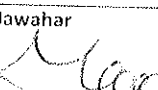
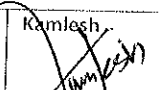
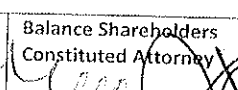
- (a) that he is legally entitled under the Laws of India to execute the Transaction Documents, and the Transaction Documents once executed shall constitute legal, valid and binding obligations of such Promoter enforceable in accordance with their terms;
- (b) that the execution and delivery and performance of the Transaction Documents by him does not require any further Authorisation or consent of any third party, except as specified in the Transaction Documents;
- (c) that the execution and delivery and performance of the Transaction Documents by such Promoter, and agreements or undertakings of such Promoter under the Transaction Documents do not (i) violate any applicable Law, or (ii) violate or contravene the provisions of or constitute a default under or impose any lien under any documents, contracts, agreements or any other instruments to which such Promoter is a party or which are applicable to such Promoter; and
- (d) in terms as set out in Part B of SCHEDULE 5.

## 6.3 Balance Shareholders Representations and Warranties

Save as Disclosed, as of the Execution Date and the Closing Date, each of the Balance Shareholders hereby, jointly and severally, represents and warrants to the Investors that:

- (a) that he/ she is legally entitled under the Laws of India to execute the Transaction Documents, and the Transaction Documents once executed shall constitute legal, valid and binding obligations of such Balance Shareholder enforceable in accordance with their terms;
- (b) that the execution and delivery and performance of the Transaction Documents by him does not require any further Authorisation or consent of any third party, except as specified in the Transaction Documents;
- (c) the execution and delivery and performance of the Transaction Documents by such Balance Shareholder, and promises, agreements or undertakings of such Balance Shareholder under the Transaction Documents do not (i) violate any applicable Law, or (ii) violate or contravene the provisions of or constitute a default under or impose any lien under any documents, contracts, agreements or any other instruments to which such Balance Shareholder is a party or which are applicable to such Balance Shareholder.

## 6.4 Investor Representations and Warranties

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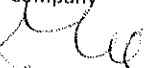
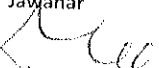
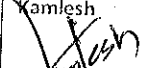
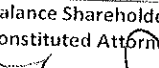
As of the Execution Date and the Closing Date, each Investor hereby represents and warrants to the Promoters and the Company that:

- (a) the Investor is duly incorporated under the laws of its Incorporation;
- (b) the Investor has the power and authority to execute and deliver the Transaction Documents and to carry on its business and operations as they are being conducted.
- (c) the execution, delivery and performance of the Transaction Documents have been duly authorised and approved and do not require any further Authorisation or consent of any third party;
- (d) that the execution and delivery and performance of the Transaction Documents by the Investor, and promises, agreements or undertakings of the Investor under the Transaction Documents do not (i) violate any law of the jurisdiction to which they are subject, or (ii) violate or contravene the provisions of or constitute a default under or impose any lien under any documents, contracts, agreements or any other instruments to which the Investor is a party or which are applicable to the Investor; and
- (e) upon execution, the Transaction Documents will constitute legal, valid and binding obligations of the Investor, enforceable in accordance with their terms.

6.5 The Promoters, the Company and the Balance Shareholders hereby acknowledge that the Investors have agreed to subscribe to/purchase the Investor Securities, *inter alia*, relying upon the representations and warranties set out in Clauses 6.1, 6.2, 6.3 above and in Schedule 5. Each such representation and warranty set out above in Clauses 6.1, 6.2, 6.3 and Schedule 5 is to be construed independently of the others and is not limited by reference to any other representation or warranty.

6.6 To the extent any information is Disclosed with respect to any Representation and Warranty, such Disclosed information shall qualify and limit the Representations and Warranties to the extent of such Disclosed information. Therefore, the Company and the Promoters shall not be liable for breach of any Representations and Warranties to the extent that such Representation and Warranty has been qualified and limited by Disclosed information. It is further clarified that a matter will be considered to have been Disclosed against Representation and Warranty even if the disclosure of that matter is made with reference to any other Representation and Warranty.

6.7 Save as Disclosed, none of the Representations and Warranties shall be treated as qualified or limited by any actual, implied or constructive knowledge on the part of Investors or any of its agents, representatives, officers, employees or advisers. For avoidance of doubt it is hereby clarified that, no information relating to the Company and/or Promoters and/or Balance Shareholders, of which the Investors have knowledge (actual or constructive) and no investigation by or on behalf of the Investors shall prejudice any claim made by the Investors in connection with any representations and warranties of the Company and/or the Promoters under this Agreement or operate to reduce any amount recoverable from them or any Person. Save as Disclosed, it shall not be a defence to any claim against the Company

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and/or the Promoters and/or the Balance Shareholders that the Investors knew or ought to have known or had constructive knowledge of any information relating to the circumstances giving rise to such claim.

- 6.8 Where any statement in this Clause 6, in **Schedule 5** or elsewhere in this Agreement is qualified by the expression "so far as the (relevant Party) is aware" or "to the best of knowledge, information and belief" or any similar expression, that statement shall, unless the contrary interpretation appears, be deemed to include an additional statement that it has been made after due and careful inquiry.

## 7. CORPORATE GOVERNANCE

### 7.1 Constitution of the Board

- (a) Composition on the Closing Date. On and from the Closing Date, the Board shall comprise 6 (six) Directors, of whom:

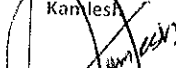
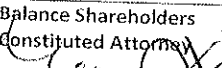
- (i) (A) Investors shall have a right to appoint and maintain in office 2 (two) Directors so long the Investors hold, in aggregate, 10% (Ten percent) or more of the Share capital of the Company on a Fully Diluted Basis; or (B) Investors shall have a right to appoint and maintain in office 1 (one) Director so long the Investors hold, in aggregate, 2.5% (Two and half percent) or more but less than 10% (Ten Percent) of the Share capital of the Company on a Fully Diluted Basis. (Directors appointed as per Clause 7.1(a)(i)(A) or Clause 7.1(a)(i)(B) above shall be referred to as "Investor Director(s)"); and

- (ii) Promoters shall have a right to appoint and maintain in office 4 (four) Directors ("Promoter Director(s)"). In this regard, the Promoters agree that out of the total 4 (Four) Directors to be nominated for appointment by the Promoters, 2 (two) Directors shall always be the Promoters themselves (for so long as they are able to act as Directors and permitted under applicable law). Provided however that, if the Promoters is desirous of appointing a Close Relative in the capacity of an executive director, then the Promoters shall obtain Investors' prior written consent for appointment of such Close Relative as executive director of the Company.

- (b) Composition after 12 (Twelve) months from the Closing Date. 2 (two) Independent Directors shall be appointed in terms of Clause 5.5 (c).

Further, it is agreed between the Parties that to the extent the Investor Directors and Promoter Directors are not appointed, the position shall remain vacant.

- (c) Appointment and removal. The right of nomination of a Director conferred on the Investors and the Promoters with respect to Investor Directors and Promoter Directors respectively, shall include the right at any time to require the Company, subject to the provisions of the Act, to remove and/or replace from office such individual nominated or appointed by the Investors / Promoters (as the case may be), and from time to time determine the period for which such individual shall hold office as Director. Independent Directors shall be removed or replaced by the

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Company pursuant to mutual consent of the Investors and the Promoters.

- (d) Additional directorship. To the extent permissible by applicable Law, the appointment of the Investor Directors shall be by direct nomination by the Investors and any appointment or removal of the Investor Director under this Clause 7.1 shall, unless the contrary intention appears, take effect from the date it is notified to the Company in writing. If applicable Law does not permit the Person nominated by the Investors, to be appointed as a Director merely by nomination by the Investors, then the Company and the Promoters Group shall ensure that the Board forthwith (and in any event within 10 (Ten) Business Days of such nomination or at the next Board meeting, whichever is earlier) appoints such Person as a Director and further that, unless the concerned Investor changes or withdraws such nomination, such Person is also elected as a Director at the next general meeting of the Shareholders.
- (e) Committees. The Investor Director(s) may also, at the sole discretion of the Investors, be nominated to all committees of the Board. The Directors appointed to the committees shall be in the same proportion as the Directors appointed to the Board. Unless otherwise provided in this Agreement or otherwise agreed in writing between the Investors, Promoters and Company, at least 1 (one) Director nominated for appointment by each of the (a) Investors; and (b) the Promoters, shall be a member of any committee formed by the Board. The provisions relating to agenda, notice, quorum and voting applicable to the Board shall apply, to the extent permissible, to any committee formed by the Board.
- (f) Exercise of voting rights. If the Investors desire by way of written communication to the Company that the Investor Director nominated by it should cease to be a Director, the Shareholders shall exercise their voting rights, in relation to the Securities held by them in the Company in such manner so as to ensure removal of such Director and the appointment of such other individual as a Director, as may be nominated by the Investors.
- (g) Alternate Director. Subject to the Applicable Laws, the Investors shall be entitled to nominate alternate Director(s) for the Investor Director(s) it is entitled to nominate. Such appointment as alternate Director shall take place as the first item of business at the Board meeting next following receipt by the Company of such nomination.
- (h) Observer. The Investors shall, in addition to its right to nominate Directors in accordance with Clause 7.1, also be entitled to appoint 1 (one) observer ("Observer") to the Board and all committees of the Board. The Observer shall be entitled to attend all the meetings of the Board and the committees of the Board of the Company but shall not have any right to vote or participate in any manner in any discussions or deliberations of the Board or its committees. The Investors shall be responsible for the actions of the Observer including compliance by the Observer of confidentiality obligations under the Transactions Documents as applicable to the Investors.
- (i) Casual Vacancy. The Promoters and the Investors shall have the right to fill in any casual vacancy caused in the office of the Promoter Directors nominated by the Promoters or Investor Director(s) nominated by the Investors, as the case may be, by

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reason of his/her resignation, death, removal or otherwise. All nominations made by the Promoter or Investor, as the case may be, shall be in writing and shall take effect on the Board passing resolution(s) approving the appointment of the nominated Director.

- (j) Reasonable Expenses. The Company shall reimburse the Investor Directors' reasonable expenses relating to their attendance at meetings of the Board or committees, including air fare, boarding and lodging expenses. The Investors shall reimburse the Observers reasonable expenses relating to his attendance of meetings limited to costs of local travel in Mumbai. Further it is agreed between the Parties that the meeting of the Board shall take place only in Mumbai

## 7.2 Liability of the Investor Directors

- (a) The Company recognizes that the Investor Directors shall not have any day-to-day managerial powers and that they will not be whole time, managing or executive directors of the Company and will not, subject to applicable Law, be held responsible for any default or failure of the Company in complying with the provisions of any applicable Laws, including defaults under the Act, Taxation and labour Laws of India. The Company shall assert such position in any notice, reply, litigation or other proceedings in which any liability is sought to be attached to the Investors and/or the Investor Directors. The Investor Directors shall not be required to hold any qualification shares.
- (b) Subject to applicable Law, the Promoters and the Company expressly agree and undertake that they shall not identify the Investor Directors as 'officers in default' of the Company, or occupier of any premises used by the Company or employers or "person-in-charge" under applicable Laws. Further, the Promoters and the Company undertake to ensure that the Directors or suitable individuals other than Investor Directors are nominated as compliance officers, occupiers and/or employers and/or persons-in-charge, as the case may be, in order to ensure that, to the maximum extent permitted by applicable Law, the Investor Directors do not incur any liability for any default or failure of the Company in complying with the provisions of any applicable Laws.
- (c) In the event that any notice or proceedings have been filed against any Investor Director, the Company, and the Promoters shall take all necessary steps to ensure that name of such Investor Director is excluded / deleted and the charges / proceedings against such Investor Director are withdrawn and shall also take all steps to defend such Investor Director against such proceedings and the Company shall pay all costs, damages, fines, levies etc. that may be levied against such Investor Director.
- (d) Director Indemnification
- (i) The Company shall indemnify, defend and hold harmless the Investor Directors to the fullest extent permitted by applicable Law against all Losses actually and reasonably incurred by him or her in connection with any action, suit or proceeding, where the Director was or is a party or is

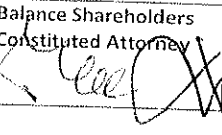
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threatened to be made a party to any threatened, pending or completed action, suit or proceeding, whether civil, criminal, administrative or investigative, by reason of the fact that such Investor Director is or was a Director of the Company, was serving at the request of the Company as an officer/ director/ partner/ trustee/ employee of another Person (as the case may be).

- (ii) If so requested by the Investor Directors, the Company shall make payment towards any and all Losses incurred by the Investor Directors by paying such Losses on behalf of the Investor Directors. In the event the Company is restricted under law from paying such Losses on behalf of the Investor Directors, then the Company shall reimburse the Investor Directors for such Losses. It is agreed between the Parties that, in the event the Investor Directors make any payments under this Clause 7.2(d)(ii), then the Investor Directors will intimate the Company about such payments.
- (iii) For purposes of this Agreement, the termination of any claim, action, suit or proceeding, by judgment, order, settlement (whether with or without court approval) or conviction, or upon a plea of *nolo contendere*, or its equivalent, shall not create a presumption that any Investor Director did not meet any particular standard of conduct or have any particular belief or that a court has determined that indemnification is not permitted by applicable Law. It is further agreed between the Parties that, if the Investor Director is convicted by any court/Governmental Authority for fraud in relation to the subject matter under indemnification, then the said Investor Director shall not be liable to be indemnified by the Company.
- (iv) The rights of the Investor Directors hereunder shall be in addition to any other rights the Investor Directors may have under the Restated Articles or otherwise. To the extent that a change in applicable Law permits greater indemnification by agreement than would be afforded currently under the Restated Articles, it is the intent of the Parties hereto that the Investor Directors shall enjoy by this Agreement the greater benefits so afforded by such change.
- (v) The Investor Directors are expressly meant to be beneficiaries of this Clause 7.2.
- (e) The Company shall obtain, at its own cost, directors and officers liability insurance for all Directors for a sum insured amounting to of Rs. 10,00,00,000 (Rupees Ten crores only) on such terms as are satisfactory to the Investor.

### 7.3 Liability of the Promoter Directors

- (a) In the event that any notice or proceedings have been filed against any Promoter Director, the Company shall take all necessary steps to ensure that name of such Promoter Director is excluded / deleted and the charges / proceedings against such Promoter Director are withdrawn and shall also take all steps to defend such Promoter Director against such proceedings and the Company shall pay all costs,

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Reserved Matter Item shall not be placed on the agenda for the relevant Board Meeting. If such day on which the adjourned meeting is to be held is not a Business Day, then the meeting shall be held on the next day which is a Business Day. Provided however that if any Promoter Director is not present in the adjourned meeting, the said meeting shall adjourned once again by 7 (seven) days at the same place and same time as the adjourned meeting. If the Promoter Director is not present in the second adjourned meeting, such resolution shall be moved through circular resolution mechanism as provided in Clause 7.4(h) below to the extent permissible by Law. However, if it is not possible to pass such resolution by circular resolution instead of a circular resolution, the said meeting shall adjourned once again by 7 (seven) days at the same place and same time as the adjourned meeting and the resolutions may be passed at such further adjourned meeting and the non-presence of the Promoter Director shall not impact the quorum at such third adjourned meeting.

- (e) Voting. Each Director shall be entitled to exercise 1 (one) vote at Board meetings. Subject to Clause 7.6 (Reserved Matters) and any additional requirements under the Act, the Memorandum and Articles, any decision shall be said to have been made and/or a resolution shall be said to have been passed at a meeting of the Board, only if at a validly constituted meeting such decisions are approved by and/or the resolution is passed by a majority of the Directors present and voting at such Board meeting. For the avoidance of doubt and notwithstanding anything to the contrary contained in this Clause, no action or decision relating to any Reserved Matter Item shall be taken at any meeting or adjourned meeting or through circulation without the Investor's consent as set out in Clause 7.6 (Reserved Matters).
- (f) Chairman and Casting Vote. The chairman of the meeting shall always be a Promoter Director(s) then present at such meeting. The chairman of the meeting shall have a casting vote only in relation to matters, actions or decisions which do not fall within the ambit of any of the Reserved Matter Items.
- (g) Participation by Audio Visual Methods. Subject to compliance with the provisions of the Act and the rules framed thereunder, the Directors may participate in Board meetings by telephone or video conferencing or any other means of contemporaneous audio-visual communication which are capable of recording and recognising the participation of Directors and of recording and storing the proceedings of such meeting along with date and time.
- (h) Resolution by circulation.
- (i) A written resolution circulated to all the Directors or members of committees of the Board, whether in India or overseas, and signed by a majority of them (as are entitled to vote on the resolution) as approved shall (subject to compliance with the relevant requirements of the Act) be as valid and effective as a resolution duly passed at a meeting of the Board called and held in accordance with this Agreement and the Articles;

*provided that the resolution shall be circulated in draft form, together with*

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the relevant papers, if any, to all the Directors or members of the committee, as the case may be, at least 7 (seven) days in advance at the address of such Director or member registered with the Company;

*provided further that if the resolution proposed to be passed by circulation pertains to a Reserved Matter Item, then such circular resolution shall be valid and effective only if it has received the prior written consent of the Investor in accordance with Clause 7.6 (Reserved Matters). However, on the Reserved Matters, once the Investors have given consent to such matter on agenda of the circular resolution, the Investors' Director or nominee shall be deemed to have given consent on such matter and the affirmative vote of the Investors' Director or nominee shall not be required for such Reserved Matter; provided that in the event the Investors have rejected or refused to give their affirmative vote relating to any Reserved Matter Item on the circular resolution, such Reserved Matter Item shall not be placed as an agenda before the Board of Director.*

- (ii) A resolution passed by circulation in accordance with sub-clause (i) above shall be noted at a subsequent meeting of the Board or committee thereof, as the case may be, and shall be made part of the minutes of such meeting.
- (i) Minutes. The substance of the course of the proceedings of a Board meeting and the results thereof shall be recorded in minutes in the English language and shall bear the name and/or signature of the chairman, in accordance with the provisions of applicable Law.

## 7.5 General Meetings

- (a) Frequency. An annual general meeting of the Company shall be held each calendar year within 6 (six) months following the end of the previous Financial Year of the Company. All other general meetings, other than the annual general meeting, shall be extraordinary general meetings. All Shareholders' meetings shall be convened by the Company or by any Shareholder and held in accordance with applicable Law and the Articles.
- (b) Notice. A minimum 21 (twenty-one) days' prior written notice shall be provided to all Shareholders of any proposed general meeting, accompanied by the agenda for such general meeting, unless approval for such general meeting to be called at shorter notice is given in accordance with the Act; *provided that* in case of an annual general meeting, the Board shall also provide the Company's previous Financial Year's audited financial statements to all Shareholders at least 21 (twenty-one) days before the annual general meeting is held to approve and adopt the audited financial statements.
- (c) Voting. At all general meetings of the Shareholders, resolutions put to the vote of the meeting (except relating to Reserved Matters Items) shall be decided on a show of hands, unless, before or upon the declaration of the results of the show of hands a poll is demanded by such Persons who meet the criteria as prescribed under the Act. On a poll, subject to the provisions of Clause 10.2 below, every Shareholder

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present in person, by proxy or if a company, by representative, shall have one vote for each Share held by such Shareholder. The Promoters agree that each Promoter shall vote in favour of any specific matter in agenda before the general meeting in the same manner in which the said Promoter has voted in the Board meeting.

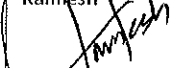
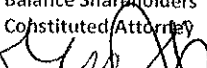
- (d) Minutes. The substance of the course of the proceedings of a general meeting and the results thereof shall be recorded in minutes in the English language and shall bear the name and/or signature of the chairman. The company secretary shall send a copy of the minutes of each general meeting to each Shareholder within 30 (thirty) days after each such meeting.
- (e) Quorum. The quorum for all general meetings shall be a minimum of 2 (two) Shareholders, including at least 1 (one) representative of the Investor, being personally present at the general meeting and throughout the course of such meetings *provided however that* if a quorum is not present at any such meeting due to absence of the Investor's representative, then such meeting shall be adjourned without any action taken to a day that is 7 (seven) days from the date of the original general meeting at the same time and place. If such day on which the adjourned meeting is to be held is not a Business Day, then the meeting shall be held on the next day which is a Business Day. At such adjourned meeting, any 2 (two) Shareholders as are present at such meeting shall form a quorum, except for the purposes of taking action or decision relating to any Reserved Matter Item.

Provided however that if any Promoter representative is not present in the adjourned meeting, the said meeting shall adjourned once again by 7 (seven) days at the same place and same time as the adjourned meeting. If the Promoter representative is not present in the third adjourned meeting, such resolution shall be passed through postal ballot.

- (f) Chairman and Casting Vote. The chairman shall be appointed by the Promoters. The chairman of the meeting shall have a casting vote only in relation to matters, actions or decisions which do not fall within the ambit of any of the Reserved Matter Items.

## 7.6 Reserved Matters

- (a) Notwithstanding anything to the contrary contained in this Agreement, the Parties agree that the actions, decisions and resolutions set out in **SCHEDULE 7** in relation to the Company ("**Reserved Matter Items**") shall not be taken (whether by the Board, any Director, any committee or the Shareholders of the Company) without the prior written consent of a representative of the Investors. However, on the Reserved Matters, once the Investors have given consent to any such matter on the agenda prior to the Board or Shareholders Meeting, the affirmative vote of the Investors/Investor Directors shall not be required for such Reserved Matter at the relevant Board/Shareholders Meeting;
- (b) The Parties further agree that no Reserved Matter Item shall be placed on the agenda of a Board meeting, any meeting of a committee and/or Shareholders meeting without prior written consent of the Investors.

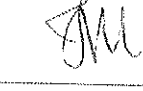
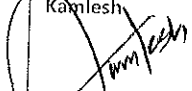
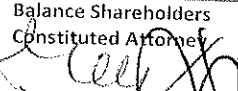
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- (c) Notice seeking consent for the Reserved Matter Item shall be given by the Company to the Investors along with all supporting documents and analysis. It is clarified that if any Reserved Matter Item is pending affirmation/rejection at the Investor's end, the same will not be included in the agenda of any forthcoming Board or Shareholders' meeting and the notice seeking consent for the Reserved Matter Item shall be treated as null and void.

## 8. COVENANTS AND UNDERTAKINGS

8.1 The Company and the Promoters, jointly and severally, covenant and agree with the Investors that, at all times during the term of this Agreement, the Company shall, and the Promoters shall ensure that the Company shall:

- (a) maintain Authorisations as required under applicable Indian Laws in respect of the Business and comply with all Laws, including Laws/Authorisations relating to environmental, health and safety requirements including any requirements under the Investors' Social and Environmental Policy and IFC Performance Standards, and maintain all books and records in relation to establishing such compliance;
- (b) maintain such insurance cover which is required in the best interests of the Company and shall regularly pay the premia towards such insurance cover obtained by the Company;
- (c) from the Execution Date till the adoption of Related Party Policy carry on all transactions with their respective Related Parties and/or Affiliates strictly on an arms' length basis;
- (d) from the date of adoption of Related Party Policy, carry on all transactions with their respective Related Parties and/or Affiliates in accordance with the Related Party Policy;
- (e) conduct its affairs in accordance with good corporate governance standards;
- (f) cause Company and Promoters and each of their respective officers, directors and employees (individually and collectively, a "Company Representative") to: (i) engage only in lawful practices in commercial operations and in relation to Governmental Authorities; (ii) not make any bribe, rebate, payoff, influence payment, or any other payment that would be unlawful under any applicable Anti-Corruption Legislation and Anti-Corruption Guidelines provided at Schedule 15;
- (g) institute, maintain and comply with appropriate policies, procedures, systems and controls that are in compliance with national laws and regulations and in furtherance of international best practices for anti-money laundering and combating the financing of terrorism ("AML/CFT"), including but not limited to:
  - a. a written policy on AML/CFT;
  - b. appropriate due diligence requirements;
  - c. record keeping;
  - d. reporting of suspicious transactions to authorities, where required; and

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e. AML/CFT training for staff;

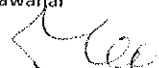
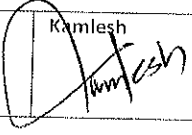
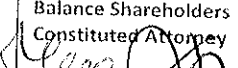
as may be suggested by the Investors in writing and agreed by the Company.

- (h) institute, maintain and comply with internal policies, procedures and controls for the purpose of ensuring that it will not enter into any transaction (i) with, or for the benefit of, any of the persons or entities (including any successor in interest or ultimate beneficial owner thereof) named on lists from time to time promulgated by, or (ii) related to any activity from time to time prohibited by, the United Nations Security Council or its committees pursuant to any resolution issued under Chapter VII of the United Nations Charter.
- (i) not engage in (or authorize or permit any of their Affiliates or any other person or entity acting on its behalf to engage in), any Sanctionable Practice with respect to any transaction contemplated in this Agreement and/or Articles or otherwise. It is hereby clarified that a breach by an Affiliate of this Clause to the extent the Promoters do not have any powers to prohibit such breach shall not be a breach of this Clause. It is further clarified that where a breach by an Affiliate occurs without any notice to or knowledge of the Promoters it shall not constitute breach of this Clause.
- (j) not make or hold any investments in any entity that (A) is sanctioned pursuant to United Nations Security Council resolutions issued under Chapter VII of the United Nations Charter; (B) is on the World Bank Listing of Ineligible Firms and Individuals or (C) has been convicted, indicted or subjected to any similar criminal sanction, by any court or governmental body of competent jurisdiction, for engaging in money laundering or financing of terrorism or any Sanctionable Practice.
- (k) on becoming aware of any violation of the Integrity Requirements, it shall promptly notify the Investors.
- (l) upon being notified by the Investors of its concern that there has been a violation of the Clauses 8.1(e) to (j), the United Nations Security Council Resolutions, any Sanctionable Practices in relation to the foregoing, the Company shall cooperate in good faith with the Investors and its representatives in determining whether such a violation has occurred, and shall respond promptly and in reasonable detail to any notice from the Investors, and shall furnish documentary support for such response upon such request.
- (m) the Promoter Group shall not Transfer, and the Company shall not permit the Transfer of, any of their interests in the Company to any person or entities (A) named on lists promulgated from time to time by the United Nations Security Council or its committees pursuant to any resolution issued under Chapter VII of the United Nations Charter; (B) named on the World Bank Listing of Ineligible Firms and Individuals (see [www.worldbank.org/debarr](http://www.worldbank.org/debarr) or any successor website or location); or (C) convicted, or subjected to any similar criminal sanction, by any court or governmental body of competent jurisdiction, for engaging in money laundering or financing of terrorism or any Sanctionable Practice, or in each case, to any successor in interest or ultimate beneficial owner thereof.

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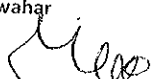
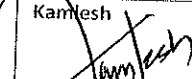
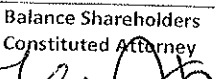
- (n) on sale of office bearing No. 708 on the 7<sup>th</sup> floor, Gateway Plaza, Hiranandani Garden, Powai, Mumbai the Company shall and the Promoters shall ensure that the sale proceeds of the said premises are infused into the Company and recorded in the books of the Company;
- (o) cause the Company to duly pay and/or make provisions for dues and/or Taxes payable under Law;
- (p) complies with all the recommendations contained of the environmental and social due diligence report which is more particularly set out in Schedule 16;
- (q) delivers to the Investors within 45 days after the end of each Financial Year, the Annual Monitoring Report in the format provided by the Investors, consistent with the requirements of this Agreement confirming compliance with Schedule 16, the social and environmental covenants set forth in Section in this Agreement, identifying any non-compliance or failure, and the actions being taken to remedy any such deficiency.
- (r) notify the Investors within 36 hours after its occurrence, of any social, labour, health and safety, security or environmental incident, accident or circumstance having, or which could reasonably be expected to have, any material impact on the implementation or operation of the Project in compliance with the Investors' Social and Environmental Policy or a material adverse effect, specifying in each case the nature of the incident, accident, or circumstance and the impact or effect arising or likely to arise there from, and the measures the Investee is taking or plans to take to address them and to prevent any future similar event; and keep the Investors informed of the on-going implementation of those measures.
- (s) schedule a review meeting between the Investors and Promoters every month to discuss various aspects of the Business;
- (t) comply with the Dividend Policy;
- (u) notify the Investors promptly in writing of, and contemporaneously provide the Investors with true and complete copies of, any and all information or documents relating to any event, transaction, or circumstance occurring after the Execution Date that:
  - (i) causes or will cause any material covenant or agreement of the Promoters, Balance Shareholders or the Company made under the Transaction Documents and any other ancillary agreement(s) between the Parties to be breached;
  - (ii) renders or will render untrue any of the Representations and Warranties;
  - (iii) results in any Material Adverse Change,

and, without prejudice to the rights and remedies available to the Investors under

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this Agreement or applicable Law, the Company, Balance Shareholders and the Promoters shall use all reasonable efforts to cure, any such breach or misrepresentation or event, whether occurring or arising before or after the Execution Date.

- (v) FCPA and PMLA covenants. The Promoters and the Company hereby agree and undertake, and agree to cause any Subsidiaries of the Company (present or future) to agree and undertake, that:
- (i) they and/or their Affiliates shall not engage, by themselves directly or by authorizing any Person to do so, in any offering, giving, receiving, or soliciting, any money, gifts, gratifications or any other thing of value to any Government Official (as defined herein below) or any other Person, that will amount to a violation of the U.S. Foreign Corrupt Practices Act; 15 U.S.C. §78dd-1, et seq. as amended (the "FCPA"), and the Prevention of Money Laundering Act, 2002 ("PMLA") and other equivalent applicable Law to the Company and/or the Subsidiaries and/or the Promoters and/or their Affiliates and/or any persons authorised by them, notwithstanding the applicability of the FCPA and/or the PMLA to the Company and/or the Subsidiaries and/or the Promoters and/or their Affiliates and/or any persons authorised by them, in relation to such conduct.
- (ii) they shall not and further undertake to ensure that their respective directors, officers, representatives, employees, advisors and agents do not, make any offer, payment, promise to pay or authorise the payment of any money, or other property, gift, promise to give, or authorization of the giving of anything of value to any government official (including without limitation, any tax or customs official, any employee of a government owned or controlled company, or of a public international organization, or any person acting in an official capacity on behalf of a government, government owned or controlled company, or public international organization), or to any arbitration tribunal, or to any political party or an employee of any political party, domestic or foreign (or official thereof) ("Government Official") or to any other Person who was or is in a position to help or hinder the Business of the Company, its Subsidiaries, the Promoters and their Affiliates: (i) with the intent or purpose of influencing such Government Official or other Person in his official capacity, inducing such Government Official to do or omit to do any act in violation of the lawful duty of such official, or securing any improper advantage; (ii) inducing such Government Official to use his influence with a government or instrumentality thereof to affect or influence any act or decision of such government or instrumentality; (iii) that would cause the Company, its Subsidiaries, the Promoters and/or their Affiliates and their respective directors, and employees to violate or be in violation of any applicable Law (including without limitation the FCPA, as amended from time to time, notwithstanding the applicability of the FCPA and/or the PMLA to the Company and/or the Subsidiaries and/or the Promoters and/or their

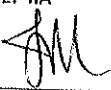
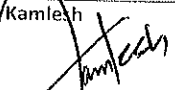
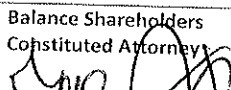
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Affiliates and/or any persons authorised by them, in relation to such conduct) or subject it or them to damages or penalties in a civil or criminal proceeding; or (iv) that could reasonably be expected to have a material adverse effect, if not discontinued.

- (iii) the Company and the Subsidiaries shall comply with the FCPA policy, as adopted by the Board, effective from the Closing Date.
- (iv) each of the Company, the Subsidiaries, the Promoters and their Affiliates are: (a) not currently identified on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Office of Foreign Assets Control, Department of the Treasury ("OFAC") and/or on any other similar list maintained by OFAC or any other U.S. governmental agency pursuant to any authorising statute, Order or regulation, and (b) not a person or entity with whom a citizen of the United States is prohibited to engage in transactions by any trade embargo, economic sanction, or other prohibition of United States Law, regulation, or Order of the President of the United States.
- (v) they and their Affiliates and their respective directors, officers, representatives, employees, advisors and agents have not provided or collected funds with the intention that they be used, or in the knowledge that they are to be used, in order to carry out terrorist acts or support any terrorist organization.
- (vi) the Company, its Subsidiaries, the Promoters (as applicable) shall issue to the IBEF IIA, a certificate on an annual basis, in a form and substance satisfactory to the IBEF IIA, certifying compliance with the provisions of this Section.
- (vii) The Company and its Subsidiaries shall adopt at their Board meetings and implement all compliance related policies and procedures in relation to matters set out in this Clause 8.1(v), as the Investors may deem necessary from time to time.

## 8.2 Covenants of the Promoters

- (a) The Promoters shall ensure timely performance of all of the obligations required to be performed and/or complied with and/or undertaken by the Company under the Transaction Documents.
- (b) The Promoters shall ensure that the Company complies with all the recommendations contained in Schedule 16
- (c) The Promoters shall ensure that the Company is not in any manner impacted by any personal liabilities of any of the Promoter Directors or any of the Promoters or Balance Shareholders.

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- (d) The Promoters and the Balance Shareholders undertake to not create any Encumbrance on any of the Securities legally or beneficially owned by the Promoters and the Balance Shareholders at any point of time without the prior written consent of the Investor, except as permitted under this Agreement or when required to do so by banks / financial institutions for Company's borrowings in the Ordinary Course of Business.
- (e) The Promoters, Balance Shareholders and their respective Affiliates irrevocably agree and undertake that they shall not have any recourse against the Company in any manner whatsoever and/or seek any assistance from the Company in relation to their personal borrowings and/or guarantee and indemnity obligations save and except the guarantees and indemnity obligations assumed by the Promoters for and on behalf of the Company
- (f) The Promoters undertake to assist in obtaining necessary Authorisations, financing and guarantees necessary for the operations of the Company. In addition, the Promoters agree and undertake not to: (i) charge commission or any other charges from the Company in relation to obtaining Authorisations for the Company; (ii) charge commission or any other charges in relation to provision of personal guarantees by the Promoters to banks/financial institutions with respect to the loans and other facilities obtained by the Company.
- (g) The Promoters shall be responsible for the implementation of the Business Plan and for the day-to-day management and operations of the Company,
- (h) The Promoters shall ensure that all the Key Management Persons shall be employees of the Company and may not be removed from their role without prior consent of the Investors.
- (i) Other than spending the same time and focus on the Ancillary Entities as the Promoters have spent prior to Closing, the Promoters shall focus their remaining entire time and efforts completely on the Company and its Business as long as the Investors hold Securities in Company. For avoidance of doubt, it is stated that the Promoters shall at all points of time be entitled to commit the same amount of time towards the Ancillary Entities as they have been doing prior to Closing.
- (j) Without the specific written approval of the Board (with the affirmative vote of the Investors), the Promoters (who are also Directors) will be not be paid more than an aggregate annual remuneration of Rs 1,08,00,000 (Rupees One Crore Eight Lakhs only) each for the Financial Year 2013-14 payable monthly with an increment @ 10% (Ten percent) per annum for the term of this Agreement. It is clarified that the remuneration of the Promoter Directors (other than the Promoters) who are working as executives in the Company will be in line with salary/remuneration paid to any other Person with a similar designation as per Company policies and not be remunerated/paid like the Promoters as mentioned above.
- (k) The Promoters will ensure strengthening of the senior management team of the Company in mutual discussions with the Investors including appointment of some

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new senior members in the management staff of the Company.

### 8.3 Business Plan

The Promoters and the Balance Shareholders shall cause the Company to, and the Company shall, obtain the approval of the Investors with respect to the Business Plan on an annual basis (a draft copy of which shall be provided by the Company to the Investors on or before 20<sup>th</sup> March every year for the forthcoming Financial Year).

### 8.4 Re-definition of the Promoters

- (a) The Company, the Promoters and the Balance Shareholders acknowledge that the Investors are not a 'promoter' or part of the 'promoter group' of the Company in general or as understood under the Act or the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009, as amended from time to time. The Parties agree, acknowledge and undertake that the Company shall not under any circumstances declare, publish or disclose the Investors in any document related to a public offering/IPO, accounts or any public disclosures as "promoters" or part of the "promoter group" of the Company. The Company and Promoters undertake to take all necessary steps to ensure that the Investors shall not be considered as a "promoter" or part of the "promoter group" of the Company in any IPO-related filing made by the Company or the Promoters.
- (b) Except as may be expressly agreed to the contrary hereto, the Promoters shall, subject to compliance with applicable Laws, ensure that any Securities as may be required to comply with the statutory lock-in requirements imposed by applicable Law on the promoters of companies, if any, shall be contributed solely by the Promoters and none of the Investor Securities shall be offered for any lock-in applicable to the promoters or promoter group. The Investors shall have the right to review, approve and seek appropriate amendments to all documents related to the IPO, accounts or public disclosures to ensure compliance with the provisions of this Clause 8.4.

## 9. NON-COMPETE AND NON-SOLICITATION

### 9.1 Non-Compete

- (a) None of the Promoters and/or their Affiliates shall, jointly and/or severally, directly or indirectly, and whether: (i) individually, through a partnership or as a shareholder, joint venture partner, collaborator, lender, financier, consultant, advisor, secondee, principal contractor or sub-contractor, director, trustee, committee member, office bearer or agent or in any other manner whatsoever (other than through shareholding of 5% (five Percent) or less in listed companies or by purchasing units of any mutual funds), or (ii) along with a Director, partner, consultant, manager, employee, Shareholder, agent or otherwise, and whether for profit or otherwise:
- (i) engage in any business which competes with the whole or any part of the Business, except through the Company and its wholly owned subsidiaries; and/or

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- (ii) initiate any new activities or expansions to the Business other than through the Company and its wholly owned subsidiaries.
- (b) The Parties have agreed that the Ancillary Entities shall not undertake any new activity which is (i) similar and/or competing with the Business and (ii) related to manufacturing and/or supplying of building materials, however, the Ancillary Entities shall continue to carry on their existing business/activities. Any activity or business which is not similar or competing to the Business can be undertaken by the Ancillary Entities.
- (c) The Promoters further agree that they will direct all commercial opportunities related to the Business that the Company is engaged in or intends to engage in and that are available to the Promoters, to the Company.
- (d) The Promoters agree and acknowledge that no separate non-compete fees are payable to the Promoters, and the consideration for the non-compete restriction contained herein is deemed to have been received under this Agreement and the Promoters also acknowledge the receipt and sufficiency of such consideration
- (e) For removal of doubt, for the purposes of this clause 9.1, the Promoters shall be deemed to be indirectly engaged in the activities mentioned in clause 9.1(a) above if any of them or any one or more of their respective Affiliates own(s) more than 5% ownership interest and/or financial interest in any entity carrying on any such activity.

## 9.2 Non-Solicitation

- (a) The Promoters and the Investors acknowledge that the ability of the Company to conduct and operate its Business depends upon: (i) its ability to attract and retain skilled people and that the Company has and will continue to invest substantial resources in training such people, and (ii) its ability to attract and retain customers and business associates. Each Promoter and the Investors hereby agree that the Promoters and the Investors shall not:
  - (i) directly or indirectly, partner with or enter into any activity or hire or attempt to hire for any purpose whatsoever (whether as an employee, consultant, advisor, independent contractor, partner or otherwise) any employee of the Company or any Person who was an important employee of the Company at any time during the last 12 (Twelve) months of his/ her employment, and shall use its best efforts to prevent any of its Related Parties from taking any such action;
  - (ii) identify any employee as potential candidates for employment to any third party;
  - (iii) personally or through any other Person, approach, recruit or otherwise solicit employees of the Company or the Investors to work for any other employer; and/or

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- (iv) persuade any Person which is a client/customer/business associate of the Company, to cease doing business or to reduce the amount of business which any such client/customer/business associate has customarily done or might propose doing with the Company or canvas or solicit any business or custom similar to the Business.

**9.3** The Parties acknowledge and agree that the restrictions in Clauses 9.1 and 9.2 above are considered reasonable for the legitimate protection of the Business and goodwill of the Company, but in the event that such restriction shall be found to be void under Law or otherwise, but would be valid if some part thereof was deleted or the scope, period or area of application were reduced, the above restriction shall apply with the deletion of such words or such reduction of scope, period or area of application as may be required to make the restrictions contained in this Clause valid and effective under Law and otherwise. Notwithstanding the limitation of this provision by any Law for the time being in force, the Parties undertake to at all times observe and be bound by the spirit of Clauses 9.1 and 9.2 above. *Provided however*, upon revocation, removal or diminution of the applicable Law or provisions, as the case may be, by virtue of which the restrictions contained in Clauses 9.1 and 9.2 were limited as provided hereinabove, the original restrictions would stand renewed and be effective to their original extent, as if they had not been limited by the Law or provisions revoked. The Parties hereto expressly acknowledge and agree that the Investors would not proceed with the subscription and purchase contemplated herein but for the Promoters' covenants under the abovementioned Clauses 9.1 and 9.2.

## **10. EXERCISE OF RIGHTS**

**10.1** Without prejudice to the other provisions of this Agreement, the Parties shall exercise all powers and rights available to them (including their voting rights and their rights as and in respect of Directors), in support of the provisions of the Transaction Documents and so as to procure and ensure that the provisions of the Transaction Documents are complied with in all respects by the Company.

**10.2** The Parties shall be jointly and severally liable to ensure the performance of the Transaction Documents. The Promoters and Balance Shareholders agree that for the purposes of this Agreement, the Promoters and Balance Shareholders will be considered as a single block of Shareholders and shall at all times act jointly.

**10.3** If there is any ambiguity, inconsistency or conflict between the provisions of this Agreement and the Memorandum and Articles (as the case may be), such ambiguity, conflict or inconsistency shall be resolved by promptly taking all such actions as are necessary to amend the Memorandum and Articles (as the case may be) to eliminate such inconsistency or ambiguity from the Memorandum and Articles (as the case may be) and to replace it with a term that is consistent with this Agreement. In the meantime, while any such amendments to the Articles (as the case may be) are pending, no Shareholder shall seek to enforce the provision of the Articles, as the case may be, that is being amended so as to avoid the inconsistency with the provisions of this Agreement.

## **11. INFORMATION RIGHTS, INSPECTION AND MONITORING**

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11.1 The Company shall keep and maintain complete and accurate books of account in which full and correct entries shall be made of all financial transactions and the Assets and Business in accordance with Indian GAAP.

11.2 The Company shall provide to the Investors or to any representative of the Investors (as the Investors may specifically notify) and each of the Investor Directors, the following information, with or without specific request from the Investor:

- (a) Audited annual financial statements (within 90 (ninety) days from the end of each Financial Year) except for Financial Year 2013-2014 which shall be provided on September 30, 2014;
- (b) Unaudited annual financial statements (within 45 (forty five) days from the end of each Financial Year) except for Financial Year 2013-2014 which shall be provided on June 30, 2014;
- (c) Unaudited quarterly financial statements (within 30 (thirty) days from the end of each quarter of each Financial Year) except for the quarter ended March 31, 2014
- (d) Unaudited monthly management information systems ("MIS") or other similar reports (in a format as specified by the Investor) with respect to each month (within 15 (Fifteen) days from the start of the following month);
- (e) A proposed draft Business Plan for a Financial Year for approval in writing from the Investor, prior to being tabled before the Board (on or before 20<sup>th</sup> March for the forthcoming Financial Year);
- (f) Within 7 (seven) Business Days, details of any litigation or judicial proceedings (including proceedings for winding-up or with respect to any notices received under the applicable Laws), proceedings or material dispute or adverse changes that impedes or which is likely to adversely affect the Company's Business or Assets or otherwise;
- (g) Within 7 (seven) Business Days, details of any withdrawal of material banking and/or credit facilities of the Company, together with a description of the Company's efforts to restore adequate banking and/or credit facilities.
- (h) Minutes of meetings of Board, committees of the Board and Shareholders of the Company (within 15 (Fifteen) days of the occurrence of such events);
- (i) Within 10 (ten) days of expiry of every quarter of a Financial Year, provide declaration on Securities held and Encumbered to banks and financial institutions in the Ordinary Course of Business (as permitted under Clause 8.2(d)) by each of the Promoter Group; Within 10 (ten) Business Days, details of any Force Majeure Event or any other event which results in or could result in any Material Adverse Change along with the estimated duration and the effect or probable effect which such Force Majeure Event is having or will have on the Company's performance and the measures which the Company and Promoters are taking or proposes to take for alleviating the impact of such Force Majeure Event; and

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- (j) Such other financial and accounting reports and other information as the Investors may reasonably request.

11.3 The Company shall give full access to the Investors and its authorised representatives (including its counsel, accountants, auditors and other professional advisors) to visit and inspect and take copies of all records, reports, books, contracts and commitments of the Company in relation to its properties, Assets, Liabilities, corporate and financial affairs, and to discuss and consult its business, operations, actions plans, budgets and finances with the Directors and Key Management Persons upon reasonable notice of 5 (five) Business Days.

11.4 The Investors shall have the right to appoint an external auditor with the mutual agreement and at the cost (subject to a maximum of Rs. 10,00,000 as fees) of the Company to ensure compliance by the Company, Promoters and Balance Shareholders with the terms and conditions and obligations contained in the Transaction Documents.

#### 11.5 UNITED STATES PASSIVE INVESTOR COVENANTS

(a) The Promoters and the Company hereby agree and undertake that for any years in which IBEF IIA or its Affiliates are a Shareholder (directly, indirectly or constructively) in the Company, the Company shall provide and the Promoters shall ensure that the Company does provide to IBEF IIA or its Affiliates, as the case may be, any information reasonably requested for the purposes of filing any tax return, amended tax return or claim for refund, determining a liability for taxes or a right to a refund of taxes, participating in or conducting any audit or other proceeding in respect of taxes, or claiming the benefit of any double tax treaty under which any withholding tax can be eliminated or reduced, or under which a refund of a tax credit may be claimed in each case relating to its subscription or holding of or enjoyment of rights attaching to the Equity Shares or Share Equivalents including, without limitation, (i) information necessary for IBEF IIA, or its Affiliate, as the case may be, to determine whether the Company or any of its Subsidiaries is a "passive foreign investment company" ("PFIC") within the meaning of Section 1297 of the Internal Revenue Code ("IRC"), enacted by the United States of America Congress in Title 26 of the United States Code (26 U.S.C.); and (ii) for each year for IBEF IIA, or its Affiliate, as the case may be, determines that the Company or any of its Subsidiaries was or may have been a PFIC, information (including complying with applicable reporting requirements) necessary in order to enable IBEF IIA, or its Affiliate, as the case may be, to make a timely "qualified electing fund" election pursuant to Section 1295 of the IRC or to make any similar election under any successor provision or legislation.

(b) IBEF IIA will hereby be designated as the United States tax matters shareholder and shall be authorized to:

- (i) make on behalf of the Company and any of its Subsidiaries and all United States tax elections, including an entity classification election and;
- (ii) provide on behalf of the Company and any of its Subsidiaries and all information necessary to file, or assist with the filing of, all United States tax documentation, including a request for taxpayer identification number.

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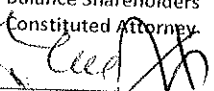
- (c) Without limitation to any other provisions in this Agreement, the Company agrees that it will, and the Promoters shall ensure that the Company will:
- (i) provide IBEF IIA or its Affiliates, as the case may be, with sixty (60) days prior notice and shall consult with IBEF IIA with respect to any significant transfer, acquisition, liquidation, etc. of Equity Shares or Share Equivalents or a majority of the assets of the Company or any of its Subsidiaries;
  - (ii) discuss the US tax implications informed of by IBEF IIA of any such transaction with IBEF IIA and its advisers, and consider reasonable recommendations by IBEF IIA to ameliorate US tax issues that may arise in connection with such transaction; and
  - (iii) provide IBEF IIA with sixty (60) days prior notice and shall consult with the Investors with respect to any inter – corporate loans and deposits or third party financings, re-financings, loans, guarantees, or other similar indebtedness.

## 12. TRANSFER OF SECURITIES

### 12.1 Restriction on Transfer of Securities

- (a) The Promoter Group shall not Transfer any Securities or any right, title or interest in any Security held by them unless the Transfer is in conformity with the provisions of this Agreement. Any Transfer or attempt to Transfer Securities by any of the Parties in breach of this Agreement shall be null and void *ab initio*, and shall not be binding on the Company and the Company shall not register such Transfer.
- (b) Other than as provided in this Agreement, the Promoter Group shall not place their Securities in a voting trust or enter into a voting agreement or similar arrangement with respect to their Securities. This prohibition shall not apply to proxies granted in accordance with the Articles and applicable Law.
- (c) The Shareholders hereby agree that the Transfer restrictions in this Agreement (and subsequently incorporated into the Articles) shall not be capable of being avoided by the holding of Securities indirectly through any other Person, which Person (or its shares or interest or holding) can be sold/Transferred in order to dispose of an interest in the Securities.
- (d) Notwithstanding anything to the contrary contained in this Agreement, the Parties agree that the restrictions under this Agreement on Transfer by the Promoters on the Securities held by them shall, subject to the Investor's written consent, not apply to any Encumbrance required to be created for the purpose of collateral to secure any loans or borrowings obtained by the Company in the Ordinary Course of Business.

### 12.2 Regulatory Approvals

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Where any Investor requires Authorisations or shareholder consent for an acquisition or disposal of Investor Securities pursuant to this Agreement then notwithstanding any other provision of this Agreement the Investor shall only be obliged to acquire or dispose of Investor Securities once such consent or approval is obtained, and the Parties shall use their reasonable endeavours to obtain any such required approvals. In computing the period within which the transactions contemplated in this Clause 12 should be completed, the time required for obtaining the necessary Authorisations shall not be included.

### 12.3 Transfer by the Promoter

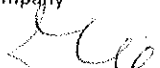
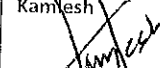
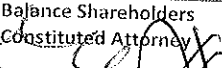
- (a) *Lock in:* Except as specifically permitted under Clause 12.3(b) (*Permitted Transfers*) The Promoter Group shall not Transfer any of the Securities held by them till such time as the Investors hold 6.5 % (six point five percent) of the Equity Share capital on a Fully Diluted Basis ("**Lock In Period**").
- (b) *Permitted Transfers during Lock-in Period:* During the Lock In Period, the following Transfer of Securities by the Promoter Group shall be permitted ("**Permitted Transfers**"):
- (i) After the expiry of 36 (thirty six) months from the Closing Date, the Promoter Group shall be permitted, in aggregate, to Transfer a maximum of 5% (five percent) of the Equity Share capital on a Fully Diluted Basis on the following terms:
- (A) Such Transfers shall take place at a price equal to or more than the price per Equity Share (computed on a Fully Diluted Basis) to achieve an IRR @ 16% (sixteen percent) on the Post Money Equity Valuation of the Company ("**Transfer Price**").
- (B) The Promoter Group shall disclose the identity of any proposed Transferee to the Investors at least 15 (fifteen) days prior to the proposed Closing of the Transfer. Prior to the Transfer, if the Investors form a reasonable opinion that the Transferee is not of the right antecedents and/or that such Person being a Shareholder/Security holder may cause any reputational or other risk to the Company, then the Promoter Group shall not carry out the proposed Transfer.

For the purpose of this Clause "reputational or other risk" shall mean where such transferee or its promoters are in the negative list of the International Financial Corporation ("IFC") or where such transferee or its promoters have been convicted of (and no appeal is pending and stayed against such conviction) any criminal offence (other than a traffic violation or similar offense). In the event where such transferee or its promoters are in such negative list and the Promoters are still desirous of transferring to such transferee, and in the event the Investors disagree, the Parties shall refer the said matter to the President of Institute of Chartered Accountants of India (or any substitute thereof) ("**Expert**") for assessing the

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reputational risk of such transferee. The decision of Expert on the matter shall be binding on the Parties.

- (C) In the event any of the Promoters are desirous of making a Transfer of any Securities held by them to any Person pursuant to (A) above, then such Promoter ("**Transferring Promoter**") shall first grant to the Investors a right of first offer to purchase such Securities in accordance with the provisions of sub-clauses (D) to (F) below ("**Investor ROFO**"), and for this purpose, deliver a written notice to the Investors requesting a purchase offer for such Securities ("**Investor ROFO Notice**") setting forth the number of Securities proposed to be sold by the Transferring Promoter ("**Promoter ROFO Securities**").
- (D) Within 15 (fifteen) days from the date of the Investor ROFO Notice ("**Investor Offer Period**"), the Investors may make an offer to the Transferring Promoter to purchase all (and not part) of the Promoter ROFO Securities ("**Investor Offer**"). The Investor Offer shall include the price per share that the Investors are willing to pay for the Promoter ROFO Securities ("**Investor Offer Price**").
- (E) If the Investors deliver any Investor Offer to the Transferring Promoter within the Investor Offer Period, and the Investor Offer Price is acceptable to the Transferring Promoter, then it shall communicate its acceptance in writing to the Investor. The closing of such Transfer of Promoter ROFO Securities from the Transferring Promoter to the Investors shall take place on a date mutually agreed between them which shall be within 15 (Fifteen) days from the expiry of the Investor Offer Period, unless such date is mutually extended by them. At such closing, the Transferring Promoter shall deliver duly stamped and endorsed certificates representing the Promoter ROFO Securities, accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such Promoter ROFO Securities to the Investors such Promoter ROFO Securities. The Transferring Promoter shall provide customary representations and warranties as relevant at such time of Transfer as may be reasonably required by the Investors. Along with the Transfer of the Promoter ROFO Securities to it, the Investors shall simultaneously make payment in full of the sale consideration for such Promoter ROFO Securities, as per the Investor Offer. At such closing, the Parties shall execute such additional documents as may be necessary or appropriate to affect the sale of the Promoter ROFO Securities to the Investors. Upon any purchase of Promoter ROFO Securities by the Investors, such Promoter ROFO Securities shall also be deemed to be included in the definition of Investor Securities other than for the purposes of (a) Buy-back and Promoter put pursuant to Clauses 17.5 and 17.6, (b) Event of Default exit pursuant to the proviso to Clause 18.2(c)(i), it being clarified that the exit applicable in such case for Clauses 17.5 and 17.6 and 18.2(c)(i) would

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be based on FMV for the ROFO Securities, (c) for the purpose of a Tag Along Right of the Investors under Clause 12.4 other than the right to Tag Along pursuant to Clause 12.4 (i), and (d) for the gross up indemnity provided to the Investors under Clause 16.9 to the extent of the Promoter ROFO Securities.

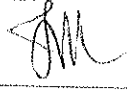
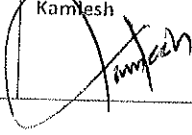
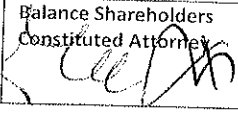
- (F) In the event that: (i) the Investors do not respond to the Investor ROFO Notice within the Investor Offer Period; (ii) the Investors send a written notice to the Transferring Promoter stating that it is not willing to purchase any Promoter ROFO Securities; (iii) the Promoter is not willing to Transfer the Promoter ROFO Securities at the Investor Offer Price; or (iv) the Transfer of the Promoter ROFO Securities does not take place within the timelines set out in (c) above, then the Investor ROFO shall lapse and the Promoter shall be free to Transfer the Promoter ROFO Securities to any Person at the price set out in Clause A above, or if the Investors have offered an Investor Offer Price and is willing to complete the transaction at such price, at a price not less than 105% (one hundred five percent) of the Investor Offer Price, whichever is higher.

In case of above Transfer in accordance with Clause (i) above, the Promoter Group will not be bound to offer any Tag Along Right to the Investor.

- (ii) The Promoters and Balance Shareholders shall be permitted to Transfer Securities to the other Persons within the Promoter Group and such Transfer shall not be subject to any restrictions under this Agreement including the Tag Along to the Investor. Provided however that, the Promoters shall retain at least 51% shareholding in the Company on a Fully Diluted Basis.
- (iii) Apart from the Transfers set out in (i) and (ii) above, the Promoter Group may Transfer Securities only with the prior written consent of the Investors for the Transfer, including the proposed Transferee, the sale price of Securities and all other terms and conditions of the Transfer. Such Transfer shall be subject to the Investors' Tag Along Right.
- (c) *Transfers Post the Lock-in Period:* Post the Lock In Period and subject to the provisions of Clause 23.1 below, the Promoter Group shall be entitled to Transfer the Securities held by them *provided however that* (i) the Promoters shall give the Investors at least 14 (fourteen) Business Days' prior written intimation before the date of entering into any agreement, arrangement or understanding with respect to such Transfer; and (ii) such Transfer shall be subject to the Investors' Tag Along Right.

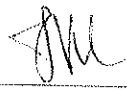
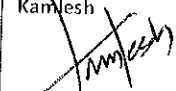
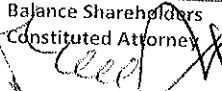
#### 12.4 Investor Tag Along Right

In the event any Person in the Promoter Group is desirous of making a Transfer of any Securities held by him to any Person ("Purchaser") pursuant to Clause 12.3(b)(iii) and

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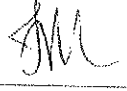
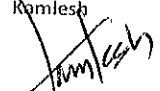
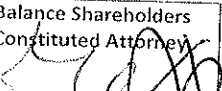
12.3(c), then such Person ("Transferring Shareholder") shall ensure that the Investors have the option of exercising their tag along right in terms of this Clause ("Tag Along Right"):

- (a) The Transferring Shareholder shall deliver a written notice to the Investors offering ("Tag Notice") setting forth the following details: (i) the number of Securities proposed to be sold to the Purchaser ("Sale Securities"); (ii) the consideration, terms of payment and all other terms and conditions for the proposed Transfer; and (iii) the identity of the Purchaser. In the event that the proposed consideration for the Transfer includes consideration other than cash, the Tag Notice shall include a calculation of the FMV of such consideration as determined by any Big Four Accounting Firms, or any other accounting firm mutually acceptable to the Parties, appointed and remunerated by the Transferring Shareholder. It is further agreed between the Parties that in the event that the proposed consideration for the said Transfer includes consideration other than cash, then the Investors shall have an option to call for and receive the cash equivalent of any non-cash component of the consideration to be received by the Transferring Shareholder.
- (b) Upon receipt of the Tag Notice any Investor may, by a notice in writing, refuse to permit the proposed Transfer by the Transferring Shareholder in accordance with Clause 12.3(b)(iii), in which case the Transferring Shareholder shall not be entitled to consummate the proposed Transfer. For avoidance of doubt it is stated herein that such ability of the Investors to refuse the proposed Transfer is only applicable for a Transfer under and in accordance with the provisions of Clause 12.3(b)(iii).
- (c) Upon receipt of the Tag Notice, each Investor shall be entitled to (but not obliged to) exercise its Tag Along Right by offering for sale the Investor Securities held by it up to a maximum equal to the Investor Tag Limit (computed on a Fully Diluted Basis), for the consideration and on terms and conditions mentioned in the Tag Notice or any other terms and conditions as may be mutually agreed in writing between the Investor, the Transferring Shareholder and the Purchaser (the above terms, as applicable, shall be referred to as "Tag Along Terms"). Each Investor shall be entitled to exercise the Tag Along Right by delivering a notice in writing to the Transferring Shareholder ("Tag Along Acceptance Notice") within 15 (Fifteen) days from the date of the Tag Notice ("Tag Along Acceptance Period") setting out the number of Investor Securities which the Investor desires to sell to the Purchaser, within the Investor Tag Limit ("Tag Along Securities"). The Tag Along Acceptance Notice shall constitute a binding obligation: (i) on the Transferring Shareholder to ensure that the Purchaser purchases the Tag Along Securities, and (ii) on the Investor to Transfer the Tag Along Securities to the Purchaser, simultaneously with the Sale Securities, and in accordance with the Tag Along Terms.
- (d) If any Investor issues the Tag Along Acceptance Notice, the closing of any purchase of the Tag Along Securities by the Purchaser from the Investor shall take place simultaneously with the closing of the purchase of any Sale Securities by the Purchaser from the Transferring Shareholder, which shall in no case be later than 60 (Sixty) days from the expiry of the Tag Along Acceptance Period. At such closing, the Investor shall deliver duly stamped and endorsed certificates representing the Tag Along Securities, accompanied by duly executed and/or stamped instructions/instruments of transfer in relation to such Tag Along Securities. Such Investor shall

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make such standard representations and warranties regarding the Investor's rights, title and interest in the Tag Along Securities. Such Investor will not be required to provide any other representation, covenants or undertakings, or incur any obligations to the Purchaser or any Person.

- (e) If the Purchaser is not willing to purchase the Tag Along Securities from an Investor, then the Transferring Shareholder shall not be entitled to Transfer any of the Sale Securities to the Purchaser. If the Purchaser is willing to purchase only a part of the Sale Securities and the Tag Along Securities, the number of Sale Securities to be sold to the Purchaser shall be proportionately reduced so as to ensure the Investor is able to sell its proportionate Tag Along Securities.
- (f) Any Purchaser purchasing the Tag Along Securities shall deliver at such closing, payment in full for the Tag Along Securities and the Sale Securities (or part thereof in accordance with sub-clause (d) above, as the case may be) to their respective holders in accordance with the Tag Along Terms. At such closing, all of the parties to the transaction shall execute such additional documents as may be necessary or appropriate to affect the sale of such Securities to the Purchaser.
- (g) If, (a) the Tag Along Acceptance Notice is not delivered by any Investor prior to expiry of the Tag Along Acceptance Period; or (b) the Investors indicate in writing to the Transferring Shareholder that they shall not exercise the Tag Along Right, the Tag Along Right will lapse, and the Transferring Shareholder shall thereafter be free to dispose of the Sale Securities within a period of 60 (sixty) days from the expiry of the Tag Along Acceptance Period, *provided however that* it shall (a) not sell the Sale Securities to any Person other than the Purchaser; (b) not sell the Sale Securities to the Purchaser for a consideration higher or more than 5% lower than Transfer Price, than the consideration and the terms set out in the Tag Notice.
- (h) If the (a) Transfer of the Sale Securities to the Purchaser within 60 (sixty) days from the Tag Along Acceptance Period in accordance with Clause 12.4 (d); or (b) the sale of the Tag Along Securities by the Investors do not take place within the 60 (Sixty) days from the expiry of the Tag Along Acceptance Period in accordance with 12.4 (g), the Tag Notice and the Tag Along Acceptance Notice (if any), as the case may be, shall lapse and the provisions of Clauses 12.4 shall apply *de novo* to any proposed Transfer of Securities by the Transferring Shareholder, including the requirement for the Transferring Shareholder to issue a fresh Tag Notice, and obtain another Tag Along Acceptance Notice / approval (if required) from the Investor.
- (i) Notwithstanding anything contained in this Agreement, in the event the Promoter Group is desirous of making a Transfer of any Securities held by them to any Person pursuant to Clause 12.3(c) and such Transfer results in a change in Control of the Company, the Investors shall have a Tag Along Right to the extent of Investors' entire shareholding in the Company on Fully Diluted Basis and the provisions laid down in this Clause shall mutatis mutandis be applicable to such Transfer by the Promoter Group.
- (j) For the purposes of this Clause "Investor Tag Limit" shall mean (a) in case no change in Control of the Company is taking place pursuant to a Transfer as contemplated

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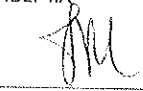
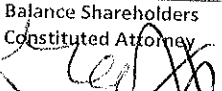


herein, {number of Equity Shares represented by the Sale Securities on a Fully Diluted Basis / number of Equity Shares of the Company (on a Fully Diluted Basis)} \* (number of Equity Shares held by the Investors on a Fully Diluted Basis).

For the purpose of this Clause "Control" with respect to a Person, includes the right to appoint majority of the directors or to control the management or policy decisions of such Person exercisable by a Person or Persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or management rights or shareholders agreements or voting agreements or in any other manner and includes, without prejudice to the generality of the foregoing, where the acquirer along with person(s) acting in concert with the acquirer, subsequent to such transaction are, directly or indirectly holds 51% in the Company.

## 12.5 Investor Transfer/Encumbrance

- (a) Each Investor shall be free to Transfer any of their Investor Securities to any Affiliate without any restrictions whatsoever, subject to the Affiliate executing a Deed of Adherence. It is clarified that where such Affiliate of the Investor or the Investors is a Competitor, the Transfer would be permitted in the circumstances set out in Clauses 17 and 18.
- (b) Notwithstanding anything to the contrary in this Agreement, including the provisions of Clause 17 (Exit) each Investor shall be free to Transfer any of their Investor Securities to any Financial Investor at any time whatsoever on the following terms and conditions:
  - (i) In the event of the Transfer of Securities by any Investor to a Financial Investor, the Promoter shall be deemed to have given their consent to such Financial Investor to subscribe to such fresh Securities to be issued by the Company up to a maximum of 2% of the then fully diluted share capital of the Company and in a proportionate basis to the extent of the Transfer by the Investor of the Investor Securities as held by the Investor on date of such Transfer. Any fresh infusion more than the above referred 2% of the then fully diluted share capital of the Company, will require specific written consent of the Promoters at the sole discretion of the Promoters. Such fresh Securities will be issued to the Financial Investor simultaneously with the acquisition of the Investor Securities.
  - (ii) Any proposed primary infusion by the Financial Investor above the limit set out in (i) above shall require the prior written consent of the Promoter.
  - (iii) The Promoters and the Company shall provide customary representations and warranties and indemnities to the Financial Investor regarding the Business and the affairs of the Company and the Investor shall only provide representations and warranties to the Financial Investor regarding the Investor's rights, title and interest in the Investor Securities.
  - (iv) Where such Financial Investor is a business corporate, such relevant business corporate should not be engaged in the Business and should

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undertake not to be engaged directly or indirectly in the Business so long as they remain invested in the Company. Provided that where such Financial Investor proposes to engage in the Business, the Financial Investor shall no longer be bound by the non-compete undertaking provided such Financial Investor immediately ceases to be entitled to board seat on the Company.

- (c) Notwithstanding anything to the contrary stated in the Transaction Documents, there shall be no obligation whatsoever on the Investors to provide any debt or other form of financial assistance to the Company or to provide any guarantees in relation to any debt or financial assistance to be obtained by the Company, from any other Person. Further, the Investor Securities shall not be offered or required to be offered as collateral to secure any loans or borrowings obtained by the Company from any banks, financial institutions, non-banking financial companies or otherwise, and hence no Encumbrance shall be created for this purpose over the Investor Securities at any time during the subsistence of this Agreement.
- (d) In relation to any Transfer of Securities by any Investor (including pursuant to Clause 17 (Exit)), the Investor may choose, at its sole discretion, to Transfer any Share Equivalents either without converting them or by converting all or part of such Share Equivalents.
- (e) In relation to any Transfer of Securities by any Investor, the Investor may choose, at its sole discretion, to Transfer such rights as it may deem fit, to such Transferee. It is clarified that the rights in relation to the Reserved Matters shall be exercised only by either the acquirer or the Investors. It is further clarified that the transferees shall not be entitled to any rights that the Investors are not entitled to.

## 12.6 Deed of Adherence

As a precondition of any Transfer under this Clauses 12 above, the Person to whom the Securities are transferred must execute a Deed of Adherence (in accordance with the appropriate form as attached to this Agreement) to become a party to this Agreement and become legally bound by the terms of this Agreement prior to or simultaneous with the Transfer of the Securities. In the event of a Transfer being made by the Investors, the Investors shall identify in such Deed of Adherence which of the rights of the Investors will be Transferred to such acquirer. The Deed of Adherence as attached to this Agreement shall accordingly be modified by the Investors.

## 13. ANTI-DILUTION AND PRE-EMPTIVE RIGHTS

13.1 Any issuance or allotment of any Securities by the Company shall be subject to the provisions of this Clause 13.

### 13.2 Anti-Dilution

- (a) Subject to the provisions of Clause 7.6 (Reserved Matters), in the event of any issue and allotment of Securities where the Threshold Price in respect of such issuance is below the Investor Per Share Price (as readjusted for stock split, consolidation, reorganization, recapitalization, sub-division, amalgamation, re-construction or

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similar event), the Investors shall be entitled, at their option, to subscribe to additional Securities at the lowest price permissible under applicable Law as per the provisions of **Schedule 12 (Anti-Dilution Entitlement)**, and/ or at the option of the Investor, to adjust the conversion formula such that the Investors receives the additional Shares, as calculated in Schedule 12 (subject to applicable Law) for the Investor Securities and/ or at the option of the Investors, to transfer such additional Shares, as calculated in Schedule 12 to any Person who is not a Competitor and without transferring any rights available to the Investors under this Agreement to such Person, along with the Anti-Dilution Entitlement provided to such Person; provided further that the Investors shall not be entitled to this right of anti-dilution in the following circumstances:

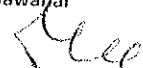
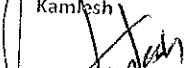
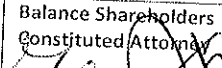
- (i) Any bonus issue of Securities;
- (ii) Any stock split, consolidation or other similar action in respect of the Share capital of the Company;
- (iii) Any other reorganization, recapitalization, sub-division or reduction of capital, buy-back of securities, reclassification or other reconstruction or adjustment or similar event in respect of the Equity Share capital and any amalgamation or reconstruction affecting the Equity Share capital;
- (iv) Any issue and allotment of Equity Shares pursuant to conversion of any Share Equivalents or as described in Clause 13.5(d);
- (v) Any issuance of Securities to any Potential Investor due to refusal by the Investors in exercise of their Pre-emptive Right as per Clause 13.4 below.

### 13.3 Investors' Shareholding Percentage to be Maintained

The Company and the Promoters Group shall ensure that the aggregate percentage of Investor Securities in the Company, on a Fully Diluted Basis, immediately prior to any action of stock split, stock dividend, consolidation, adjustment, reconstruction, corporate re-organization or such similar action by the Company, shall not reduce post consummation of such action.

### 13.4 Pre-Emptive Rights

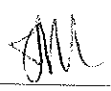
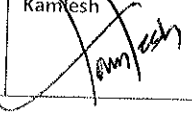
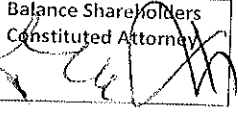
- (a) Without prejudice to the Investor's anti-dilution right in accordance with Clause 13.2 above and subject to the provisions of Clause 7.6 (Reserved Matters), in the event of issue of Securities other than as set out in Clauses 13.2(a)(i) to 13.2(a)(v) above, at any point of time after the Closing Date ("**Fresh Offering**") to any Person ("**Potential Investor**"), the Company shall offer and the Promoter Group shall cause the Company to offer to the Investor, such number of Securities forming part of the Fresh Offering, in proportion to the Investor's shareholding percentage in the Equity Share capital (on a Fully Diluted Basis) immediately prior to the Fresh Offering ("**Investor Entitlement Securities**"), and on terms and conditions no less favourable than those being offered to any other Person in the proposed Fresh Offering ("**Pre-emptive Right**").

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- (b) The Fresh Offering shall be carried out by the Company by issuing a written notice to the Investors ("**Issuance Notice**") setting forth in detail the terms of the Fresh Offering, including:
- (i) the proposed issuance price ("**Issuance Price**");
  - (ii) the time period for subscribing, shall be 60 (sixty five) days from the date of the receipt of the Issuance Notice, unless extended for such period as may be mutually agreed to between the Company and the Investor; and
  - (iii) the number of Investor Entitlement Securities.
- (c) If any Investor is desirous of exercising the Pre-emptive Right, then it shall inform the Company in writing ("**Pre-Emptive Notice**") within a period of 21 (twenty one) Business Days from the date of receipt by the Investor of the Issuance Notice stating its desire to exercise its Pre-emptive Rights and specifying the number of the Investor Entitlement Securities to which it proposes to subscribe ("**Accepted Securities**"); and
- (d) Such Investor may exercise the Pre-emptive Rights either by itself or through its Affiliate(s), subject to such Affiliate(s) executing a Deed of Adherence Provided the Affiliate (s) are not Competitor(s).
- (e) If an Investor sends a Pre-Emptive Notice, then within the time period prescribed in the Issuance Notice, the Company shall issue, and such Investor shall pay for and subscribe to, simultaneously along with other subscribers to the Fresh Offering, the Accepted Securities at the Issuance Price and on the terms and conditions set out in the Issuance Notice;

*Provided that* in the event that any Investor exercises its Pre-Emptive Rights and the Accepted Securities are less than the Investor Entitlement Securities, the Company shall be entitled to issue the balance Investor Entitlement Securities to the Potential Investor at a consideration which is not lower than the Issuance Price, which would then result into the dilution of the Investors.

- (f) Except as otherwise provided in this Clause, failure by the Investors to either (i) give the Pre-Emptive Notice within the 21 (twenty one) Business Days' period as provided in Clause 13.3(c) above; or (ii) settle the payment of consideration for the Accepted Securities to the Company in accordance with the conditions contained in Clause 13.3(e), shall be deemed a waiver by the Investors of its rights under this Clause 13.3 with respect to such Fresh Offering and the Company shall be entitled to issue the Issuance Securities to the Potential Investor within 60 (Sixty ) days of the issuance of the Issuance Notice at a consideration which is not lower than the Issuance Price, which would then result into the dilution of the Investors; *provided that* if the Investors fail to give the Pre-Emptive Notice required under this Clause 13.3(c) solely because of the Company's failure to issue the Issuance Notice or to fail to comply with the notice provisions of Clause 20 in such issuance, then the Company shall not issue Securities to the Potential Investor pursuant to this Clause 13.3 and if

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purported to be issued, such issuance of Securities shall be void.

- (g) The issue of Securities pursuant to the Fresh Offering shall be completed within the time set out in the Issuance Notice, failing which the right of the Company to make the Fresh Offering shall lapse and the provisions of this Clause 13.3 shall once again apply to such Fresh Offering.

### 13.5 ESOP/ Employee Benefit Plan

- (a) It is agreed between the Parties that within 6 (Six) months from the Closing Date, the Company shall formulate and adopt an employee stock option plan for incentivising the existing and future employees of the Company (excluding the Promoters and the Balance Shareholders), the terms and conditions whereof shall be determined by mutual consent of the Promoters and the Investors ("ESOP Plan"). The ESOP Plan shall provide for transfer of Equity Shares amounting to a maximum of 2% (two percent) of the total Equity Share capital on a Fully Diluted Basis as of the date of adoption of the ESOP Plan and transfer of such 2% Equity Shares by the Promoters shall not be dilutive to the Investor Securities. The mechanism for the same would be mutually decided between the Promoters and the Investors. In the event that the Promoters represent to the Investors that they do not wish to create the ESOP Plan for the entire 2 % (two percent) as mentioned above, then the unallocated Equity Shares shall be transferred to an employee welfare trust for the benefit of the employees (other than the Promoters and Balance Shareholders) and the terms and conditions of such trust shall be determined by mutual consent of the Promoters and the Investors.
- (b) All terms and conditions of the ESOP Plan (excluding the exercise price), shall be and approved by the Board, subject to compliance with Clause 7.6 (Reserved Matters). The exercise price of the stock options shall be determined by the Promoters, subject to such exercise price being not more than 80 % (eighty percent) of the Investor Per Share Price.
- (c) The vesting of the stock options under the ESOP Plan shall be governed by a committee constituted by the Board in accordance with the provisions of this Agreement where an Investor Director would be a part of such committee.
- (d) In the event of any expansion of the ESOP Plan beyond what is contemplated herein pursuant to an agreement in this regard between the Promoter and the Investors, the Investor, Balance Shareholders and the Promoters' shareholding in the Company shall be diluted pro-rata to their respective shareholding in the Equity Share capital on a Fully Diluted Basis, pursuant to the issuance of any Securities arising from the exercise of any employee stock options issued pursuant to the ESOP Plan, and the Investors shall not be entitled to their rights under Clause 13.2 for such further issuance.

### 14. MORE FAVOURABLE RIGHTS

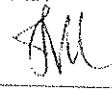
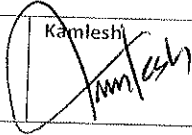
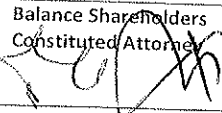
- 14.1 The Company, Promoters and Balance Shareholders shall not, except with the Investor's consent provide any future investor in the Company with rights, benefits or privileges in relation to the Company which are more favourable than those provided to the Investors hereunder.
- 14.2 In the event any rights, benefits or privileges provided to any future investor by the

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Company are more favourable than the rights, benefits or privileges provided to any of the Investors hereunder, the Company, Promoters and Balance Shareholders shall forthwith take such actions, including amendment of the terms hereof, terms of the Investor Securities and the Articles, to provide the Investors with the relevant more favourable rights, unless expressly waived by the Investors in writing.

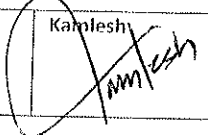
## 15. RIGHT TO FINANCE/INVEST

- 15.1** The Company and the Promoter Group hereby acknowledge that the Investors and its Affiliates may finance numerous companies, some of which may be in competition with the Company and its Business. The Company and the Promoters Group confirm and acknowledge that the Investors or their Affiliates shall not be liable for any claim arising out of, or based upon the fact that any of them have financed/invested in any Competitor. The Company, Promoters and Balance Shareholders hereby confirm that they will have no objection to the Investors and/or any Affiliates at any time and from time to time financing/investing in any Person engaged in the same or a similar business as the Business or entering into agreements with any Persons engaged in the same or a similar business as the Business.
- 15.2** It is agreed between the Parties that, if the Investors are considering to invest in future in any entity engaged in a business similar to the Business ("**Target**"), the Investors will in good faith discuss with the Target possibility of the Company to be a co-investor. In the event the Target is agreeable to accepting the Company as a co-investor the Investors shall discuss the said investment opportunity. Provided however that such discussion shall not adversely affect the ability of the Investors to independently invest in such entity.
- 15.3** It is further agreed between the Parties that if the Company is considering to invest in future in any entity engaged in a business similar to the Business which is in the knowledge of the investor, the Investors will not independently invest in such entity unless (i) with the prior consent of the Company and the Promoters or (ii) if the discussion between the Company and such entity has ceased.
- 15.4** The Investors undertake and acknowledges that the Investors shall at all points of time be under an absolute obligation to maintain confidentiality of the Confidential Material and confidentiality/propriety of the Intellectual Property Rights of the Company, Promoters and Balance Shareholders. The Investors will at all points of time ensure reasonable measures are incorporated to prohibit any disclosure whatsoever of any information in relation to the Company with any such Person engaged in the same or a similar business as the Business.
- 15.5** Nothing contained in this Clause 15 shall affect the fiduciary duties of an Investor Director.
- ## 16. INDEMNITY
- 16.1** The liability of the Promoters and/or the Company in respect of a claim under this Clause 16 ("**Claim**") below shall be limited as provided in **Schedule 9** (*Limitation of Liability*) hereto.
- 16.2** On and from the Closing Date, subject to Clauses 16.1, 16.4, 16.5 and 16.6, the Company and the Promoters (each, an "**Indemnifying Party**") shall jointly and severally indemnify, defend and hold harmless the Investors and/or each of their nominee directors, employees,

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officers and Affiliates who are shareholders of the Company (each, an "Indemnified Party"), at any time and from time to time, against any and all Losses suffered by an Indemnified Party by reason of or resulting from, arising out of, based upon or otherwise in respect of:

- (a) any misrepresentation, breach or inaccuracy of any of the Representations and Warranties by the Company and/or the Promoter Group or any representations and warranties of the Balance Shareholders;
- (b) a breach of the provisions of the Transaction Documents by the Company and/or the Promoter Group;
- (c) any un-Disclosed Liabilities of the Company and/or the Promoter Group and relating to any period prior to the Closing Date or pertaining to any transaction, act or deed of the Promoter Group and/or the Company prior to the Closing Date;
- (d) occurrence of any Event of Default where the Investors have not chosen to exercise their rights under Clause 18.2;
- (e) any Indemnified Party being made a party to, or otherwise incurring any Loss pursuant to any claim, legal action, proceeding, suit, litigation, prosecution, mediation or arbitration by any Person or Governmental Authority arising out of or relating to (i) any act or omission of the Indemnifying Parties, and/ or (ii) any event, matter or circumstance arising or existing in relation to the Company prior to Closing;
- (f) any Liabilities in respect of employees of the Company under applicable Law, including but not limited in relation to payments under the Employees' Provident Fund and Miscellaneous Provisions Act, 1952, Employees' State Insurances Act, 1948, Payment of Bonus Act, 1965, Payment of Gratuity Act, 1972, Industrial Disputes Act, 1947, and the Contract Labour (Regulation and Abolition) Act, 1970;
- (g) payment of any Tax by any Investor where such payment of Tax was originally an obligation of the Company and the Investor was required to pay due to the Company failing to fulfil such obligation;
- (h) any wilful misconduct and/or gross negligence or breach of applicable Law on the part of the Promoter Group and/or the Company;
- (i) any claim or liability arising on the Company in connection with payment of Central Sales Tax on account of classification of inter-state sale as branch transfer;
- (j) any claim or liability arising in connection with payment of MVAT on works contract executed by the Company;
- (k) any claim or liability arising on the Company in connection with payment of differential liability of service tax on contract executed with Larsen & Toubro Limited;
- (l) any claim or liability arising on the Company on account of failure by the Company

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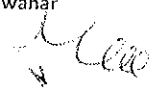
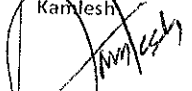
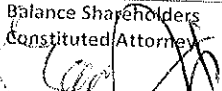
to pay the balance tax liability of Rs. 2,29,50,000 (Rupees Two Crores twenty nine lakhs and fifty thousand only) under the Voluntary Compliance Encouragement Scheme;

- (m) any loss or harm caused to on account of permission for sub-letting not being obtained by Sameto AG-Drive Pvt. Ltd. from Maharashtra Industrial Development Corporation in respect of Unit B – 103, 107 & 108, Additional Ambarnath Industrial Area, Jambivali, Thane.
- (n) any Claim being made by any Governmental Authority (including the MPCB) or any Authorisation granted to the Company (including the MPCB consent to operate, electricity sanction and water sanction) being revoked/suspended/modified due to use of any premises by the Company without obtaining the requisite Authorisations;
- (o) any claims or liabilities arising out of non-compliance of contracts executed with Ancillary Entities. It is hereby clarified that this Clause is not intended to cover payments for the services provided by such Ancillary Entities as agreed in such contracts;
- (p) any claims or liabilities arising out of the Company failing to obtain the factory license under the Factories Act, 1948 for the factory operated by the Company in Gurgaon.

**16.3** The intention of the Parties herein is that, any compensation or indemnity as referred to in this Clause 16, shall be such as to place the Investors in the same position as it would have been in had the items mentioned in Clause 16.2 not occurred.

**16.4** The indemnification rights of the Indemnified Parties under this Agreement are independent of, and in addition to, such other rights and remedies as the Indemnified Parties may have under the Transaction Documents and/or applicable Law or in equity or otherwise, including the right to seek specific performance, rescission, restitution or other injunctive relief, none of which rights or remedies shall be affected or diminished thereby. However, if the Investors get the benefit of or is in the process of getting the benefit of (though contested) its rights under Clause 18 (Event of Default) of this Agreement pursuant to an invocation under the said Clause 18, the Investors will then not be entitled to claim any indemnity from the Indemnifying Parties and *vice versa*. Provided that if the Investors do not get the benefit of any such claim under the said Clause 18, even after it has made an invocation therein, the Investors shall continue to be entitled to make an indemnity claim under the provisions of this Clause 16.

**16.5** In the event that any Indemnified Party desires to make a Claim pursuant to this Clause against the Indemnifying Parties, the Indemnified Party shall give written notice of the Claim to the Indemnifying Parties, describing, in reasonable detail, the nature of the Claim ("**Claim Notice**"). Any payment under this Clause 16 read with **Schedule 9 (Limitation of Liability)** pursuant to any Claim shall be made within 30 (thirty) days of (a) mutual agreement of the amount of the Loss suffered by the Indemnified Parties; or (b) receipt of a final arbitral award in accordance with the provisions of this Agreement, whichever is earlier. Provided that where the Promoters choose to challenge the final arbitral award or any order subsequent thereto and obtain a stay on such award or order, the liability to make payment

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shall be postponed such relevant appeal is decided. Provided further where the Investors choose to challenge the final arbitral award or any order subsequent thereto, then the payment shall be made of the amounts confirmed in such final arbitral award or order (as the case may be) and in the event of any subsequent additional payments required to be made pursuant to any appeals thereto, the additional payments shall be made at such time ("Claim Determination Date"). If the event any amounts are paid by reason of absence of a stay in an appeal, and subsequently the appeal is decided in favour of the Promoters and remains unchallenged by the Investors, or upon challenge, the Investors cease to get a stay on such order, the Investors shall be bound to refund the excess moneys to the Promoters. Provided further if the Investors make such payment and subsequently succeed in an appeal, the Promoters shall further be liable to once again make such payments to the Investor.

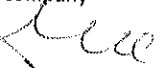
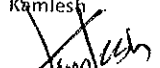
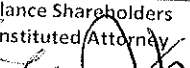
16.6 It is hereby clarified and agreed that in the event of a third party claim against the Company requiring a deposit of monies with the court or any other Governmental Authority and such matter is not finally adjudicated by the time the Investors exit from the Company pursuant a sale to any Person, then in such an event the Company and the Promoters shall indemnify such Person acquiring the shares from the Investors from such continuing liability which shall fructify on final adjudication.

16.7 Notwithstanding any other provisions of this Agreement, in respect of any matter in relation to which the Indemnified Parties is entitled to be indemnified by the Company and the Promoters under this Agreement, the Indemnified Party shall first proceed against the Company for up to the amounts and limitations provided for in **Schedule 9 (Limitation of Liability)**. Further the liability of the Promoters to make any indemnity pay-out under this Clause shall arise only in the event of the Company being unable to make the necessary payment under this Clause, indemnify the Indemnified Parties within 15 (fifteen) Business Days of the Claim Determination Date, the Promoters shall directly make such payments to the Investors up to the limits provided for in **Schedule 9 (Limitation of Liability)**.

Provided that where the Promoters are of the view that it would be more appropriate in the interests of the Company to directly indemnify the Investors, they may at their sole discretion choose to so directly indemnify instead of the Company making the payments. The Promoters may in their discretion choose the modality for such indemnity payments to the Investors and may at their option either reimburse such payments in cash or through valuation adjustment or through securities, subject to applicable Law permitting such modality.

16.8 If any of the Company or the Promoters makes any payment (including the grossed-up amount mentioned in Clause 16.9 if paid by the Company) ("**Base Payment**") to any Indemnified Party hereunder, the Company or such Promoters shall make a further payment ("**Additional Payment**") to such Indemnified Party so that the sum of the Base Payment and the Additional Payment shall, after deducting from such payments the amount of all Taxes required to be paid in respect of the receipt or accrual of such payments, be equal to the Base Payment.

Provided that Additional Payment shall be payable by the Promoters to the Investors only in the event and to the extent the Investors are liable to pay Taxes on the Base Payment received by the Investors.

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- 16.9 If the Company makes any payment to the Investors under this Clause 16, such payment shall be grossed up to take into account the diminution in value of the Investor Securities in the following manner:

Grossed-up indemnity amount payable by the Company to the Investors

=

Losses

X 100

(100 – Investors' percentage shareholding in the Company on a Fully Diluted Basis)

For the purposes of this Clause, the Investors' percentage shareholding in the Company shall be expressed as a number (and not a percentage). Thus, assuming that the numeric 100 (one hundred) in the denominator of the formula above represents one hundred per cent (100%) shareholding of the Company, 50 will represent fifty per cent (50%) shareholding of the Company and similarly 20 will represent twenty per cent (20%) shareholding of the Company. Further it is clarified that the grossed-up indemnity amount payable by the Company to the Investors under this Clause shall be inclusive of Losses.

To illustrate the formula mentioned above, if the percentage of Equity Shares held by the Investors, calculated on a Fully Diluted Basis is twenty per cent (20%) of the equity Share capital of the Company and the Loss to the Investors is for INR 200 (Rupees Two Hundred), the payment to be claimed by the Investors from the Company shall be INR 250 (Rupees Two Hundred and Fifty), which shall constitute INR 200 (Rupees Two Hundred) towards the Loss and INR 50 (Rupees Fifty) as the grossed up indemnity amount payable by the Company.

- 16.10 The Promoters agree and undertake that they shall not claim any restitution from the Company in relation to any payments that may be made by the Promoters, as the case may be, to the Indemnified Parties pursuant to this Clause 16.

#### 16.11 Third Party Claim

- (a) If any Third Party shall notify the Indemnified Party with respect to any matter, claim, dispute ("Third Party Claim") which may give rise to a claim for indemnification by the Indemnifying Party under this Clause 16, then the Indemnified Party shall promptly notify the Indemnifying Party thereof in writing on receipt of notice of such Third Party Claim; provided that no delay on the part of the Indemnified Party in notifying the Indemnifying Party shall relieve the Indemnifying Party of any obligation hereunder, subject to the sunset clause in Schedule 9.
- (b) The Indemnifying Party shall have the right but not the obligation to defend the Indemnified Party against the Third Party Claim with counsel of its choice reasonably satisfactory to the Indemnified Party so long as (i) the Indemnifying Party irrevocably notifies the Indemnified Party in writing within 15 (fifteen) days (or such lesser

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period so as to ensure that the intimation is available to the Indemnified Party at least 10 Business Days prior to the date to assume the defence) after the Indemnified Party has given notice of the Third Party Claim that the Indemnifying Party will indemnify the Indemnified Party from and against the entirety of any Losses the Indemnified Party may suffer resulting from, arising out of, relating to, in the nature of, or caused by the Third Party Claim (it being understood by the Parties that the Indemnified Party may take such actions as are reasonable in connection with its defence until it receives such notice from the Indemnifying Party), and (ii) the Indemnifying Party conducts the defence of the Third Party Claim actively and diligently. If the Indemnifying Party decides to defend the Indemnified Party for any Third Party Claim, the Indemnified Party will provide necessary authorisation to the Indemnifying Party for the same.

It is however clarified that all payments that are required to be made to such third party pursuant to such Third Party Claim shall be made directly by the Indemnifying Party as and when such payments are required to be made pursuant to the various proceedings being defended as per the relevant orders of the court/tribunal/Governmental Authority. As regards any consequential indemnity payments that are payable by Company and/or the Promoters to the Investors shall be made and/or indemnified for pursuant to and in accordance with Clauses 16.5 and 16.6.

- (c) The Indemnified Party may retain separate co-counsel at its sole cost and expense and participate in the defence of the Third Party Claim; provided that if, in the Indemnified Party's reasonable judgment, a conflict of interest between the Indemnified Party and the Indemnifying Party exists with respect to such Third Party Claim, the Indemnified Party shall have the right to employ separate counsel to represent the Indemnified Party and the fees and expenses of such counsel shall be borne by the Indemnified Party; (ii) the Indemnified Party shall not consent to the entry of any judgment or enter into any settlement with respect to the Third Party Claim without the prior written consent of the Indemnifying Party (not to be withheld unreasonably); and (iii) the Indemnifying Party will not, without the prior written consent of the Indemnified Party (not to be withheld unreasonably), consent to the entry of any judgment or enter into any settlement with respect to the Third Party Claim.
- (d) Notwithstanding the foregoing, in the event any of the conditions in sub-clauses (b) and (c) above is not satisfied or is breached, (i) the Indemnified Party may defend against, and consent to the entry of any judgment with respect to, the Third Party Claim in any manner it may deem appropriate in its sole discretion (and the Indemnified Party need not consult with, or obtain any consent from, the Indemnifying Party in connection therewith), (ii) the Indemnifying Party shall reimburse the Indemnified Party promptly and periodically for the costs of defending against the Third Party Claim (including fees and disbursements of counsel and other costs reasonably incurred in connection with such Third Party Claim), and (iii) the Indemnifying Party shall remain responsible for any Losses the Indemnified Party may suffer resulting from, arising out of, relating to, in the nature of, or caused by the Third Party Claim to the fullest extent provided in this Clause 16. It is however clarified that in the event the Indemnified Party is desirous of entering into any

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settlement with respect to the Third Party Claim or withdrawing its defence, it shall do so only with the prior written consent of the Indemnifying Party. Provided that such prior written consent shall not be required if the Indemnifying Party is in breach of any of its payment obligations relating to costs, expenses, deposits or any payment required to be made pursuant to the order of any court/Governmental Authority.

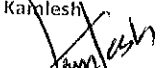
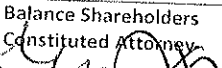
- (e) Whether or not the Indemnifying Party elects to defend any Third Party Claim, the Parties shall cooperate and exercise all reasonable efforts in the defence or prosecution of any such claim and shall furnish one another with such records, information and testimony, and attend such conferences, proceedings, hearings, trials and appeals as may be reasonably required by the other in connection therewith.

It is clarified here that the conditions set out in Clauses nos. 16.1, 16.4, 16.5 and 16.6 and the limitation set out in Schedule 9 will also become applicable to the Third Party Claim.

#### 16.12 General Limitations/Restrictions

- (a) If any Claim is based upon a liability, which is contingent only, the Indemnified Party shall not raise such Claim unless and until such contingent liability gives rise to an obligation to make a payment.
- (b) If any Claim is insured by the Company under a policy of insurance and the insurance company has paid the Claim amount or any part thereof to the Company, and the Indemnified Party has received any corresponding indemnity amounts from the Indemnifying Party, the Indemnified Party shall refund to the Indemnifying Party, the amount of Loss, if any, received by them from the Indemnifying Party that corresponds to the insurance amounts received by the Company.
- (c) The Indemnified Party shall procure that all reasonable steps are taken to avoid or mitigate any Losses, which it may suffer in consequence of any breach by the Indemnifying Party of the terms of this Agreement.
- (d) The Indemnified Party shall not be entitled to recover damages or obtain payment, reimbursement, restitution or indemnity more than once for the same Claim. Notwithstanding anything to the contrary contained in this Agreement, if the Indemnified Party has waived any Claim expressly in writing, the Indemnified Party shall not be entitled to recover the same from the Indemnifying Party.
- (e) Save and except as specifically provided in this Agreement, the Indemnifying Parties shall not be liable for any Claim for breach of any of the Representations and Warranties to the extent such Claim has been specifically disclosed in the Disclosure Letter.

16.13 It is hereby clarified that if the Investors decide to invoke their rights under this Clause 16, the Investors will then not be entitled to claim any rights under this Clause 18 (Event of Default and Consequences of Event of Default) and *vice versa*.

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17. EXIT

17.1 It is agreed between the Parties that the Investors would have the right to exit the Company through the mechanism as set out in this Clause 17 and in the same chronological order as a 'waterfall mechanism', that is, until the relevant period as set out in the subsequent Clauses commences *vis a vis* a particular form of exit, the right of the Investors to require such an exit shall not accrue.

17.2 Subject to Investors written consent, the Company and the Promoters undertake to take all possible measures to conduct an IPO to facilitate the exit of Investors after completion of the 60<sup>th</sup> month from Closing Date, in accordance with the provisions below:

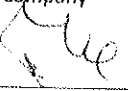
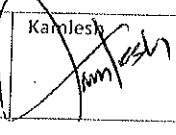
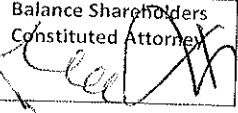
- (a) With the prior written consent of the Investors, the Company shall retain 1 (one) or more reputed merchant banker/investment bankers/advisors/ underwriters, to advise the Company regarding its options with respect to an IPO and to manage and/or underwrite the IPO.
- (b) The Company, the Promoters and the Balance Shareholders shall take all such steps, and extend all cooperation to each other and the investment banks, merchant banker, lead managers, underwriters and other Persons as may be required for the purpose of a IPO such as (i) preparing and signing the relevant offer documents; (ii) conducting road shows with adequate participation of senior management; (iii) entering into appropriate and necessary agreements; (iv) providing all necessary information and documents necessary to prepare the offer documents; (v) filing with appropriate Governmental Authorities; and (vi) obtaining any necessary consents from any Person and all relevant Governmental Approvals in relation to such IPO. The Company, the Promoter Group shall ensure that the IPO complies with applicable Law and Stock Exchange listing requirements.
- (c) The Promoter Group agree that they shall exercise all voting rights and shall do all acts, deeds and things as may be required or desirable to effectuate the IPO.
- (d) Any IPO shall necessarily have an offer for sale component as prescribed by the Investors, subject to the Applicable Laws. Subject to applicable Law, the Investors shall have the option to convert any CCPS Series 1 and/ or CCPS Series 2 into Equity Shares, and where the CCPS Series 1 and/ or CCPS Series 2 are being converted to Equity Shares, they shall be converted in accordance with the relevant provisions of Schedule 10 or Schedule 11, as applicable, hereto. Each Investor shall have the right (but not the obligation) to sell, as a part of such offer for sale, its Investor Securities to the maximum extent permissible under applicable Law. Upon any Investor offering its Investor Securities for sale at the time of the IPO, the Company and the Promoter shall complete all compliance and necessary formalities to ensure the listing of such Securities. In the event that the Investors choose not to exercise its rights under this Clause in relation to an IPO, the Company and the Promoter Group shall ensure that the requisite number of Equity Shares are made available to the public, whether by way of issuance of new Equity Shares by the Company and/or by way of sale of existing Equity Shares held by the Promoters, in order to meet the applicable minimum listing criteria for the purposes of the IPO.

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- (e) The timing, size of the issue, Stock Exchange of listing, mode, underwriters, legal advisors and other matters and/or terms of any IPO shall be based on the advice of the investment banker or merchant banker engaged by the Company in connection with such IPO, but shall be such as is approved by the Board and with prior written consent of the Investors.
- (f) The Company shall bear all fees, costs and expenses of such IPO, for any disinvestments of Investor Securities by the Investors, including without limitation all registration, filing, qualification and similar fees (other than underwriting commission and discounts and attorneys' fees for the selling Shareholders) and all printers, attorneys' and accounting fees and disbursements.
- (g) In the event of the IPO, the Company agrees to, subject to applicable Law, and in addition to the other indemnity provisions under this Agreement, indemnify and hold harmless the Investors, their officers and directors and each Affiliate of the Investors who is a shareholder of the Company,, from and against any and all Losses caused by any untrue statement or alleged untrue statement of a material fact contained in any statement or prospectus relating to the Securities and/or the Company (as amended or supplemented if applicable) or any preliminary prospectus, or caused by any omission or alleged omission to state therein a material fact required to be stated therein or necessary to make the statements therein not misleading.

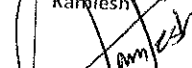
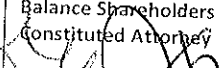
### 17.3 Strategic Sale / Investor Drag Along Rights

- (a) Notwithstanding anything to the contrary contained herein in the event that upon the expiry of 66 (Sixty Six) months from the Closing Date, the Company and the Promoters do not conduct an IPO then the Investors shall have the right (but not the obligation) to require the Transfer of 50.50% of the Fully Diluted Share capital of the Company, including any or all of the Investor Securities to any Person, in accordance with the provisions set out in this Clause. In such an event the Promoters would be required to sell and Transfer a maximum of Equity Shares constituting 50.50% minus the aggregate Investor Securities ("**Promoter Dragged Securities**"). It is clarified that in such an event the restriction on sale by the Investors to a Competitor shall not apply. It is clarified that all additional shares acquired by the Investors would for the purpose of this Clause be counted in the aggregate Investor Securities, in order to determine the number of securities that the Promoters would be required to sell. It is further clarified that all Investor Securities transferred by the Investors shall also continue to be counted in the aggregate Investor Securities for the purpose of this Clause, in order to determine the number of securities that the Promoters would be required to sell.
- (b) In the event any of the Investor is desirous of making a Transfer of any Securities held by such Investor to any Person pursuant to (a) above, then such Investor ("**Transferring Investor**") shall first grant to the Promoters a right of first offer to purchase such Investor Securities in accordance with the provisions of sub-clauses (c) to (e) below ("**Promoter ROFO**"), and for this purpose, deliver a written notice to

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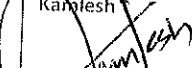
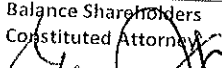
the Promoter Group requesting a purchase offer for such Securities ("ROFO Notice") setting forth the number of Securities proposed to be sold by the Transferring Investors ("ROFO Securities"). Prior to the granting of the Promoter ROFO, the Investors shall have the option to convert any CCPS Series 1 and/ or CCPS Series 2 into Equity Shares, and where the CCPS Series 1 and/ or CCPS Series 2 are being converted to Equity Shares, they shall be converted in accordance with the relevant provisions of Schedule 10 or Schedule 11, as applicable, hereto, and such Equity Shares may be included as a part of the ROFO Securities.

- (c) Within 30 (thirty) days from the date of the ROFO Notice ("Offer Period"), the Promoter Group may make an offer to the Transferring Investor to purchase all (and not part) of the ROFO Securities ("Offer"). The Offer shall include the price per share that the Promoter Group is willing to pay for the ROFO Securities ("Offer Price"). The Promoter Group shall ensure that a copy of the Offer is sent to every Person in the Promoter Group as well.
- (d) If the Promoter Group delivers any Offer to the Transferring Investors within the Offer Period, and the Offer Price is acceptable to the Transferring Investor, then the Transferring Investor shall communicate its/ their acceptance in writing to the Promoter Group. The closing of such Transfer of ROFO Securities from the Transferring Investor to the Promoter Group shall take place on a date mutually agreed between them, which shall be within 30 (Thirty) days from the expiry of the Offer Period, unless such date is mutually extended by them. At such closing, the Transferring Investor shall deliver duly stamped and endorsed certificates representing the ROFO Securities, accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such ROFO Securities to the Promoter Group purchasing such ROFO Securities. The Transferring Investors shall provide such representations and warranties regarding the: (a) ROFO Securities, (b) the absence of any Encumbrance thereon, (c) the Transferring Investor's rights, title and interest in the ROFO Securities as may be reasonably required by the Promoter Group. Along with the Transfer of the ROFO Securities to it, each Promoter Group entity shall simultaneously make payment in full of the sale consideration for such ROFO Securities, as per the Offer. At such closing, the Parties shall execute such additional documents as may be necessary or appropriate to affect the sale of the ROFO Securities to the respective Promoter Group.
- (e) In the event that: (i) the Promoter Group does not respond to the ROFO Notice within the Offer Period; (ii) the Promoter Group sends a written notice to the Transferring Investor stating that it is not willing to purchase any ROFO Securities; (iii) the Transferring Investor is not willing to Transfer the ROFO Securities at the Offer Price; or (iv) the Transfer of the ROFO Securities does not take place within the timelines set out in (d) above, then the Promoter ROFO shall lapse and the Investor shall be free to Transfer the ROFO Securities and the Promoter Dragged Securities, in accordance with the provisions of sub-clauses (f) - (j) below. Notwithstanding that the Investors may not have converted the CCPS Series 1 and/ or CCPS Series 2 into Equity Shares prior to the granting of the Promoter ROFO, the Investors shall have the option to convert any CCPS Series 1 and/ or CCPS Series 2 held by the Investors into Equity Shares prior to the Transfer the ROFO Securities and the Promoter Dragged Securities, in accordance with the provisions of sub-clauses (f) - (j) below,

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and where the CCPS Series 1 and/ or CCPS Series 2 are being converted to Equity Shares, they shall be converted in accordance with the relevant provisions of Schedule 10 or Schedule 11 hereto, as applicable.

- (f) In the event that the Promoter ROFO lapses as set out in (e) above, the Transferring Investor may Transfer the ROFO Securities and drag the Promoter Dragged Securities to any Person whatsoever ("Drag Purchaser") such that the aggregate Securities purchased by the Drag Purchaser would aggregate to 50.5% of the Fully Diluted Equity Share Capital of the Company (such right of the Investors shall be referred to as the "Investor Drag Along Right"). The price at which the sale would happen to the Drag Purchaser would not be less than: (i) the price per Equity Share as computed to achieve an IRR @ 28% (twenty eight percent) on the Post Money Equity Valuation as on the date of Drag Along Notice or (ii) 107.5 % (One hundred seven point five percent) of the Offer Price (if any), whichever is higher ("Minimum Drag Price"). Provided however that, in the event the Transferring Investor is desirous of transferring the ROFO Securities and the Promoter Dragged Securities at a price which is less than the Minimum Drag Price, which under no circumstance shall be less than the price per Equity Share as computed to achieve an IRR @ 24% (twenty four percent) on the Post Money Equity Valuation as on the date of Drag Along Notice, the Transferring Investor shall compensate the Promoter in cash for the difference between the Minimum Price and the Drag Price (as defined below). The process to be followed shall be as set out in Clauses (g) to (j) below.
- (g) In the event that the Transferring Investor decides to exercise the Investor Drag Along Right, the Transferring Investor shall deliver a written notice to the Promoters ("Drag Along Notice"), setting forth the following details: (i) the Promoter Dragged Securities; (ii) the price per Equity Share (computed on a Fully Diluted Basis) offered by the Drag Purchaser ("Drag Price"); and (iii) in reasonable detail, the other terms and conditions of the proposed Transfer, including the proposed timelines for closing. In the event that the proposed consideration for the Transfer includes consideration other than cash, the Drag Along Notice shall include a calculation of the fair market value of such consideration as determined by an investment banker to be nominated by the Investor.
- (h) Upon the issuance of the Drag Along Notice with a valid Drag Price as set out above, the Promoters shall be under an obligation to sell the Promoter Dragged Securities to the Purchaser for the consideration set out in the Drag Along Notice.
- (i) The closing of any purchase by the Drag Purchaser of the Promoter Dragged Securities and the ROFO Securities proposed to be Transferred shall take place simultaneously. At such closing, the Promoters shall deliver duly stamped and endorsed certificates representing the Promoter Dragged Securities, accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such Promoter Dragged Securities in favour of the Drag Purchaser to effect the Transfer of such Promoter Dragged Securities to the Drag Purchaser. The Promoters shall make such representations and warranties regarding the Promoter Dragged Securities, their rights, title and interest therein, and the absence of any Encumbrance thereon, as may be required by the Drag Purchaser, and shall also provide to the Drag Purchaser other customary representations, warranties and

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indemnities regarding the business and operations of the Company. Any Drag Purchaser purchasing the Promoter Dragged Securities shall deliver at such closing, total sale consideration for the Transfer of the Promoter Dragged Securities and the Investor Securities to be Transferred to their respective holders in accordance with the Drag Along Notice. At such closing, all of the parties to the transaction shall execute such additional documents as may be necessary or appropriate to affect the sale of the Securities to the Purchaser as set out herein.

- (j) The Company and the Shareholders shall facilitate and assist in any Transfer to the Drag Purchaser as mentioned above (including provision of any reasonable information relating to the Company and its business in a reasonable time frame) and shall provide, and shall ensure that the management of the Company provides, such transition support, as may be reasonably requested by the Drag Purchaser and/or the Investor. Further the Shareholders and the Company shall provide all reasonable assistance as may be required by the Transferring Investors, to assist in the preparation of an information memorandum in relation to the Company for enabling such sale of the Promoter Dragged Securities and the Investor Securities.

For the avoidance of doubt it is clarified that the provisions contained in this Clause 17.3 shall not be applicable to Transfer of Securities by the Transferring Investors to any Financial Investor.

- 17.4 Notwithstanding anything to the contrary contained herein, in the event that upon the expiry of 78 (Seventy Eight) months from the Closing Date, the Investors are unable to get exit through the IPO or strategic sale (as per Clause 17.2 and 17.3 above) then the Investors shall severally have the right (but not the obligation) to require, through a notice in writing ("Exit Notice"), the Promoter to purchase all or any of its Investor Securities and/or the Company to undertake a buy-back offer in accordance with the provisions of Clause 17.5 or 17.6 as the case may be. After receipt of the Exit Notice from the Investors the Company and the Promoters will, in accordance with this Agreement, at their sole discretion, decide whether the Company will do Buy-back as per Clause 17.5 or Promoters will undertake the Put Option as per Clause 17.6. Upon the receipt of an Exit Notice, the Company shall determine the price at which the Investor Securities shall be converted into Equity Shares which shall be the maximum price permitted under applicable Law determined as follows:

**CCPS Series 1:**

- (a) To the extent not converted already into Equity Shares in accordance with Schedule 10 hereto, the CCPS Series 1 shall be converted into such number of Equity Shares at the CCPS Series 1 Conversion as set out in Schedule 10.

**CCPS Series 2:**

- (b) The Investor shall appoint necessary advisors ("Exit Advisors") and shall cause the FMV of the entire equity of the Company to be calculated. The Exit Advisors shall also calculate the total possible percentage stake that may be held by the Investor holding CCPS Series 2 in the Company assuming the conversion of the CCPS Series 2 into the Equity Shares at the CCPS Series 2 Lower End Conversion together with any Investor Purchase Shares held such Investor ("**CCPS Series 2 Minimum Stake**") as well as the total possible percentage stake that may be held by the Investor holding CCPS Series 2 in the Company assuming the conversion of the CCPS Series 2 into the

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Equity Shares at the CCPS CCPS Series 2 Higher End Conversion together with any Investor Purchase Shares held such Investor ("**CCPS Series 2 Maximum Stake**"), Based on the FMV of the Company and CCPS Series 2 Minimum Stake and the CCPS Series 2 Maximum Stake, the Exit Advisors shall also compute the FMV of the CCPS Series 2 Maximum Stake ("**Maximum FMV**"), and also the FMV of the CCPS Series 2 Minimum Stake ("**Minimum Stake FMV**").

The Company and Promoter agree and undertake to take all such steps and provide all such assistance for the FMV of the Company to be carried out. All costs of such FMV to be determined shall be borne by the Company;

- (c) The Exit Advisors shall also determine the price per share at which the CCPS Series 2 would be converted such that the Equity Shares held by such Investor after conversion of the CCPS Series 2 as well as the Investor Purchase Shares held by such Investor ("**IRR Stake**") would be a stake having such FMV that would provide the Investors with an IRR of 16% on the portion of the Investment Amount used to subscribe to the CCPS Series 2 as well as the Investor Purchase Shares held by such Investor ("**IRR Return FMV**").

The CCPS Series 2 shall be converted as follows:

Where  $\text{IRR Return FMV} < \text{Minimum Stake FMV}$

The Investor Securities shall be converted into such number of Equity Shares that shall provide the CCPS Series 2 Minimum Stake.

Where  $\text{Maximum Stake FMV} > \text{IRR Return FMV} > \text{Minimum Stake FMV}$

The Investor Securities shall be converted into such number of Equity Shares that shall provide the IRR Stake.

Where  $\text{IRR Return FMV} > \text{Maximum Stake FMV}$

The Investor Securities shall be converted into such number of Equity Shares that shall provide the CCPS Series 2 Maximum Stake.

#### Illustrations

Based on the FMV of the Company, in the event that the Exit Advisors determine that the FMV of the Investor Securities as follows:

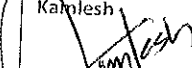
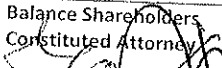
#### Scenario 1

Minimum Stake FMV: INR 185 Crore

Maximum Stake FMV: INR 200 Crore

IRR Return FMV: INR 182 Crore

The Conversion would be carried out so as to give the Investor holding CCPS Series 2 a stake (including the Equity Shares on conversion of CCPS Series 2 as well any of the Investor Purchase Shares) that shall have an FMV of INR 185 Crore.

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Scenario 2

Minimum Stake FMV: INR 175 Crore

Maximum Stake FMV: INR 190 Crore

IRR Return FMV: INR 182 Crore

The Conversion would be carried out so as to give the Investor holding CCPS Series 2 a stake (including the Equity Shares on conversion of CCPS Series 2 as well any of the Investor Purchase Shares) that shall have an FMV of INR 182 Crore.

Scenario 3

Minimum Stake FMV: INR 145 Crore

Maximum Stake FMV: INR 160 Crore

IRR Return FMV: INR 182 Crore

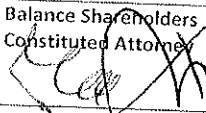
The Conversion would be carried out so as to give the Investor holding CCPS Series 2 a stake (including the Equity Shares on conversion of CCPS Series 2 as well any of the Investor Purchase Shares) that shall have an FMV of INR 160 Crore.

An indicative illustration on the above process is set out in Schedule 20 hereto. It is clarified that the said illustration is provided for illustrative purposes only and in the event of any conflict between what is set out in the Agreement and what is provided in this Schedule 20, this Agreement will prevail.

The exit price payable to the Investors shall be the aggregate of the following (collectively "Exit Price"):

- 1) For the CCPS Series 1: An amount that shall represent an IRR of 16% on the portion of the Investment Amount used to subscribe to the CCPS Series 1 as well as the Investor Purchase Shares held by such Investor or the FMV of the Equity Shares on conversion of CCPS Series 1 as well any of the Investor Purchase Shares held by such Investor, whichever is higher ("CCPS Series 1 Stake Exit Price")
- 2) For the CCPS Series 2: An amount that shall represent the FMV of the Equity Shares on conversion of CCPS Series 2 as well any of the Investor Purchase Shares held by such Investor ("CCPS Series 2 Stake Exit Price")

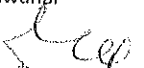
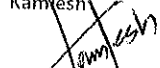
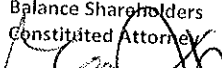
The Exit Price will be frozen by end of 78 (Seventy Eight) months and the IRR will not accrete after 78 (Seventy Eight) months. It is clarified that the obligation of the Company and the Promoter to purchase/buy back the Investor Securities tendered through the Exit Notice shall be joint and/ or several, and they undertake to complete such purchase/buy back in accordance with the provisions of Clause 17.5 and 17.6. The Company, the Investors and the Promoters shall hold good faith discussions on the manner in which the buy-back/ exit put option may be exercised, the agreed principle being that where the exit is to be provided to the Investors through the buy-back/ exit put option, the same as shall be provided to the Investors for all of the Investor Securities simultaneously, including a simultaneous exercise of buy-back/ exit put option, and the Promoter shall be entitled to finally determine the manner in which the achieve the agreed principle. The Parties agree and acknowledge that the obligation to purchase/buyback the Investor Securities shall first be on the Company and the liability of the Promoters to purchase/buyback the Investor Securities under this Clause

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shall arise only in the event of the Company being unable to consummate the buyback and make the necessary payment under this Clause, and the Promoters shall, in such event, be jointly and severally liable in this regard.

## 17.5 Buy Back Procedure

- (a) In the event of a buyback to be made by the Company pursuant to 17.4 above, the Parties agree that the Company shall commence the buy-back offer by issuing a buy-back notice to the Shareholders ("**Exit Buy-back Notice**") in accordance with the Act and other applicable provisions of applicable Law governing the buy-back of shares by the Company, within a period of 7 (seven) days from receipt of the Exit Notice. Such Exit Buy-back Notice shall be provided to all the Shareholders on a proportionate basis and shall offer to buy back the Shares at such price so as to provide the relevant Exit Price as determined under Clause 17.4 above.
- (b) The Investor shall have the option to require the Company to, within 2 days of the Exit Buy-Back Notice, convert the Investor Securities into Equity Shares in accordance with Schedule 10 or 11 hereto, as applicable. Provided that where any of the Investor Securities are required under Law to be converted to Equity Shares in order to be eligible to be subject to a buy back, the same shall be converted into Equity Shares. The Investor shall have the right to tender up to all the Equity Shares held by it ("**Exit Tender Securities**") in the buy-back offer on the terms set out in the Exit-Buy Back Notice. The Promoter Group irrevocably agree and undertake that they hereby waive their right to participate in any buy-back, and shall reconfirm such waiver after the Exit Buy-back Notice has been issued.
- (c) The completion of the sale and purchase of the Exit Tender Securities pursuant to the buy-back offer shall be completed within a period of 60 (sixty) days from the date of the Exit Notice.
- (d) The Company and the Promoters undertake and covenant that (i) they shall take all steps necessary under any applicable Law for the time being in force and under the Articles to give effect to the buy-back of the Exit Tender Securities (including passing the necessary Board or Shareholder resolutions to facilitate the same and/or applying for any approvals, extinguishing the certificates representing the Exit Tender Securities, making the requisite filings with the Registrar of Companies and creating a register of the Investor Securities bought-back including such particulars as are prescribed by applicable Law); (ii) they shall cause the Directors nominated by them to take all steps or actions necessary to effect such buy-back (including to issue the applicable Board or Shareholder meeting notices); and (iii) they shall attend the relevant Board or Shareholder meetings and exercise their respective voting rights and otherwise take the necessary steps to give effect to and support the buy-back.
- (e) The Company shall, and the Promoters shall cause the Company to, undertake and conduct its business and financial affairs so as to have the ability and the legal right to undertake its obligations in this Clause 17.5. The Company shall, and the Promoters shall cause the Company to maintain all Authorisations as required under applicable Law and the Articles to give effect to the buy-back as per this Clause 17.5.

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- (f) If the Company is unable to purchase all the Exit Tender Securities within 60 (sixty) days from the date of the Exit Notice because the maximum limit on the number of shares that can be bought back in a financial year under applicable Law has been reached, the Company shall, and the Promoters shall procure that the Company shall undertake the exit buy-back offer for such subsequent financial year(s), until all the Exit Tender Securities have been bought back by the Company at the Exit Price.

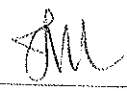
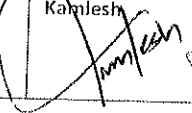
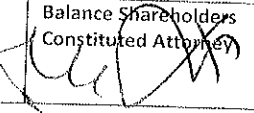
#### 17.6 Exit Put Option

- (a) In the event of the Promoter deciding to purchase any of the Investor Securities pursuant to 17.4 above, and also if the Company is unable to buy back the Exit Tender Securities as per Clause 17.5 above, and any of the Investors is desirous of causing the Promoters to purchase all or any of their respective Securities, then, the Exit Notice delivered by each Investor to the Promoters shall specify the number of the total Investor Securities held by such Investor, which it requires the Promoters to purchase ("Exit Put Tender Securities").
- (b) The Promoters shall undertake a purchase of the Exit Put Tender Securities at the relevant Exit Price.
- (c) The purchase of the Exit Put Tender Securities shall be consummated within 60 (sixty) days of receipt of the Exit Notice by the Promoters. On such date, the Exit Price with respect to the Exit Put Tender Securities shall be paid in full by the Promoters to the Investor.
- (d) Simultaneous with receipt of the Exit Price with respect to the Exit Put Tender Securities, the Investors shall forthwith:
- Transfer the legal and beneficial title to all the Exit Put Tender Securities, free of any Encumbrances together with all rights attached to them, to the Promoters; and
  - deliver to (or to the order of) the Promoters the duly stamped and endorsed certificates representing the Exit Put Tender Securities accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such Exit Put Tender Securities; and
  - provide necessary representation and warranties regarding title Encumbrances etc. in respect of the Exit Put Tender Securities.
- (e) The Investor and the Promoters shall ensure that the Company shall execute and file such forms and documents as may be required under applicable Law to ensure that the Exit Put Tender Securities are transferred to the Promoters.
- (f) All costs (including stamp duties) in relation to the Transfer of the Exit Put Tender Securities, under this Clause 17.6 shall be borne and paid by the Promoters.

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| IBEF II<br>12 | IBEF IIA<br>AM | Company<br>Lee | Jawahar<br>Lee | Kamlesh<br>Kamlesh | Balance Shareholders<br>Constituted Attorney<br>Lee |
|---------------|----------------|----------------|----------------|--------------------|-----------------------------------------------------|

## 17.7 Second ROFO Right

- (a) Where the Promoter is unable to complete the purchase of the Exit Put Tender Securities under Clause 17.6 above, and the Investors shall have the right to Transfer of 50.50% of the Fully Diluted Share capital of the Company, including any or all of the Investor Securities to any Person, in accordance with the provisions set out in this Clause. In such an event the Promoters would be required to sell and Transfer a maximum of Equity Shares constituting 50.50% minus the aggregate Investor Securities ("**Second Promoter Dragged Securities**"). In the event that the Investor, at their option elect Transfer the Second Promoter Dragged Securities to any Person, the Investors shall first grant to the Promoters a right of first offer to purchase all the Investor Securities in accordance with the provisions of sub-clauses (b) to (d) ("**Second ROFO**"), and for this purpose, deliver a written notice to the Promoters requiring a purchase offer for Investor Securities ("**Second ROFO Notice**"). Prior to the granting of the Second ROFO, the Investors shall have the option to convert any CCPS Series 1 and/ or CCPS Series 2 into Equity Shares, and where the CCPS Series 1 and/ or CCPS Series 2 are being converted to Equity Shares, they shall be converted in accordance with the relevant provisions of Schedule 10 or Schedule 11, as applicable, hereto, and such Equity Shares may be included as a part of the Second ROFO.
- (b) Within 15 (fifteen) days from the date of the Second ROFO Notice ("**Second Offer Period**"), the Promoters shall make an offer to the Investors to purchase all (and not part) of the Investor Securities ("**Second Offer**"). The Second Offer shall include the price per share that the Promoters are willing to pay for the Investor Securities ("**Second Offer Price**").
- (c) When the Promoter delivers the Second Offer to the Investors, and the Second Offer Price is acceptable to the Investors, then the Investors shall within 30 (thirty) days from expiry of the Second Offer Period of communicate their acceptance in writing to the Promoters. The closing of such Transfer of Investor Securities from the Investors to the Promoters shall take place on a date mutually agreed between them, which shall be within 30 (Thirty) days from the expiry of the Second Offer Period, unless such date is mutually extended by them. At such closing, the Investors shall deliver duly stamped and endorsed certificates representing the Investor Securities, accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such Investor Securities to the Promoters purchasing such Investor Securities. Along with the Transfer of the Investor Securities to the Promoters, the Promoters shall simultaneously make payment in full of the sale consideration for such Investor Securities, as per the Second Offer. At such closing, the Parties shall execute such additional documents as may be necessary or appropriate to affect the sale of the Investor Securities to the Promoters.
- (d) In the event that the Investors are not willing to Transfer the Investor Securities at the Second Offer Price, then the Second Promoter ROFO shall lapse and the Investor shall be free to Transfer the Investor Securities and the Promoter Dragged Securities to any Person whatsoever ("**Drag Purchaser**") such that the aggregate Securities purchased by the Drag Purchaser would aggregate to 50.5% of the Fully Diluted Equity Share Capital of the Company (such right of the Investor shall be referred to as the "Investor Second Drag Along Right"). The price at which the Second Promoter Dragged Securities would be offered in such sale would not be less than 111.5% (One hundred eleven point five percent) of the Second Offer Price (where the Promoters are is willing to complete the transaction at such price) or the price at which the Drag Purchaser purchases the Investor Securities, whichever is higher.

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Provided that if the Promoter does not offer a Second Offer Price, or offers a Second Offer Price but does not honour the transaction within a period of 30 days from the date of the acceptance of the Second Offer Price, then in such an event the price at which the Promoter Dragged Securities would be offered in such sale would not be less than the price per Equity Share as computed to achieve an IRR @ 13% (thirteen percent) to the Promoter on the Post Money Equity Valuation as on the date of Drag Along Notice or the price at which the Drag Purchaser purchases the Investor Securities, whichever is higher.

- (e) As regards the process to be followed in the Drag, the process as set out in Clause 17.3(g) to 17.3 (j) shall apply *mutuatis mutandis* to the Drag contemplated under this Clause 17.7.

#### 17.8 Free Transfers by the Investor

Notwithstanding anything to the contrary contained herein, in the event that upon the expiry of 84 (Eighty Four) months from the Closing Date, the Investor is unable to get exit through IPO or strategic sale (as per Clause 17.3 above) or buy-back route (as per Clauses 17.4, 17.5 or 17.6 above) then the Investor shall have the right (but not the obligation) to Transfer such Securities in whole or part to any Person whatsoever without any restrictions on such Transfer. The Company and the Shareholders shall facilitate and assist in any such Transfer as mentioned above (including provision of any information relating to the Company and its business in a time frame) and shall provide, and shall ensure that the management of the Company provides, such transition support, as may be reasonably requested by the Transferee and/or the Investor. Further the Shareholders and the Company shall provide all reasonable assistance including management meetings, business plan, information, representations and warranties, as may be required to consummate the transaction. Further, the Parties have agreed that, in the event, the proposed transferee is a Competitor, such proposed transferee shall not have the right to nominate directors on the Board of the Company.

- 17.9 Where the Investors have been provided with any one of the exit options contained in this Clauses 17.2 to 17.6, there would be no obligation on the Promoters to provide any other exit option, irrespective of whether the Investors or any one of them choose to exit through such exit option or not.

- 17.10 Where the Company has an IPO, and the merchant banker has recommended in writing that the Investors may offer for sale all the Investor Securities held by them as part of such IPO and the Investors or any one of them choose not to sell all or part of the Investors Securities in such IPO, then the rights of the Investors under this Agreement shall lapse post such IPO. In the event the merchant banker has recommended in writing that it is advisable that the Investors ought not to offer for sale all the Investor Securities held by them as the same may not be in the best interests of the Company or the IPO, then in such an event to the extent permitted by Securities and Exchange Board Of India all rights of the Investors under this Agreement (other than under this Clause 17) shall continue in full force and effect to the extent applicable to the stake then held by the Investors in the Company.

- 17.11 In the event any of the Investors exercising their buyback / put option pursuant to Clause 17.5 or 17.6 (as the case may be) and the Company and/or Promoters (as the case may be) honours such buy back/put option (as the case may be) then this Agreement shall stand terminated.

|             |              |             |             |             |                                                  |
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| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Kamlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
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## 18. EVENTS OF DEFAULT AND CONSEQUENCES OF EVENT OF DEFAULT

### 18.1 Events of Default

The occurrence of any of the following events or circumstances shall constitute an "Event of Default":

- (a) the Company and/or the Promoter Group committing any breach of the Clauses 12.1, 12.2, 12.3, 12.4, 12.5 12.6, (*Promoters Transfer Restrictions*), 9 (*Non Compete and Non Solicitation*), 7.6 (*Reserved Matters*) and fails to remedy the breach within 120 (one hundred and twenty) days of being specifically required in writing to do so by the Investors;
- (b) the Company and/or the Promoters have decided to conduct an IPO in terms of Clause 17.2 and subsequently the Company or the Promoters without the specific written consent of the Investors decide not to complete such IPO. It is clarified that non completion of the IPO due to regulatory issues or market driven conditions shall not constitute an Event of Default;
- (c) the Promoters committing fraud upon the Company and/or the Investors;
- (d) the Company and/or the Promoter Group committing any material breach of the covenants/obligations under the Transaction Documents and fails to remedy the breach within 120 (one hundred and twenty) days of being specifically required in writing to do so by the Investors;
- (e) any arrangements, mergers, acquisitions, change of Control (except as it may be permitted pursuant to this Agreement), amalgamations, consolidations, spin-offs, sale of substantial Assets, compromise with creditors, other similar or related actions by the Company which is in contravention of the terms of the Transaction Documents;
- (f) Fundamental Representations and Warranties of the Promoters, Company and/or the Balance Shareholders under the Transaction Documents are found to be misleading or incorrect or untrue in any respect;
- (g) any wilful misrepresentations of representations and warranties of the Promoters, Company under the Transaction Documents which results into Loss of Rs. 5,00,00,000 (Rupees Five Crore only) to the Investors;
- (h) occurrence of any Insolvency Event in respect of the Company or any of the Promoters;
- (i) the Business ceases or the Company threatens to cease the Business or any material subsidiary of the Company ceases it's business or the Promoters ceases to operate the Business as they were operating at the time of Closing;

### 18.2 Consequences of an Event of Default

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>(Constituted Attorney) |
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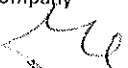
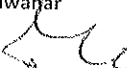
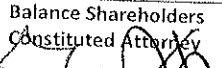


- (a) If any Event of Default occurs, the Company and the Promoters shall forthwith give notice thereof to the Investor in writing, specifying the nature of such Event of Default or of such event and the remedies proposed to be taken to cure the same.
- (b) Upon occurrence of any Event of Default and expiry of the cure period in respect thereof, the Investors shall, at their option, without derogation from the rights and remedies available to the Investor under the Transaction Documents and/or under applicable Law, be entitled to exercise the rights as set out in this clause 18.2 by giving a notice in writing to the Company and the Promoters ("**Default Notice**"):
- (c) Upon the Investor issuing the Default Notice, the Investor shall at its option:
- (i) Require the Company and the Promoter shall within 15 (Fifteen) days of the date of the Default Notice, cause the Company to buy back the Investor Securities, and/ or the Promoter shall purchase the Investor Securities in the manner set out Clause 17.5 or Clause 17.6 above;

Provided that such buy back by the Company or the purchase by the Promoter of CCPS Series 1 shall be at a price per Security that shall be at the highest price permitted under applicable Law subject to a maximum of a price that shall provide the Investors with 24% IRR on the Investment Amount towards CCPS Series 1 and the Investor Purchase Shares held by the relevant Investor, or FMV of the CCPS Series 1, whichever is higher, and the Company or the purchase by the Promoter of CCPS Series 2 shall be at a price which shall be determined in the same manner as set out in Clause 17.4 in respect of CCPS Series 2 except that for the purposes of this Clause 18.2 the "IRR Return FMV" shall be calculated IRR of 24% on the portion of the Investment Amount used to subscribe to the CCPS Series 2 CCPS as well as the Investor Purchase Shares held by such Investor.

OR

- (ii) The Investor shall have the right to Transfer the Investor Securities to any Person in accordance with the provisions of Clause 17.3 *provided however that* (a) the Promoter Dragged Securities (as defined under 17.3) and Investor Securities being Transferred shall constitute a maximum of 50.5 % (fifty point five per cent) of the Equity Share capital if the Purchaser is not a Competitor; and (b) In case the Purchaser is a Competitor then the Promoter Dragged Securities and Investor Securities being Transferred shall constitute 50.5% (fifty point five per cent) of the Equity Share capital.
- (d) In the event that the Investors exercise their rights under (c)(i) above, and the Company and Promoters fail to complete such buy back/ Promoter purchase, the Investors shall also have the right to exercise their rights under (c)(ii). Where the Investor is exercising its rights under Clause 18.2(c)(ii) above, the Investors shall first grant to the Promoters a right of first offer to purchase all the Investor Securities in accordance with the provisions of sub-clauses (e) to (g) below ("**Default ROFO**"), and for this purpose, deliver a written notice to the Promoters requiring a purchase offer

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| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Ramlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
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for Investor Securities ("Default ROFO Notice"). Prior to the granting of the Default ROFO, the Investors shall have the option to convert any CCPS Series 1 and/ or CCPS Series 2 into Equity Shares, and where the CCPS Series 1 and/ or CCPS Series 2 are being converted to Equity Shares, they shall be converted in accordance with the relevant provisions of Schedule 10 or Schedule 11, as applicable, hereto, and such Equity Shares may be included as a part of the Default ROFO.

- (e) Within 15 (fifteen) days from the date of the Default ROFO Notice ("Default Offer Period"), the Promoters shall make an offer to the Investors to purchase all (and not part) of the Investor Securities ("Default Offer"). The Default Offer shall include the price per share that the Promoters are willing to pay for the Investor Securities ("Default Offer Price").
- (f) When the Promoter delivers the Default Offer to the Investors, and the Default Offer Price is acceptable to the Investors, then the Investors shall within 30 (thirty) days from expiry of the Default Offer Period of communicate their acceptance in writing to the Promoters. The closing of such Transfer of Investor Securities from the Investors to the Promoters shall take place on a date mutually agreed between them, which shall be within 30 (Thirty) days from the expiry of the Default Offer Period, unless such date is mutually extended by them. At such closing, the Investors shall deliver duly stamped and endorsed certificates representing the Investor Securities, accompanied by duly executed and/or stamped instructions/ instruments of transfer in relation to such Investor Securities to the Promoters purchasing such Investor Securities. Along with the Transfer of the Investor Securities to the Promoters, the Promoters shall simultaneously make payment in full of the sale consideration for such Investor Securities, as per the Default Offer. At such closing, the Parties shall execute such additional documents as may be necessary or appropriate to affect the sale of the Investor Securities to the Promoters.
- (g) In the event that: (i) the Promoters do not respond to the Default ROFO Notice within the Default Offer Period; (ii) the Promoters sends a written notice to the Investors stating that it is not willing to purchase the Investor Securities; (iii) the Investors are not willing to Transfer the Investor Securities at the Default Offer Price; or (iv) the Transfer of the Investor Securities does not take place within the timelines set out in (f) above, then the Default Promoter ROFO shall lapse and the Investor shall be free to Transfer the Investor Securities, as well as the Promoter Dragged Securities, if applicable, to any Person in accordance with Clause [18.2(c)] without any restrictions mentioned therein. It if further agreed between the Parties that the price at which the sale would happen to any Person would not be less than (a) 111.5% (One hundred eleven point five percent) of the Default Offer Price (if any), or the price received by the Investor on the sale of Investor Securities, whichever is higher, where the Investor first offered the Investor Securities under the option of buy back/ Promoter put pursuant to Clause 18.2(c)(i) above or (b) 107.5% (One hundred seven point five percent) of the Default Offer Price (if any) or the price received by the Investor on the sale of Investor Securities, whichever is higher, where the Investor directly exercised its option to drag the Promoter Dragged Securities pursuant to Clause 18.2 (c)(ii) above.
- (h) It is clarified that in the event that the Investors issue a Default Notice to the

|                                                                                               |                                                                                                 |                                                                                                |                                                                                                |                                                                                                |                                                                                                                                         |
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| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Namlesh<br> | Balance Shareholders<br>(Constituted Attorney)<br> |
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Company and/or the Promoters, such Default Notice shall be deemed to be the Exit Notice under Clauses 17.4, 17.5, 17.6 above.

- (i) It is hereby clarified that if the Investor decides to invoke its rights under Clause 16 (Indemnity) of this Agreement, the Investor will then not be entitled to claim any rights under this Clause 18 (Event of Default and Consequences of Event of Default) and *vice versa*.

## 19. NOTICES

19.1 Any notice or other communication provided for or required under this Agreement shall be in writing and may be first transmitted by email transmission, and then confirmed by postage, prepaid registered post with acknowledgement due or by internationally recognised courier service, in the manner, as elected by the Party giving such notice at the recipient's below stated address:

- (a) In the case of notices to the **IL&FS**:

Address: Palm Spring Centre,  
2<sup>nd</sup> Floor, Palm Court Complex,  
New Link Road,  
Malad (West),  
Mumbai.  
Email: vishal.gupta@motilaloswal.com;  
prakashbagla@motilaloswal.com

For attention of: Mr. Vishal Gupta / Mr. Prakash Bagla

- (b) In the case of notices to the **IBEF IIA**:

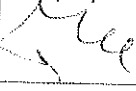
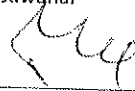
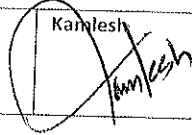
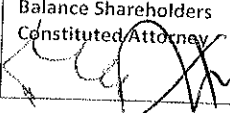
Address: IFS Court,  
Twenty Eight, Cyber City,  
Ebene, Mauritius  
Email: couldip@ifsmauritius.com;

For attention of: Mr. Couldip Basant Lala / Mr. Fareed Soreefan

- (c) In the case of notices to the **Company**:

Address: 718/719, Corporate Centre,  
Nirmal Life Style,  
L.B.S Marg,  
Mulund (West),  
Mumbai-400080  
Email: jawahar@glasswallssystem.com;  
kamlesh@glasswallssystem.com

For attention of: Mr. Jawahar Hemrajani / Mr. Kamlesh Choudhari

|                                                                                    |                                                                                     |                                                                                     |                                                                                     |                                                                                      |                                                                                       |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| IBEF II                                                                            | IBEF IIA                                                                            | Company                                                                             | Jawahar                                                                             | Kamlesh                                                                              | Balance Shareholders<br>Constituted Attorney                                          |
|  |  |  |  |  |  |

(d) In the case of notices to the **Promoters**:

Address: 718/719, Corporate Centre,  
Nirmal Life Style,  
L.B.S Marg,  
Mulund (West),  
Mumbai-400080  
Email: jawahar@glasswallssystem.com;  
kamlesh@glasswallssystem.com

For attention of: Mr. Jawahar Hemrajani / Mr. Kamlesh Choudhari

(e) In the case of notices to the **Balance Shareholders**:

Address: 718/719, Corporate Centre,  
Nirmal Life Style,  
L.B.S Marg,  
Mulund (West),  
Mumbai-400080  
Email: jawahar@glasswallssystem.com;  
kamlesh@glasswallssystem.com

For attention of: Mr. Jawahar Hemrajani / Mr. Kamlesh Choudhari

19.2 All notices and other communication shall be deemed to have been validly given on (i) the same day if sent by email, (ii) the day of receipt, if sent by courier, or (iii) the expiry of 7 (seven) days after posting, if sent by registered post.

19.3 Any Party may, from time to time, change its address or representative for receipt of notices and other communication provided for or required under this Agreement by giving to all the other Parties not less than 10 (ten) days' prior written notice thereof.

## 20. EXERCISE OF INVESTOR RIGHTS

All rights available to the Investors under this Agreement, including the right to issue notices, receive information, granting permissions, etc. may be exercised by the Investor by and under the hand of any of the Investor Director(s) and/or any other authorised representative/signatory nominated by the Investor from time to time.

## 21. TERMINATION

21.1 This Agreement may be terminated by the Investor in accordance with Clauses 3.2(c) and 4.2.

21.2 Subject to the other provisions of this Agreement, this Agreement shall continue in full force and effect without limit in point of time until termination in accordance with this Clause 21.

21.3 The rights and obligations of the Parties under this Agreement, which either expressly or by

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|---------|----------|---------|---------|---------|----------------------------------------------|
| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
|         |          |         |         |         |                                              |

their nature survive the termination of this Agreement, shall not be extinguished by termination of this Agreement. Without prejudice, for avoidance of doubt it is clarified that the provisions of Clauses 1 (*Definitions and Interpretation*), 6 (*Representations and Warranties*), 11 (*Information Rights*), 16 (*Indemnity*), 19 (*Notices*), 22 (*Confidentiality*), 24.9 (*Partial Invalidity*), 24.16 (*Governing Law and Dispute Resolution*) and 24.19 (*Public Announcements*), shall survive the termination of this Agreement.

- 21.4 Termination of this Agreement for any cause whatsoever shall not relieve either Party of any liability, which at the time of termination has already accrued to that Party, or which may, thereafter, accrue in respect of any act or omission prior to such termination.

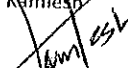
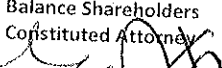
## 22. CONFIDENTIALITY

- 22.1 The Parties agree to hold in confidence all information concerning the business and affairs of the Company ("**Confidential Material**"), and to make available Confidential Material

- (a) to only such officers, employees and representatives (including legal, consultancy, and accounting representatives) as is necessary for the Parties to enter into or perform this Agreement provided that such Persons shall be bound by confidentiality obligations provided for in this Clause 22; or
- (b) as may be required by applicable Laws or regulations or to comply with the requirements, statutory or judicial or Governmental Authority demands, or receipt of approval of an applicable Governmental Authority in which case such Party shall give at least one (1) day written notice of such disclosure of Confidential Material;
- (c) to the extent necessary to comply with the terms of this Agreement or otherwise give effect thereto and the Parties hereby agree that any Shareholder may disclose any information in relation to the Company to a potential purchaser of the Assets and/or Securities of the Company and further agrees that any Shareholder may disclose such information to any potential party to a securitisation or other financing (or its professional advisers), provided that the Shareholder shall obtain appropriate undertakings of confidentiality from such Persons;

- 22.2 Notwithstanding anything to the contrary contained herein, the Investors will be permitted to share Confidential Material, including the information, inspection and reports provided to the Investor pursuant to Clause 11 (*Information Rights, Inspection And Monitoring*) with (i) funds under the management and advise of MOPE Investment Advisors Pvt. Ltd. and India Business Excellence Management Co. and their respective Affiliates, officers, directors, employees and advisors and investors in such funds; and (ii) any valuation agency conducting valuation of the Investors' portfolio investments and companies.

- 22.3 This Clause 22 shall remain in effect without limit in time, provided that this Clause 22 shall no longer apply to Confidential Material which (i) is or becomes available to the public as a result of a disclosure by the Company, (ii) was known to the Parties on a non-confidential basis prior to its disclosure by the Company, or (iii) becomes available to the Parties on a non-confidential basis from a source (not bound by confidentiality provisions) other than the Company or its representatives or agents.

|                                                                                               |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
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| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Ramlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
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23. MANAGEMENT IN SITUATION OF CAUSE OR DISABILITY

23.1 In the event of happening of a Cause or Disability the Promoters (or their successors as the case may be) will suggest to the Investors a succession plan. In the event the succession plan is not acceptable to the Investors and the Promoters and the Investors are not able to mutually resolve the matter within a period of 15 days of commencement of such discussions, the Promoters and the Investors shall resolve the matter through a "Special Deadlock" resolution mechanics set out in this Clause.

23.2 The Special Deadlock resolution mechanics will involve the appointment of one representative each, one by the Promoters and one by the Investors and the two representatives so appointed shall suggest the manner in which the Company should be managed, which shall be binding on the Parties. In the event the two representatives are unable to arrive at a consensus, a third representative shall be appointed jointly by the two representatives and the decision of the majority of the representatives shall be binding on the Parties. The Promoters and the Investors shall appoint the representatives within 15 (fifteen) days of the request. The representatives would arrive at a decision within a period of 2 (two) months from the date of their appointment.

23.3 Definitions. For purposes of this Clause 23, the following terms shall have the meanings ascribed to them below:

"Cause": a conviction of or entering a plea of guilty of both the Promoters to (i) any criminal offence or (ii) their wilful violation of any law, rule or regulation (other than a traffic violation or similar offense or violation outside of the course of employment which in no way adversely affects the Company or its reputation or the ability of the Promoters to perform their employment-related duties or to represent the Company)

"Disability or Disabled": means both the Promoters' incapacity due to reasonably documented illness or an unforeseen event, the Promoters shall have been unable for more than 12 weeks period to perform his duties with the Company on a full-time basis

24. MISCELLANEOUS PROVISIONS

24.1 Further Rights Issuance

It is agreed between the Parties hereto that after Closing Date, in the event of the Company making a future issuance of Shares or Share Equivalents on a rights issue to the members of the Company, the Investors shall be entitled to participate in such rights issuance by the Company in proportion to the shareholding of the Investors on a Fully Diluted Basis, and where the Investors hold such Shares or Share Equivalents, unless otherwise agreed by the Investors in writing, all the rights of the Investors in respect of the Investor Securities shall also be available to the Investors in respect of such Shares and Share Equivalents, other than (a) the rights of buy-back and Promoter put pursuant to Clauses 17.5 and 17.6, (b) Event of Default exit pursuant to the proviso to Clause 18.2(c)(i), it being clarified that the exit applicable in such case for Clauses 17.5 and 17.6 and 18.2(c)(i) is being clarified that the obligations of buy-back and Promoter put in respect of such Shares and Share Equivalents shall be exercised at FMV, or as may be otherwise mutually decided between the Promoters, the Company and the Investors, (c) for the purpose of a Tag Along Right of the Investors under Clause 12.4 other than the right to Tag Along pursuant to Clause 12.4 (i), and (d) for the gross up indemnity provided to the Investors under Clause 16.9 of this Agreement to the extent of the rights issuance securities.

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
| ca      | me       | Lee     | Lee     | Kamlesh | Lee                                          |

## 24.2 Fall Away of Rights

The rights available and the obligations applicable, to the Investors and the obligations of the Company and the Promoters pursuant to the provisions of this Agreement shall continue to be available or, as the case may be, applicable to the Investors and/ or their Affiliates till such time as the Investors and/ or their Affiliates collectively own any Securities in the Company. Provided that in the event the Investor holds 2.5% (Two Point five per cent) or lower of the Equity Share capital of the Company on a fully diluted basis (a) on account of a dilution arising by fresh issuances of securities where the Investors have not transferred any Investor Securities, then in such an event the following rights of the Investors would continue – (i) Buyback and Promoter put pursuant to clauses (ii) information rights under clause 11 (iii) pre emptive rights under clause 13 (iv) a right to offer for sale any securities held by the Investors in any IPO, if any IPO is conducted by the Company and (v) right to sell pursuant to 17.8 after 84 months. (b) on account of Transfer of such Shares by the Investors and/ or their Affiliates, then in such an event the following rights of the Investors would continue – (i) information rights under clause 11 ii) a right to offer for sale any securities held by the Investors in any IPO, if any IPO is conducted by the Company and (iii) pre emptive rights under clause 13. Apart from the above, all rights and obligations of the Parties under this Agreement shall cease.

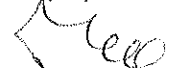
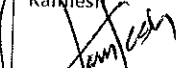
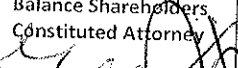
## 24.3 Rights of Investor in subsidiaries

The Parties have agreed that the rights of the Investor set out in this Agreement shall also extend to the wholly owned subsidiaries of the Company as created in the future.

The Parties have further agreed that in case of subsidiaries / joint venture companies other than wholly owned subsidiaries, if the Company has right to appoint only two directors on such a subsidiary or joint venture company, the Company will have a right to nominate such director(s) which will be decided by the Promoters and such nominees need not include a nominee of the Investor and if the Company has right to appoint three or more directors on such subsidiary or joint venture company, the Company shall also, if required by the Investor appoint one director on the board of such subsidiary or joint venture company as decided by the Investor. Further in relation to any matters decided by such subsidiary or joint venture company, which is in the nature of a Reserved Matter under this Agreement, then in such an event, if the Company has a say on such matter, such matter shall not be decided without the prior consent of the Investor. The Promoters and the Company shall procure that the subsidiaries act in accordance with the Transaction Documents. It is clarified that the Investors shall not be required to hold any shares of the subsidiaries. The Promoters and the Company shall exercise all their rights in relation to wholly owned subsidiaries so as to ensure that the rights of the Investor in respect of the wholly owned subsidiaries are fully given effect to. The Promoters shall ensure that any matter proposed by the Investor shall be placed on the agenda of any meeting of the board of directors or shareholder meeting of subsidiaries of the Company.

## 24.4 Representative of Promoters and Balance Shareholders

For the purposes of the Transaction Documents, the Balance Shareholders hereby irrevocably appoint the Promoters to represent them with respect to all actions and decisions to be taken by or on behalf of each the Balance Shareholders. Accordingly, all the

|                                                                                                |                                                                                                 |                                                                                                |                                                                                                |                                                                                                  |                                                                                                                                       |
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| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Karalesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
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Balance Shareholders hereby authorize the Promoters to represent the Promoters and the Balance Shareholders and take any decision which may be required to be taken, do all acts and execute all documents and writings which are or may be required by any of the Balance Shareholders for the proper and effective fulfilment of their respective rights and obligations under the Transaction Documents. Any action taken or deed performed or document executed by the Promoters shall be deemed to be acts or deeds done or documents executed by all the Balance Shareholders (as the case may be), and shall be binding on all the Balance Shareholders (as the case may be) and shall be ratified by them without any demur or protest.

#### 24.5 Confirming Parties Obligations

The Parties agree and acknowledge that the Confirming Parties have no obligations under this Agreement other than (a) obligations undertaken under Clause 9, Clause 10 and Clause 12 (other than Clause 12.5) and (b) obligations in relation to aspects where they are required to vote as a Shareholder (as defined hereinafter) and the Confirming Parties shall vote accordingly to give effect to the provisions of this Agreement.

#### 24.6 Time of Essence

The Parties agree that time is of the essence with respect to the performance of the provisions of the Transaction Documents.

#### 24.7 Reservation of Rights

No forbearance, indulgence or relaxation or inaction by any Party at any time to require performance of any of the provisions of this Agreement shall in any way affect, diminish or prejudice the right of such Party to require performance of that provision, and any waiver or acquiescence by any Party of any breach of any of the provisions of this Agreement shall not be construed as a waiver or acquiescence of any continuing or succeeding breach of such provisions, a waiver of any right under or arising out of this Agreement or acquiescence to or recognition of rights other than that expressly stipulated in this Agreement.

#### 24.8 Cumulative Rights

All remedies of either Party under this Agreement whether provided herein or conferred by statute, civil law, common law, custom or trade usage, are cumulative and not alternative and may be enforced successively or concurrently.

#### 24.9 Partial Invalidity

If any provision of this Agreement or the application thereof to any Person or circumstance shall be invalid or unenforceable to any extent, the remainder of this Agreement and the application of such provision to Persons or circumstances other than those as to which it is held invalid or unenforceable shall not be affected thereby, and each provision of this Agreement shall be valid and enforceable to the fullest extent permitted by applicable Law. Any invalid or unenforceable provision of this Agreement shall be replaced with a provision, which is valid and enforceable and most nearly reflects the original intent of the unenforceable provision.

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
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#### 24.10 Amendments

No modification or amendment of this Agreement and no waiver of any of the terms or conditions hereof shall be valid or binding unless made in writing and duly executed by the Parties.

#### 24.11 Further assurances

The Parties to this Agreement shall from time to time execute and deliver all such further documents and do all acts and things as the other Parties may reasonably require to effectively carry on the full intent and meaning of this Agreement and to complete the transactions contemplated hereunder.

#### 24.12 No Assignment

This Agreement and the rights and liabilities hereunder shall bind and inure to the benefit of the respective successors of the Parties. The Promoters, Balance Shareholders and/or the Company shall not assign or Transfer their respective rights, obligations and liabilities hereunder to any other Person. It is further agreed that the Investor shall be entitled to assign in full or in part all its rights and obligations hereunder, without the consent of the other Parties to such parties to whom the Investors are entitled to Transfer the Investor Securities under the provisions of this Agreement.

#### 24.13 Entire Agreement

The Transaction Documents constitute the entire agreement between the Parties with respect to the subject matter therein and supersede and cancel any prior oral or written agreement, representation, understanding, arrangement, communication or expression of intent relating to the subject matter of the Transaction Documents.

#### 24.14 Relationship

None of the provisions of this Agreement shall be deemed to constitute a partnership between the Parties and no Party shall have any authority to bind the other Party otherwise than under this Agreement or shall be deemed to be the agent of the other in any way.

#### 24.15 Liquidation Preference

In the event there occurs a liquidation of the Company, then the total proceeds from such liquidation after discharging or making provision for discharging the liabilities of the Company towards secured creditors, unsecured creditors (other than Promoter and Balance Shareholders) and statutory dues shall be distributed:

- (i) first to the Investors on a pro rata basis among themselves, an amount which shall be the higher of ("Contractual Liquidity Amount")
  - (A) 1.15 times the aggregate of the Investment Amount; or
  - (B) an amount which would be distributed to the Investors if all amounts available for distribution among the Shareholders including the

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorneys |
|         |          |         |         |         |                                               |

Investors in proportion to the Securities held by them on a Fully Diluted Basis.

- (ii) second, to the all Shareholders of the Company, pro rata among themselves.

To enable the parties to enforce the provision of Clause 24.15 (i) above the Parties shall follow such mechanism as the Investors advisors may recommend at such time.

#### 24.16 Governing Law and Dispute Resolution

- (a) If any dispute arises between the Investors on the one hand and any or all of the Company, Promoters and Balance Shareholders on the other hand, during the subsistence of the Transaction Documents or thereafter, in connection with or arising out of the validity, interpretation, implementation or alleged breach of any provision of the Transaction Documents or regarding a question, including the question as to whether the termination of any of the Transaction Documents by any Party has been legitimate, the disputing Parties shall endeavour to settle such dispute amicably, and the same shall in the first instant be resolved through mediation. The attempt to bring about an amicable settlement is considered to have failed as soon as one of the disputing Parties, after reasonable attempts, which attempt shall continue for not less than 30 (thirty) days, gives 15 (fifteen) days' notice thereof to the other disputing Parties in writing.
- (b) In case of such failure, the dispute shall be referred to a sole arbitrator to be mutually appointed by the Promoters, Balance Shareholders, the Company and the Investor within 5 (five) days from the expiry of the said 15 (fifteen) days' notice or in case of disagreement as to the appointment of the sole arbitrator, to 3 (three) arbitrators, the Investor nominating one arbitrator and the Promoters, Company and the Balance Shareholders jointly appointing the second arbitrator, who shall both be appointed within further 15 (fifteen) days from the expiry of the said 5 (five) days' period. The third arbitrator shall be appointed by the two arbitrators so appointed within 15 (fifteen) days of their appointment. The arbitration proceedings shall be governed by the (Indian) Arbitration and Conciliation Act, 1996.
- (c) The place of the arbitration shall be Mumbai, India.
- (d) The proceedings of arbitration shall be in the English language.
- (e) The arbitrator's award shall be substantiated in writing. The arbitral tribunal shall also decide on the costs of the arbitration proceedings. In the meanwhile, the Parties will bear the cost of the third arbitrator and arbitration meetings and venue equally.
- (f) The award shall be binding on the Parties subject to the applicable Laws in force and the award shall be enforceable in any competent court of law.

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
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The terms of the arbitration will require the arbitrators to conclude the arbitration within 120 (one hundred and twenty) days of the date of reference of the dispute to arbitration.

- (g) This Agreement shall be governed and construed in accordance with the Laws of India and subject to the provisions of arbitration as set out above, the courts at Mumbai, India will have exclusive jurisdiction.
- (h) For avoidance of doubt it is clarified that nothing in this Clause 24.16 shall apply to disputes inter-se between the Company, Promoters and Balance Shareholders.

#### 24.17 Inter-se Deadlock Between the Promoters

- (a) The following provisions of this Cause will apply in the event of an impasse or Deadlock. For the purpose of this clause "Deadlock" shall mean a situation where the Promoters vote differently on any matter at Board/Shareholders/Committee meetings on any 3 (three) occasions.
- (b) In the event of Deadlock, the Investors may recommend the adoption of the Deadlock resolution procedure as set out in Clause 23.
- (c) In the event the Investors requires Deadlock resolution the Promoters shall each appoint one representative who will discuss the matters with the Promoters and arrive at a long term solution to the Deadlock. The decision of the representatives will be binding on the Promoters. In the event the representatives are unable to jointly agree on a decision they may collectively appoint a third representative and the decision of the majority would be binding on the Promoters. The Promoters shall appoint the representatives within 15 (fifteen) days of the request. The representatives would arrive at a decision within a period of 2 (two) months from the date of their appointment.

#### 24.18 Costs

The Company shall bear all expenses incurred in preparing this Agreement including the stamp duty payable on this Agreement, the allotment and issue of the Investor Securities, legal, technical, environmental, social, business, accounting and financial due diligence conducted by the Investors' representatives/advisors and any other costs (including reimbursement of out-of-pocket expenses incurred by the Investors up to Closing) contemplated by this Agreement, unless specifically required under this Agreement to be borne by any other Person.

#### 24.19 Public Announcements

- (a) No formal or informal public announcement or press release which makes reference to any Party and/or the terms and conditions of the Transaction Documents or any of the matters referred to herein, shall be made or issued by or on behalf of any other Party without the prior written approval of all the other Parties provided that if any Party is obliged to make or issue any announcement or press release required by applicable Law or by any Stock Exchange or Governmental Authority, it shall give the other Parties every reasonable opportunity to comment on any announcement

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| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>(Constituted Attorney) |
|         |          |         |         |         |                                                |

or release before it is made or issued.

- (b) The Company, Balance Shareholders and the Promoters undertake with the Investor that they shall not:
- (i) use the name of the Investor or any of its Related Parties in any context whatsoever (except as required by applicable Law or as permitted under this Agreement); and
  - (ii) hold themselves out as being associated with the Investor or any of its Related Parties in any manner whatsoever without the prior written consent of the Investor, save and except a mention about the investment made by the Investors in the Company.

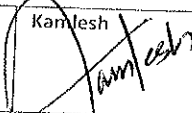
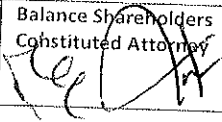
#### 24.20 Execution in Counterparts

This Agreement may be executed in three or more counterparts, each of which shall be deemed an original and all of which, taken together, shall constitute one and the same instrument.

#### 24.21 Authorisation

The Persons signing this Agreement on behalf of the Parties represent and covenant that they have the authority to so sign and execute this document on behalf of the Parties for whom they are signing.

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|                                                                                    |                                                                                     |                                                                                     |                                                                                     |                                                                                      |                                                                                       |
|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| IBEF II                                                                            | IBEF IIA                                                                            | Company                                                                             | Jawahar                                                                             | Kamlesh                                                                              | Balance Shareholders<br>Constituted Attorney                                          |
|  |  |  |  |  |  |

IN WITNESS WHEREOF THE PARTIES HERETO HAVE SET AND SUBSCRIBED THEIR RESPECTIVE HANDS TO THESE PRESENTS ON THE DAY, MONTH AND YEAR HEREINABOVE WRITTEN:

SIGNED  
BY THE WITHINNAMED "IL&FS"

VISHAL TULSIYAN



Vishal Gupta

BY THE HAND OF

Mr, \_\_\_\_\_

Designation: \_\_\_\_\_

VISHAL GUPTA

SIGNED

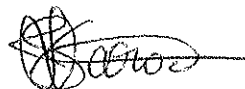
BY THE WITHINNAMED "IBEF IIA"

INDIA BUSINESS EXCELLENCE FUND – IIA

BY THE HAND OF

Mr, Ms. Tihane Mulamodasan

Designation: Director



SIGNED

BY THE WITHINNAMED "Company"

GLASSWALL SYSTEMS (INDIA) PRIVATE LIMITED

BY THE HAND OF

Mr, \_\_\_\_\_

Designation: \_\_\_\_\_



SIGNED

BY THE WITHINNAMED "Jawahar"

ON THE \_\_\_\_\_, 2014



SIGNED

BY THE WITHINNAMED "Kamlesh"

ON THE \_\_\_\_\_, 2014



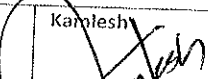
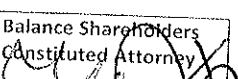
SIGNED

ON BEHALF OF THE "BALANCE SHAREHOLDERS" AS  
NAMED IN ITEM1 OF SCHEDULE 1 BY THEIR CONSTITUTED  
ATTORNEY MR. KAMLESH CHOUDHARI



SIGNED

ON BEHALF OF THE "BALANCE SHAREHOLDERS" AS

| IBEF II                                                                             | IBEF IIA                                                                            | Company                                                                             | Jawahar                                                                             | Kamlesh                                                                              | Balance Shareholders<br>Constituted Attorney                                          |
|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
|  |  |  |  |  |  |

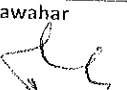
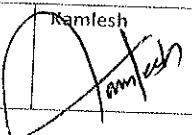
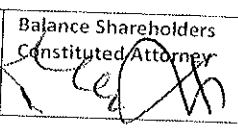
NAMED IN ITEM 2 TO 6 OF SCHEDULE 1 BY THEIR )  
 CONSTITUTED ATTORNEY MR. JAWAHAR HEMRAJANI )

*Hemrajani*

|           |           |           |            |                |                                              |
|-----------|-----------|-----------|------------|----------------|----------------------------------------------|
| IBEF II   | IBEF IIA  | Company   | Jawahar    | Ramlesh        | Balance Shareholders<br>Constituted Attorney |
| <i>Ch</i> | <i>ML</i> | <i>He</i> | <i>Hee</i> | <i>Ramlesh</i> | <i>Hee</i>                                   |

**SCHEDULE 1**  
**BALANCE SHAREHOLDERS**

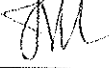
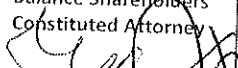
| SL. NO. | NAME OF THE BALANCE SHAREHOLDER | CONSTITUTION | ADDRESS                                                                                           |
|---------|---------------------------------|--------------|---------------------------------------------------------------------------------------------------|
| 1.      | Mrs. Sunita Choudhari           | Individual   | B / 2504, Avalon Heights, Hiranandani Complex, Near Lakecastle Building, Powai IIT, Mumbai-400076 |
| 2.      | Mrs. Vinne Hemrajani            | Individual   | 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703                                       |
| 3.      | Mr. Hariram Hemrajani           | Individual   | 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703                                       |
| 4.      | Mrs. Duru Hemrajani             | Individual   | 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703                                       |
| 5.      | Mr. Eshan Hemrajani             | Individual   | 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703                                       |
| 6.      | Mr. Amit Hemrajani              | Individual   | 1003, Jimmy Tower, Sector - 4, Vashi, Navi Mumbai - 400 703                                       |

|                                                                                                |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Ramlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|

**SCHEDULE 2**  
**SHAREHOLDING STRUCTURE**

**Part A. On the Execution Date**

| NAME OF SHAREHOLDER         | NO. OF EQUITY SHARES<br>HELD | % SHAREHOLDING |
|-----------------------------|------------------------------|----------------|
| <b>PROMOTERS</b>            |                              |                |
| Mr. Jawahar Hemrajani       | 6497217                      | 43.36          |
| Mr. Kamlesh Choudhari       | 7307144                      | 48.77          |
| <b>BALANCE SHAREHOLDERS</b> |                              |                |
| Mrs. Sunita Choudhari       | 184676                       | 1.23           |
| Mrs. Vinne Hemrajani        | 73871                        | 0.49           |
| Mr. Hariram Hemrajani       | 36935                        | 0.25           |
| Mrs. Duru Hemrajani         | 36935                        | 0.25           |
| Mr. Eshan Hemrajani         | 425700                       | 2.84           |
| Mr. Amit Hemrajani          | 421162                       | 2.81           |
| <b>Total</b>                | <b>1,49,83,640</b>           | <b>100%</b>    |

|                                                                                                |                                                                                                 |                                                                                                |                                                                                                |                                                                                                 |                                                                                                                                       |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| IBEF II<br> | IBEF IIA<br> | Company<br> | Jawahar<br> | Kamlesh<br> | Balance Shareholders<br>Constituted Attorney<br> |
|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|



Part B: On Closing Date

| NAME OF SHAREHOLDER   |          | NO. OF SECURITIES    |             |
|-----------------------|----------|----------------------|-------------|
| IL&FS                 | Equity   |                      | 10,52,904   |
|                       | CCPS     |                      |             |
|                       | Series 1 |                      | 8,00,000    |
| IBEF IIA              | Equity   |                      | 5,66,950    |
|                       | CCPS     |                      |             |
|                       | Series 2 |                      | 47,00,000   |
| PROMOTERS             |          | NO. OF EQUITY SHARES |             |
| Mr. Jawahar Hemrajani |          |                      | 64,97,217   |
| Mr. Kamlesh Choudhari |          |                      | 64,97,217   |
| BALANCE SHAREHOLDERS  |          |                      |             |
| Mrs. Sunita Choudhari |          |                      | 1,84,676    |
| Mrs. Vinne Hemrajani  |          |                      | 73,871      |
| Mr. Hariram Hemrajani |          |                      | 36,935      |
| Mrs. Duru Hemrajani   |          |                      | 36,935      |
| Mr. Eshan Hemrajani   |          |                      | 20,736      |
| Mr. Amit Hemrajani    |          |                      | 16,199      |
| Total                 |          |                      | 1,49,83,640 |

|         |          |         |         |         |                                              |
|---------|----------|---------|---------|---------|----------------------------------------------|
| IBEF II | IBEF IIA | Company | Jawahar | Kamlesh | Balance Shareholders<br>Constituted Attorney |
|         |          |         |         |         |                                              |

### SCHEDULE 3

#### Part A

The Company shall, and the Promoter Group shall ensure that the Company shall, not do or, as the case may be, shall refrain from doing the following (as the case may be), unless specific prior written consent of the Investor is obtained:

1. Business which is other than the Ordinary Course of Business;
2. use its best efforts to preserve its present business organisation, keep available the services of its present officers and significant employees, and preserve its relationships with Persons with whom it has business dealings, to the end that its goodwill and going business shall be in all material respects unimpaired following Closing which does not result into Material Adverse Change;
3. not make any change in its Share capital / capital structure, including new issuance of Securities except as contemplated under this Agreement; Provided however that, the consent of the Investors shall not be required for Transfer by Promoters to the Balance Shareholder or vice versa subject to Promoters retaining at least 51% shareholding in the Company on a Fully Diluted Basis.
4. not Transfer any of its Assets other than in the Ordinary Course of Business save and except properties mentioned in Schedule 17;
5. not acquire any share, securities or other interest in any company, partnership or other venture, other than an financial investment of 5% (Five per cent) or less of the total shares or interest in such company, partnership or venture;
6. not incur Indebtedness, either single or in the aggregate in excess of Rs. 5,00,00,000 (Rupees Five Crores only);
7. not declare, make or pay any dividend or other distribution to Shareholders;
8. not merge or consolidate with, or agree to merge or consolidate with, or purchase substantially all of the Assets of, or otherwise acquire, any business, business organisation or division thereof, or any other Person not previously disclosed in writing to the Investor;
9. not enter into, amend or terminate any agreement/understanding or incur any commitment which is (a) not capable of being terminated without compensation at any time with 1 (One) months' notice or less except in the Ordinary Course of Business; (b) which exceeds expenditure in excess of Rs. 10,00,000 (Rupees Ten Lakhs only) except in the Ordinary Course of Business; (c) which imposes obligations or Liabilities on the Company to pay an amount in excess of Rs. 5,00,00,000 (Rupees Fifty Lakhs only) or to provide services or products generating revenues of more than Rs. 5,00,00,000 (Rupees Five Crore only) except in the Ordinary Course of Business;
10. acquiring or disposing of, or agree to acquire or dispose of, any material Asset, or enter into or amend any agreement or incur any commitment to do so, in each case involving consideration, expenditure or Liabilities in excess of Rs. 1,00,00,000 (Rupees Ten Lakhs only), exclusive of Tax other than in the Ordinary Course of Business save and except properties mentioned in Schedule 17;

11. in relation to any immovable property other than in the Ordinary Course of Business, not:
- (a) terminate or serve any notice to terminate, surrender or accept any surrender of or waive the terms of any lease, tenancy or licence which is material in the context of the Company;
  - (b) agree to any new rent or fee payable under any lease, tenancy or licence which is material in the context of the Company and exceed Rs. 10,00,000 (Rupees Ten Lakh Only) rent/licensee per month; or
  - (c) enter into or vary any agreement, lease, tenancy, licence or other commitment which is material in the context of the Company.

Save and except immovable property proposed to be acquired by the Company in Kolkata on lease/leave and license basis.

- 12. not approve, adopt, amend or modify any annual budget of the Company or any existing business plan, or take any action that would be inconsistent with any existing business plan;
- 13. not make any change in its Directors;
- 14. not create or adopt any new or additional equity option plan
- 15. not compromise or grant any waiver or release relating to or otherwise adjust any material litigation;
- 16. not dissolve, wind up or liquidate the Company or restructure or reorganise the same such that it has a similar effect;
- 17. not make any material change to its accounting or Tax policies, procedures or practices, or appoint or remove its external or statutory auditors except as required to comply with this Agreement or applicable Law;
- 18. not amend its name or change its registered office;
- 19. not delegate any authority or power relating to any matter contained in this Schedule 3 to any individual or committee;
- 20. maintain its books of account and records in the Ordinary Course of Business;
- 21. no cause or permit any amendment, supplement, waiver or modification to or of its organisational documents including the Articles and Memorandum;
- 22. not pass or join in passing or permit passing of any resolution of its Board or Shareholders which is contrary to the provisions of this Agreement;
- 23. not conduct any transactions between the Company and its Related Parties or Affiliates in any manner save as on an arm's length basis for bona fide commercial considerations;
- 24. not perform any act that may result in non-compliance by the Company of the regulations relating to foreign direct investment in India; and

25. not make any commitment or agreement or arrangement (oral or written) to do anything contrary to the above.

**Schedule 3**  
**Part B**

The Company shall, and the Promoters shall ensure that the Company shall forthwith intimate the Investor in writing in case of following events:

1. the Company has stopped maintaining in force all existing insurance policies in all respects on the same terms and similar level of cover prevailing at the Execution Date for the benefit of the Company;
2. the Company makes any amendment to the terms and conditions of employment (including, without limitation, remuneration, pension entitlements and other benefits) of any Key Management Personnel except to the extent as stated in this Agreement other than in the Ordinary Course of Business;
3. the Company is in material non compliance any applicable Laws;
4. the Company fails to maintain any material Authorisations necessary for, or otherwise material to, the running of the Business;
5. the Company does or permits anything which would constitute a breach of any of the Representations and Warranties;

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**SCHEDULE 4**  
**FORMAT FOR CP SATISFACTION CERTIFICATE**

Dated:

To,

Re: **Investment Agreement** dated

Dear Sirs,

We hereby confirm that all the Conditions Precedent which are required to be fulfilled under the Investment Agreement dated  entered by the Company with  and  ("Investment Agreement") have as on the date of this letter been fully satisfied.

Please find enclosed the relevant documents in connection with the conditions listed in Clause 3.1 of the Investment Agreement, evidencing fulfilment of the Conditions Precedent.

All capitalised terms used and not defined herein have the same meaning as ascribed in the Investment Agreement.

Regards,

\_\_\_\_\_  
[for Glasswall Systems (India) Private Limited]  
(Directors)

\_\_\_\_\_  
JAWAHAR

\_\_\_\_\_  
KAMLESH

**SCHEDULE 5**  
**REPRESENTATIONS AND WARRANTIES**

Save as Disclosed, the Company and the Promoters hereby represent and warrant to the Investor as of the Execution Date and as of the Closing Date that the following statements are all true, correct and complete. It is agreed and understood that the Representations and Warranties set out below shall be read and interpreted in conjunction with this Agreement and the Disclosure Schedule.

Each of the Representations and Warranties shall be construed as a separate Representation and Warranty and (save as expressly provided to the contrary herein) shall not be limited or restricted by inference from the terms of any other Representations and Warranties or any other terms of this Agreement.

**PART A – COMPANY REPRESENTATIONS AND WARRANTIES**

**1. ACCURACY OF INFORMATION**

**1.1** All the information contained in the Agreement is true, complete and accurate, to the best of knowledge, information and belief of the Promoters. the Agreement does not::

- (a) contain any untrue statement of a material fact; or
- (b) omit to state a material fact required to be stated herein.

**1.2** To the best of knowledge, information and belief of the Promoters, all the information which has been given by or on behalf of the Company and/or the Promoters to the Investor (or to any director, representative, agent or adviser of the Investor) with respect to the Company is true and accurate in all material respects and the Promoters are not aware of any circumstances which could adversely affect what is set forth herein.

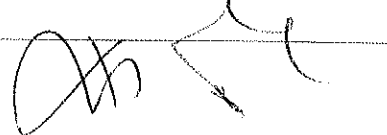
**1.3** All the information which is known to the Company and/or the Promoters, to the best of knowledge, information and belief relating to the Company or otherwise relating to the subject matter of the Agreement which is material to the knowledge of the Investor has been disclosed to the Investor.

**1.4** To the best of knowledge, information and belief of the Promoters, the Company and the Promoters are not aware of any material facts or circumstances relating to the affairs of the Company which have not been disclosed to the Investor, which if disclosed, might reasonably have been expected to influence the decision of the Investor to acquire the Investor Securities on the terms contained in this Agreement.

**2. CORPORATE STATUS AND AUTHORITY**

**2.1** The Company is a body corporate duly incorporated and organized under the Laws of India, having the full corporate power and authority under applicable Law to enter into, execute and perform its obligations under this Agreement, to own its Assets and carry on the Business as it is now being conducted, and is duly registered and authorized to do Business in every jurisdiction which, by the nature of its Business and Assets, makes registration or authorisation necessary.

**2.2** The Business and affairs of the Company have been conducted in accordance with its



certificate of incorporation, Memorandum and Articles and any Authorisations, and true, complete and duly amended copies of the same have been provided to the Investor.

2.3 The Company does not have any subsidiary.

2.4 The Company does not carry on any activity in which foreign direct investment is not permissible under the automatic route in terms of the extant foreign exchange regulations and is meeting all applicable conditionalities to permit such investment.

### 3. AUTHORISATIONS

3.1 All Authorisations required under applicable Law or under any existing contract and required to be obtained by the Promoters or the Company for the execution and performance of this Agreement have been obtained, or granted and continue in force and the Company and the Promoters have complied with all conditions attached to each such Authorisation.

3.2 The execution, delivery and performance by the Company of the Transaction Documents and its compliance with the terms and provisions thereof:

- (a) does not violate the certificate of incorporation, Memorandum and Articles;
- (b) does not contravene any provision of any applicable Law to which it is subject;
- (c) does not result in the creation of any Encumbrance upon the Securities and Assets of the Company other than as contemplated under this Agreement;
- (d) does not conflict with, result in any breach of, or constitute a default under, or give rise to a right to terminate, amend or modify any agreement, contract or permit which is applicable to the Company, or by which any of the Assets of the Company may be bound; or,
- (e) does not constitute an act of bankruptcy, insolvency or fraudulent conveyance under applicable Law enacted for the protection of debtors or creditors.

3.3 No consent to, from or with any Person or approval is required on the part of the Company and the Promoters in connection with the execution, delivery and performance of this Agreement to which the Company and the Promoters are a party, the compliance by any of them with any of the provisions hereof or thereof, or the consummation of the transactions contemplated hereby or thereby.

### 4. SHARE CAPITAL AND SHAREHOLDING

4.1 As on the Execution Date, the authorized share capital of the Company is Rs. 26,00,00,000/- (Rupees Twenty Six Crore only) divided into 2,05,00,000 (Two Crore Five Lakh) equity shares of par value of Rs. 10 (Rupees Ten only) each and 55,00,000 (Fifty Five Lakh) preference shares of par value of Rs. 10 (Rupees Ten only) each.

4.2 The paid up capital of the Company of Rs. 14,98,36,800 (Rupees Fourteen Crore Ninety Eight Lakhs Thirty Six thousand Eight Hundred only) divided into 1,49,83,680 Equity Shares of par value of Rs. 10 (Rupees Ten) each. The aggregate number of the subscribed and paid-up Shares as set forth opposite the Company's Shareholders names in **Part A of SCHEDULE 2** represent all of the subscribed, paid-up and outstanding Shares of the Company as at the

Execution Date.

- 4.3 All of the issued and outstanding Shares are duly authorised, validly issued, fully paid and free of pre-emptive rights and other Encumbrances other than Encumbrances created under this Agreement, and all the Investor Securities when issued and delivered in accordance with the terms of the Agreement will be duly authorized, validly issued, fully paid and free of pre-emptive rights and other Encumbrances other than Encumbrances created under this Agreement. Upon issue and allotment of the Investor Securities, the Investor shall have the marketable title to and shall be the sole legal and beneficial owner of such Investor Securities free from any Encumbrance other than Encumbrances created under this Agreement.
- 4.4 The Company has not, nor has anyone on its behalf, done, committed or omitted any act, deed, matter or thing whereby the Investor Securities can be forfeited, extinguished or rendered void or voidable.
- 4.5 Neither the entry into, nor compliance with, nor Closing under this Agreement is likely to cause the Company to lose the benefit of any right, credit or privilege the Company presently enjoys.
- 4.6 Except as contemplated under this Agreement, there are no outstanding Share Equivalents nor are there any rights to receive dividends or other distributions in respect of any such Share Equivalents.
- 4.7 There are no outstanding options, rights of pre-emption, rights of first refusal, redemption rights, conversion rights or share option or share incentive schemes in favour of the Directors or employees of the Company other than as provided in the Articles and under the Agreement.
- 4.8 There are no agreements, voting trusts, understandings or commitments to which the Company or any of the Promoters is a party in respect of any of the Securities or to create, issue or Transfer Securities for the conversions of any loan or borrowing into Equity Shares.
- 4.9 None of the Promoters or Balance Shareholders has Transferred the Shares held by him/it in the Company by way of a gift, and to the best of the Company's knowledge, none of the Promoters or Balance Shareholders of the Company has Transferred the Shares held by him/it in the Company by any transaction that was less than the fair market value of the Shares as on the date of transaction.
- 4.10 Notwithstanding the foregoing, the Company and the Promoters represent and warrant that there is no other understanding subsisting presently between the Company and the Promoters with respect to any Shares issuable to the Promoters by the Company other than as set out under this Agreement.
5. **STRUCTURE**
- 5.1 The Company is not the holder or beneficial owner of any shares in any body corporate (wherever incorporated) and does not otherwise Control any Person, whether directly or indirectly, whether through the ownership of securities or through Control over composition of Board or by contract or proxy, or whether alone or in concert with others.
- 5.2 The Company is not a member of any partnership, joint venture, consortium, or other



unincorporated association, body or undertaking in which it participates or is required to participate with any other Person in any business or investment.

- 5.3 Other than the Articles, there is no agreement (oral or written), arrangement, or understanding amongst the Promoters that governs their relationship vis-à-vis each other as Shareholders of the Company, or the Business and Control of the Company.

No Promoter has any interest, direct or indirect, in any company or business which is competitive with the Business other than the Ancillary Entities as permitted under the Agreement.

- 5.4 GWS Infotech a partnership firm under the provisions of the Indian Partnership Act, 1932 having its registered office at 718/719, Corporate Centre, Nirmal Life Style, L.B.S Marg, Mulund (West), Mumbai-400080 is an Ancillary Entity. As on date, save and except owing a property at 401/402, Fourth floor, Sunrise Business Park, Plot No. B-68, MIDC, Wagle Industrial Estate, Thane 400604. GWS Infotech neither owns any other property nor conducts any business of any nature whatsoever.

## 6. SOLVENCY

- 6.1 There has not been any Insolvency Event in the Company.

- 6.2 None of the following has occurred and is subsisting in relation to the Company:

- (a) appointment of an administrator.
- (b) an application or an order made, proceedings commenced, a resolution passed or proposed in a notice of meeting for:
  - (i) the winding up, dissolution or administration of the Company; or
  - (ii) the Company entering into an arrangement, compromise or composition with or assignment of the benefit of its creditors or a class of them.
- (c) the Company:
  - (i) being (or taken to be under applicable legislation) unable to pay its debts, other than as the result of a failure to pay a debt or claim which is the subject of a good faith dispute; or
  - (ii) stopping or suspending or receiving a notification for such stopping or suspending, payment of all or a class of its debts;
- (d) appointment of a manager, administrator and/or receiver to any of the Assets of the Company;
- (e) the Company becoming bankrupt or insolvent or making an arrangement with its creditors generally or taking advantage of any statute for the relief of insolvent debtors.

- 6.3 No Asset owned by the Company is liable to a claim of a trustee in bankruptcy or of a liquidator. Further, to the best of the Company's knowledge, Assets, over which the

Company is in the process of acquiring lawful title and ownership, are not liable to a claim of a trustee in bankruptcy or of a liquidator.

## **7. FINANCIAL ARRANGEMENTS**

- 7.1 There is no Encumbrance on the Assets of the Company other than Encumbrances as Disclosed.
- 7.2 The Company is not liable for the financial obligations of any Person other than itself.
- 7.3 The Company has not entered into any contract, arrangement or understanding (oral or written) which is intended for the sole purpose of receiving financial accommodation from any Person. However, this would not cover any genuine contracts/arrangements or understandings pursuant to which the Company has incidentally taken financial accommodation.
- 7.4 The Company is not a party to any foreign currency transaction other than in the Ordinary Course of Business and in compliance with applicable Laws.
- 7.5 The Directors have not given any personal guarantees or indemnifications on behalf of the Company, and vice-versa.
- 7.6 There is no other claim or Indebtedness of the Company, whether direct, indirect, contingent, absolute or accrued, other than as set out in the audited financial statements of the Company as of March 31, 2013, and unaudited financial statements as on February 28, 2014 nor is the Company aware of any condition, fact or circumstance that will create such claim or Indebtedness.
- 7.7 The total Indebtedness in respect of all deferred purchase price in respect of property and/or any security deposit or other retention amounts pursuant to contracts entered into by the Company does not exceed Rs. 4,00,00,000 (Rupees Four Crores) other than in the Ordinary Course of Business save and except for the residential flats at India Bulls Sky and India Bulls Sky Suites for an amount including Rs. 5,95,92,687 (Rupees Five Crore Ninety Five Lakh Ninety Two Thousand Six Hundred Eighty Seven only) and Rs. 8,25,41,115 (Rupees Eight Crore Twenty Five Lakh Forty One Thousand One Hundred Fifteen only) respectively.
- 7.8 All the Indebtedness of the Company, if any, has been duly authorized by all necessary corporate actions and consents and the requisite filings / registrations in this regard under applicable Law have been duly complied with.
- 7.9 The Company does not have any Liability or obligation (whether present, future or contingent) in respect of Indebtedness of any other Person.
- 7.10 The Company has not provided or agreed to provide any credit, or financial assistance to any Person nor has the Company provided any loan to any of its employees other than as disclosed in the audited financial statements as on March 31, 2013 and unaudited financial statements as on February 28, 2014 of the Company.
- 7.11 None of the amounts invested by the Company are the proceeds of illegal activities obtained by the Company in violation of any applicable anti-money laundering statutes and applicable Laws.

**8. LIABILITIES**

**8.1** There are no promissory notes, bills of exchange or other negotiable instruments outstanding, which have been drawn, accepted or endorsed by the Company, other than in the Ordinary Course of Business.

**8.2** The Company is in compliance in all material respects with all applicable Laws and is in material compliance with all standards and requirements in respect of products and services now being supplied/provided.

**8.3** Other than the receivables and payables set out in the Company's audited financial statements of the Company as of March 31, 2013, and unaudited financial statements as on February 28, 2014, there are no other receivables owed to, or payables owed by, the Company other than in the Ordinary Course of Business.

**8.4** Neither the Company, nor to its knowledge, any of its directors, officers, members or employees have, with the consent of the Company, made, directly or indirectly, any payment or promise to pay, or gift or promise to give or authorized such a promise or gift, of any money or anything of value, directly or indirectly, to:

(a) any official for the purpose of influencing any official act or decision of such official or inducing him or her to use his or her influence to affect any act or decision of a Governmental Authority; or

(b) any political party or official thereof or candidate of a political office for the purpose of influencing any official act or decision of such party, official or candidate, official or candidate to use his or its influence to affect any act or decision of a Governmental Authority; or

(c) to the persons or entities mentioned in both Clauses 8.4(a) and (b) above of this Schedule in order to assist the Company to obtain or retain business for, or direct business to the Company.

**8.5** Further, neither the Company nor any of its Directors, officers, members or employees have, with the consent of the Company received or retained any funds in violation of any applicable Law.

**9. POWER OF ATTORNEY**

**9.1** There is no power of attorney in force by which a Person is able to bind the Company, other than powers of attorney issued in the Ordinary Course of Business.

**10. CONTRACTS AND COMMITMENTS**

**10.1** The Company does not undertake any business other than the Business.

**10.2** The Company is not a party to any written deed, agreement, arrangement or understanding written or unwritten in terms of which it is or will be bound to share profits, pay any royalties under Law, contract or otherwise.

**10.3** The Company is not a party to any agreement or arrangement that establishes any franchisee arrangement.

- 10.4 There is no contract to which the Company is a party that:
- (a) is outside the Ordinary Course of Business;
  - (b) is incapable of being fulfilled or performed on time or only with undue expenditure of money or effort;
  - (c) provides that the Company will act as distributor of goods or as agent for another Person; or
  - (d) has resulted or to the best of the knowledge likely to result into a Material Adverse Change.
- 10.5 No contract, agreement or arrangement or understanding to which the Company and/or any of the Promoters is a party restricts the freedom of the Promoters or any member thereof, or the Company, to engage in Business.
- 10.6 There are no joint venture agreements, technical collaboration agreements, profit sharing agreements, or agreements relating to the options to acquire shares/interest in other companies to which the Company is a party.
- 10.7 To the best of the knowledge of the Company, no party to any contract entered into by the Company and/or any of the Promoters in the capacity as the Shareholders and/or Directors is in default, or but for the requirements of notice or lapse of time or both, would be in default and the default could be reasonably expected to have a Material Adverse Change on the Company.
- 10.8 To the best of knowledge, information and belief of the Company and/or the Promoters, all security (including any guarantee or indemnity) held by the Company is valid and enforceable by the Company against the grantor in accordance with the terms of the security.
- 10.9 Neither the Company nor the Promoters have received any notification with respect to replacing or terminating a contract from any party with whom the Company entered into a contract.
- 10.10 There is no material contract that the Company is a party to that is not on arm's length terms.
- 10.11 Neither the Company nor the Promoters have been a party to any agreement, arrangement or practice which in whole or in part contravenes or is invalidated by any restrictive trade practices, fair trading, consumer protection Laws under the relevant jurisdiction or in respect of which any filing, registration or notification is required pursuant to applicable Law (whether or not the same has in fact been made) and which would result in a Material Adverse Change on the Business and the Company.
- 10.12 The Company is not in violation of any material term or material provision of any mortgage, Indebtedness, indenture, material contract, instrument, judgment, order or decree to which it is party or by which it is bound other than for certain delays or minor and inconsequential deficiencies in the existing contracts in the Ordinary Course of Business of the Company. None of the delays have caused any financial liability or damages on the Company till date.

- 10.13 No resale or retail activities are being carried out from any of the offices of the Company.
- 10.14 The Company has ensured that all works, drawings and designs for its projects are in compliance with Applicable Laws, where the Company has an obligation to do so under the terms of the project contract.
- 10.15 None of the projects undertaken by the Company are under suspension, or, to the best knowledge of the Company, are expected to be placed under suspension.
- 10.16 For the Lodha World One project, the Company is not responsible for comprehensive day to day maintenance of the project during the defect liability period.
- 10.17 The equipment used for the Ahuja Tower project by the Company was, when first used during the execution of the works, new, unused and un-Encumbered in accordance with the terms of the project contract.
- 10.18 No indemnity claims or notices of breach/termination have been issued under the project contracts of the Company and it is not likely that any indemnity claims may be made or notices for breach/termination be issued to the best of the knowledge of the Company.
- 11. INSURANCE**
- 11.1 All material insurable Asset of the Company are covered by insurance at least to the extent of its book value.
- 11.2 Each insurance policy held by the Company is currently in full force and effect and all applicable premiums have been paid. To the best of the knowledge of the Company, no policy is subject to special or unusual terms or restrictions on the payment of premiums exceeding the normal commercial premium applying to policies of the same kind. Nothing has been done or omitted to be done which would make any policy of insurance void or voidable or which would permit an insurer to cancel the policy or refuse or reduce a claim or materially increase the premiums payable under the policies.
- 11.3 The Company has obtained insurance insuring its obligations under material contracts other than for payment of liquidated damages under such contracts.
- 11.4 There are no outstanding claims of the Company under any insurance policy held or previously held by it, or all such claims not exceeding Rs. 1,00,00,000 (Rupees one crore only) To the best of knowledge no event (other than one which has given rise to a claim which is not outstanding) has arisen which may give rise to a claim under any insurance policy.
- 11.5 There has been no damage, destruction or Loss, whether or not covered by insurance, which has had as on the Execution Date or the Closing Date, as may be applicable, resulted in a Material Adverse Change.
- 12. EMPLOYEES**

- 12.1 The Company does employ contract labour.
- 12.2 There is not in existence any written or unwritten contract of employment or engagement with an employee of the Company (or any contract for services with any Person) which cannot be terminated by 3 (Three) months' notice or less without giving rise to a claim for damages or compensation (other than a statutory redundancy payment or statutory compensation for unfair dismissal).
- 12.3 No amount due to or in respect of any Director, Key Management Person or employee or former director, former key management person or former employee of the Company is in arrears and unpaid other than his current salary or current contract fee for the relevant period as on the Execution Date and as on the Closing Date.
- 12.4 No claims for damages or personal injuries have been made or notified by any employees or Director, against the Company.
- 12.5 The Company has, in relation to each of its employees, complied in all material respects with all applicable Law and codes of conduct and practice relevant to terms and conditions of service, and to the relations between it and its employees and any trade union, including, without limitation, payments of all statutory Liabilities of the Company in a timely manner towards bonus, gratuity, provident fund and insurance.
- 12.6 The Company does not have any employee stock option, stock purchase, and stock appreciation right or phantom stock option schemes for its employees except the ESOP Plan proposed to be adopted as per the terms of this Agreement.
- 12.7 No Director or Key Management Person:
- (a) has been given an un-expired notice terminating his contract of employment or engagement, as the case may be;
  - (b) has given notice of termination of his employment or engagement in such capacity; or
  - (c) is under notice of dismissal.
- 12.8 There are no existing or notified investigations by any concerned department/s of labour against the Company.
- 12.9 There are no matters as regards industrial relations affecting the Company, which are or have been referred to the concerned departments of labour or any other similar government agency for advice, conciliation or arbitration.
- 12.10 There are no policies, practices, procedures or proposed programmes in relation to redundancy.
- 12.11 Other than benefits envisaged in this Agreement, there are no payments, loans, or other enhanced benefits, which have been promised to the employees on the rolls of the Company, where such payments exceed the level of the statutory redundancy payment and there are no details of any compensation calculation formula or selection criteria adopted by the Company in this respect.

- 12.12 There are no trade unions recognised by the Company and there are no collective agreements or other arrangements, agreements, understandings or any sole bargaining / collective bargaining arrangements between the Company and trade unions. The Company is not a party to any agreement with any industrial organisation in respect of its employees and their employment or engagement.
- 12.13 There are no existing or notified disputes with current employees or former employees.
- 12.14 The Company is not involved in any industrial or trade dispute or any dispute or negotiation regarding a claim of material importance with any employee, trade union or association of trade unions or organisation or body of employees.
- 12.15 There have not been any matters brought to the attention of the Company by safety representatives, safety committees, health and safety inspectors or employees or personal injury claims made against the Company in the past 3 (Three) years from the Execution Date and the Closing Date of this Agreement.
- 12.16 There have been no instances of the following:
- (a) periods of lay-offs;
  - (b) employees who work under two or more employment contracts with the Company;
  - (c) employees providing their services to the Company, but employed by an entity other than the Company;
  - (d) any arrangement under which any employee has agreed to waive any benefits whether regarded by the Company as contractual or otherwise);
  - (e) any loans by or guaranteed by the Company to the employees;
  - (f) any compensation or other severance payments agreed to be paid to any former director or employee but which remains unpaid to date;
  - (g) any violations of confidentiality, non-competition or inventions regarding the agreements between employees and their prior employers, to the best of the knowledge of the Company.
- 12.17 No employee, officer, Director or Shareholder or any of such Person's relative is indebted to the Company, nor is the Company committed to make loans or extend or guarantee credit to any of them other than (i) for payment of salary for services rendered, (ii) reimbursement for reasonable expenses incurred on behalf of the Company and (iii) for other standard employee benefits made generally available to all employees (including stock option agreements outstanding under any stock option plan approved by the Company's Board of Directors and stock purchase agreements approved by the Company's Board of Directors).
- 12.18 To the best of the Company's and the Promoters' knowledge, none of the Directors or Shareholders of the Company has any direct or indirect ownership interest in any firm or corporation with which the Company is affiliated or with which the Company has a business relationship, except in connection with the ownership of stock in publicly-traded companies and as disclosed in this Agreement.

- 12.19 To the best of the Company's knowledge, no Director or Shareholder, nor any of their Relatives, is, directly or indirectly, interested in any contract with the Company (other than such contracts as related to any such Person's ownership of capital stock or other Securities).

### 13. AUTHORISATIONS

- 13.1 The Company has obtained all material Authorisations, licences and registrations as required under applicable Law to carry on the Business properly. In respect of each such Authorisation:
- (a) all fees due have been paid;
  - (b) all material conditions have been duly complied with;
  - (c) to the best of the knowledge of the Promoters and the Company, neither any of the Promoters nor the Company is aware of any factor that might prejudice its continuance or renewal.
- 13.2 There are no resolutions that have been passed by circulation that have not been approved in the meeting of the Board of Directors of the Company;
- 13.3 The investment as contemplated under this Agreement does not materially prejudice any Authorisation, licence or registration that is required for the Business.
- 13.4 The Company is not subject to any current or notified enforcement proceedings/complaint, including criminal prosecutions, administrative proceedings, appeals, statutory enforcement notices, orders, directive, claim, citation or notice from any Authority under applicable Laws and local requirements, civil litigation and outstanding insurance claims involving any environmental or health and safety issues, which has, or could reasonably be expected to have, a Material Adverse Effect or any material impact on the implementation or operation of its Business.

### 14. ASSETS

- 14.1 Each and every fixed Asset owned by the Company:
- (a) is reflected in the financial statements of the Company;
  - (b) is consistent with its age, in good repair and condition;
  - (c) is in satisfactory working order, subject to normal wear and tear;
  - (d) has been properly and regularly maintained and serviced;
  - (e) is not dangerous or unsuitable for the purpose for which it is used;
  - (f) is capable of doing the work for which it was designed or purchased and will be in the normal circumstances capable (subject to fair wear and tear) of doing so over the period of time in which it will be written down to a nil value in the accounts of the Company under the Company's current accounting policies; and



(g) is recorded in the financial statements in respect of the Business, if required under applicable Law.

14.2 Each item of plant and equipment, and machinery is operated in all material respects by the Company without contravening any applicable Law.

14.3 All the Assets of the Company are free from all Encumbrances and claims.

14.4 The Company is the absolute owner of all the proprietary information and there is no infringement of third party Intellectual Property right.

**15. COMPLIANCE WITH LEGISLATION AND ABSENCE OF LITIGATION**

15.1 Neither the Company nor any of the Promoters, nor to the best of Company's and Promoters' knowledge, any of the Company's officers, agents or employees, has, with the consent of the Company and Promoters, committed or omitted to do any act or thing the commission or omission of which is in contravention of any applicable Law in respect of the Company.

15.2 The Company is currently in compliance with the applicable National Social and Environmental Laws.

15.3 The Company does not have any claims arising or any actions, investigations, orders from any Governmental Authority with respect to any research, test or business activity undertaken by the Company.

15.4 The Company, is not aware of to the best of its knowledge, nor has it received any notice of any action or investigation or other proceedings of any nature whatsoever, by any Governmental Authority or any other Person which would restrain, prohibit or otherwise challenge or impede the transactions contemplated by this Agreement or would result in a Material Adverse Change or is with respect to an actual violation and/or failure to comply with any applicable Law, or constitutional document

15.5 Neither the Company nor any Person, for whom it may be vicariously liable, is or has been engaged in any prosecution, litigation, arbitration proceedings or administrative or governmental investigation or challenge as plaintiff, defendant, and third party or in any other capacity.

15.6 There are no investigations pending in respect of the Company by any Governmental Authority.

15.7 The Company is not subject to any subsisting order, waiver, declaration, exemption or notice granted or issued by any Governmental Authority which would result in a Material Adverse Change.

15.8 The Company is not involved in any legal proceedings.

15.9 No court, tribunal or Governmental Authority has issued any judgment, order, injunction, or decree, which results in a Material Adverse Change.

15.10 There is no undertaking in existence given by the Company to any court.

**15.11** Neither the Company nor the Promoters have committed;

- (a) any criminal or unlawful act;
- (b) any breach of fiduciary obligation under applicable Law; or
- (c) any material breach of material contract or statutory duty or any tortious act which could entitle any third party to terminate any material contract to which the Company is a party, which could have a Material Adverse Change.

**15.12** The Company has complied with all the conditions prescribed by the MPCB in the consent to operate dated June 13, 2013 granted to the Company for the factory at Ambernath including the following compliances:

- (a) The Company does not use heat, treatment, surface treatment or chemical treatment or use.
- (b) No trade effluents are discharged from the factory into water bodies;
- (c) The sewage effluent is within the prescribed limits;
- (d) The suspended solids/BOD do not exceed the prescribed limits.
- (e) Only metal and glass scrap is generated from factory activities which is sold to scrap vendors.
- (f) The Company is not required to file returns as it comes under the "green category" and the water consumption level is also under the permissible limit.
- (g) The Ambernath factory has not installed any control equipment as the only source of air emissions is a DG set (along with acoustic enclosure) which is operated only in case of power outages.
- (h) The Company has complied with the air pollution standards in the factory premises.
- (i) The factory does not generate any hazardous waste.

## **16. GOVERNMENTAL AUTHORISATIONS**

**16.1** The Company possesses all mandatory Authorisations required under applicable Law for the conduct of or operation of its Business or for ownership of its Assets. The Company has performed all its obligations under each Authorisation and is in compliance with all material conditions in each such Authorisation. No event has occurred or condition or state of facts exists which constitutes or, after notice or lapse of time or both, would constitute a breach or default under, or which would allow revocation or termination of, any such Authorisation. Neither the Company nor any Promoter has received notice of cancellation, default or dispute concerning or amendment or modification of any such Authorisation. All such Authorisations as are required to carry on the Business shall subsist after the Closing Date subject to their terms.

## **17. PROPRIETARY RIGHTS**

**17.1** The Company owns all proprietary rights with respect to its trademarks, patent, copyright, trade secret, and other Intellectual Property rights or confidential information without any claims or Encumbrances of any manner.

**17.2** The Company to its best knowledge does not infringe or wrongfully use any confidential information or proprietary rights.

**17.3** No Person has been licensed, authorized, or permitted by the Company to use all or part of

the name of the Company or any trademarks which are owned by the Company.

17.4 There are no current or notified actions being brought by the Company against the third parties or by any third party against the Company for infringement of proprietary rights, passing-off, misuse of confidential information or breach of confidentiality and no such claims have been settled by giving any undertaking which remains in force.

17.5 The Company does not believe it is or will be necessary to use any inventions of any of its employees made prior to their employment by the Company.

17.6 There have been no breaches of software licences granted to the Company.

## 18. RECORDS AND CORPORATE MATTERS

18.1 All books and all other records of the Company other than financial statements and records:

- (a) have been fully and properly maintained and contain complete and accurate records in all material respects of all the matters required to be entered in them by applicable Law;
- (b) do not contain or reflect any material inaccuracies or discrepancies;
- (c) give a true and fair view in all material respects of the matters stated therein;
- (d) are in the possession and unqualified control of the Company.

18.2 Accurate and up to date copies of the Memorandum and Articles or other constituent documents of the Company are in the possession of the Company, and have been provided to the Investor, or its advisers or other representatives.

18.3 The Company has complied with and is complying with all requirements of the Act and the relevant charter documents for validly conducting the meetings of the Board and its members, and has duly reflected the proceedings of the meetings in the minutes.

18.4 All documents required to be filed with any Governmental Authority under any applicable Law have been duly filed.

18.5 The statutory registers and books and register of members of the Company have been properly and accurately maintained and written up to date in all respects and contain full and accurate records, including of existing Shareholders (whether legal or beneficial owners) and Directors of the Company, of all resolutions passed by the Directors and the Shareholders of the Company, and all issuances and Transfers of Securities.

## 19. TAXATION

19.1 The accounts contain provisions adequate to cover Taxes for or in respect of the Company for all periods up to June 30, 2014. No significant additional or other Taxes are or will be payable (whether on, before or after Closing) by the Company in respect of periods prior to Closing Date.

19.2 The Company is not subject to any subsisting Tax audit or Tax claims which would result in a Material Adverse Change. The Company has no notice of any subsisting Tax disputes in

respect of which a claim has been made or notice has been issued against the Company.

- 19.3** No additional Liability for Tax has accrued to the Company otherwise than as a result of trading activities in the ordinary and usual course of business.
- 19.4** The Company has deducted all Taxes required to be deducted from any payments made by it.
- 19.5** All Taxes which have been or deemed to have been assessed or imposed on the Company, or have been required to be withheld from any payment made by the Company to another Person:
- (a) which are due and payable, have been paid by the final date for payment by the Company; and
  - (b) which are not yet payable but become payable before Closing, will be paid by the due date.
- 19.6** All particulars given to any Taxation authority in connection with or affecting any application for any ruling, consent or clearance on behalf of the Company fully and accurately disclose all facts and circumstances material for the decision of the Taxation authority. Each ruling, consent or clearance is valid and effective. Each transaction for which that ruling, consent or clearance had previously been obtained has been carried into effect in accordance with the terms of the relevant application, ruling, consent or clearance.
- 19.7** All necessary information, notices, computations and returns have been properly and duly submitted by the Company to each relevant Taxation authority in respect of Taxes for or in respect of the Company for all periods up to the Closing Date as per the requirements of the applicable Laws. There is no unresolved correspondence or notices or dispute with any Taxation authority in relation to an alleged breach of applicable Law. Neither any Taxation authority nor any other fiscal authority has notified or is at present conducting any investigation into all or any part of the Business or affairs of the Company.
- 19.8** The Company maintains and has retained in all material respects for the period required by applicable Law:
- (a) accurate records of all Assets for Taxation purposes;
  - (b) without limiting the generality of the foregoing, accurate records of all information relating to those Assets for Taxation purposes; and
  - (c) all other records that the Company is required to maintain under applicable Law relating to Taxes.
- 19.9** All stamp duty and other similar Tax payable in respect of every material contract or material transactions to which the Company is or has been a party, or by which the Company derives, has derived or will derive a substantial benefit, have been duly paid. No material contract is unstamped or insufficiently stamped. No event has occurred as a result of which any duty has become payable, from which the Company may have obtained relief.

## **20. FINANCIAL STATEMENTS**

*all*

*[Signature]*

20.1 The accounts of the Company have been prepared in accordance with the applicable Law and applicable GAAP and:

- (a) show a true and fair view in all material respects of the Assets and Liabilities and of the state of affairs, financial position and results of the Company;
- (b) show a true and fair view in all material respects of the profit or loss of the Company;
- (c) are not affected by any abnormal or extraordinary item;
- (d) take account of all gains and losses, whether realised or realisable, arising from foreign currency transactions and on translation of foreign currency financial statements;
- (e) include reserves and provisions for Taxation that are sufficient to cover all material Tax Liabilities of the Company;
- (f) provide for all Liabilities for long service leave and annual leave entitlements;
- (g) provide for all other Liabilities (whether quantified or contingent) of the Company, if any; and
- (h) give full particulars in the notes of all Contingent Liabilities and commitments and any other Liabilities which cannot be quantified, if any.

20.2 Each of the following is true and reflected in the accounts:

- (a) Redundant, obsolete, excessive and slow moving inventories of the Company have been written off or written down to an amount not greater than their net realisable value in the ordinary and usual course of business.
- (b) The basis of valuation for inventories as set out in the accounts has remained substantially the same in respect of the commencement and end of each of the accounting periods of the Company in the last 36 (Thirty Six) months from the Execution Date and the Closing Date other than the requirement to follow Accounting Standards 7 for work in progress with effect from financial 2013-2014.
- (c) The rate of depreciation applied to each item of property, plant and equipment has been consistently applied over previous accounting periods of the Company.

20.3 The Company has not or is not engaged in financing of a type which is not required to be shown or reflected in the audited accounts.

20.4 There is no set off arrangement between the Company and any other Person.

20.5 The Company has not accepted any deposits from the public.

20.6 All receivables are reflected at realisable value and adequate has been made for doubtful debts.

*fm*

*[Signature]*

- 20.7 The Company does not have any outstanding obligation in respect of a derivative transaction
- 20.8 The Company does not have any outstanding obligation in any foreign exchange transaction other than in the Ordinary Course of Business.

**21. RELATED PARTY TRANSACTIONS**

- 21.1 The Company has no material contracts with the Promoters and/or any Related Party other than on arm's length basis and all transactions entered into by the Company with Related Parties are in compliance with applicable Laws.
- 21.2 There exist no guarantees or other similar commitments given by the Company for the performance of obligations of any of the Promoters.

**22. PROPERTY**

- 22.1 Except as, Disclosed the Company does not own or lease any immovable property ("Property").
- 22.2 The Company has a valid leasehold interest in the Property which is taken on lease by the Company. The Property leased by the Company is fully maintained in good repair and is currently used by the Company. No part of the Property is sub-leased or licensed, as the case may be, to a third party.
- 22.3 The Property is not subject to any official complaint or notice of violation of any applicable Law and no such violation is known to exist. There exist no restrictions of any nature with regard to the use or occupancy, which is likely to preclude or impair the use and occupancy of the Property, for the purpose of existing Business.
- 22.4 The lease agreements in respect of the Property used by the Company are presently in force and are registered and are valid and binding.
- 22.5 During the period that the Company has leased the Property:
- (a) there have been no disposals or releases of any hazardous substance (as defined in the Environment (Protection) Act, 1986) on, from or under such Properties by the Company; and
  - (b) no third party has used, generated, manufactured or stored on, under or about such Properties or transported to or from such Properties any hazardous substances after the Company has taken possession of such Properties.

**23. INFORMATION TECHNOLOGY MATTERS**

- 23.1 The use of the computer systems by the Company does not infringe the Intellectual Property rights of any third party. The Company has exclusive control of the operation of the Company's computer systems and of the storage, processing and retrieval of all data stored on the Company's computer systems and any Intellectual Property rights in such data are owned solely by it.
- 23.2 The computer systems and other technology used by the Company are maintained under annual maintenance contracts and adequate arrangements have been made for provision of

technical support with respect to such systems and technology.

**24. INDEPENDENT REPRESENTATIONS AND WARRANTIES.**

- 24.1** For avoidance of doubt, the foregoing Representations and Warranties shall be separate and independent, and save as expressly provided shall not be limited by reference to any other section, clause or anything contained in this Agreement or its Schedules.

**PART B – PROMOTERS REPRESENTATIONS AND WARRANTIES**

**1. GOOD TITLE**

- 1.1** Each of the Promoters and the Balance Shareholders have and will have on the Execution Date and the Closing Date (i) good and marketable title to the Shares held by them which shares are fully paid up and free and clear of all liens, Encumbrance, equities, and claims whatsoever, and (ii) has full right and authority to deliver the Purchase Shares and all rights attached to it to the Investors, as reflected in **Part A of Schedule 2** hereto, free and clear of any and all Encumbrances whatsoever.
- 1.2** To the Promoters best knowledge, (i) the rights attached to the Purchase Shares are valid, binding and enforceable; (ii) they have not taken any action or omitted to take any action, that has, in any manner, prejudicially affected the validity, the binding effect and enforceability of the shareholder rights held by them under applicable law, equity or any contract in relation to the Purchase Shares;
- 1.3** The execution and delivery of this Agreement by the Promoters and/or the Balance Shareholders will not violate, conflict with, result in a breach of the terms, conditions or provisions of, or constitute a default under: (a) any contract entered into by them; (b) any court order to which they are a party or by which they are bound; or (c) any applicable Law.
- 1.4** The Promoters and/or the Balance Shareholders are not a party to any agreement or option or any right (including any contingent right) or privilege (whether pre-emptive or contractual) capable of becoming an agreement or option for the purchase from them of the Purchase Shares;

**2. INSOLVENCY AND BANKRUPTCY**

- 2.1** No Insolvency Event has occurred for the Promoters.
- 2.2** As of date, as regards the Promoters and/or Balance Shareholders, there is no applicable bankruptcy, insolvency, reorganisation, moratorium or similar Laws affecting creditors' rights generally.
- 2.3** There are no pending suits, actions, claims or proceedings pending against the Promoters and/or Balance Shareholders in any court in India or elsewhere which (i) adversely affects the transaction contemplated under this Agreement, or (ii) which has a material adverse effect on the financial position of the Promoters and/or Balance Shareholders.
- 2.4** No order has been made or petition presented for an administration order against any Promoter and/or Balance Shareholders and there are no cases or proceedings under any applicable insolvency, or similar applicable Laws concerning any Promoter and/or Balance Shareholders and no events have occurred which, under applicable Laws, would justify and

result in any such cases or proceedings. The Promoters and/or Balance Shareholders are not insolvent or bankrupt nor is either unable to pay its debts as they fall due.

- 2.5 No receiver, trustee, administrator, custodian or similar official has been appointed in respect of the whole or any part of the business or assets of any of the Promoters and/or Balance Shareholders.

3. DISCLOSURE

- 3.1 To the best of the knowledge of the Promoter, no statement made or furnished by the Promoters to the Investor or contained in (i) the Transaction Documents, (ii) any written statement or certificate furnished or to be furnished to the Investor pursuant hereto or in connection with the transactions contemplated hereby or (iii) any information regarding the transactions contemplated by the Transaction Documents prepared or provided by the Company or the Promoters contains any untrue statement of a material fact or omits to state a material fact necessary in order to make the statements contained herein or therein not misleading in light of the circumstances under which they were made.



## SCHEDULE 6

### DISCLOSURE SCHEDULE

The Disclosure of any matter or document in this Disclosure Schedule shall not imply any warranty, representation, undertaking, covenant, indemnity, guarantee or other commitment of any nature whatsoever not expressly given in the Agreement and none of the Representations and Warranties shall be extended in scope by any of the Disclosures.

Where there are Disclosed in or by virtue of this Disclosure Schedule, estimates, forecasts or statements of opinion as to the amount of any liability, cost or expense then, provided that such estimates, forecasts, or statements of opinion are provided in good faith, if the amount thereof shall turn out to be inaccurate, such fact shall not of itself render a Disclosure unfair.

The purpose of this Schedule is to Disclose matters which may be relevant to the Representations and Warranties contained in the Agreement. The Representations and Warranties are qualified by the information Disclosed in this Schedule or in any of the documents annexed to this Schedule. Subject to applicable Law, the information contained herein is Disclosed in confidence only for the purposes contemplated in the Agreement.

Notwithstanding anything to the contrary contained in the Agreement, if an inconsistency exists between this Agreement and this Schedule, this Schedule prevails and is deemed to contain the relevant Disclosure.

The following specific Disclosures are made in relation to the Representations and Warranties in the Subscription Agreement.

| WARRANTY NO.           | DISCLOSURE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                         |                        |                         |                   |                 |        |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|------------------------|-------------------------|-------------------|-----------------|--------|
| 3.1, 3.2 (d), 3.3, 4.5 | The Company will obtain an approval of Bank of India and Thane JanataSahakari Bank under the Working Capital Consortium Agreement, between the Company, BOI and TJSB, dated 22nd November, 2010 as a post closing action to this Agreement.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                         |                        |                         |                   |                 |        |
| 3.2 (d), 3.3           | <p>The Lease Deed with Athmaa Steel Venture Company dated August 1, 2013 requires an intimation to be given to Athmaa Steel Venture Company due to change in the constitution of the Company.</p> <p>Under the Equipment Finance and Supply Agreement dated December 19, 2013 with Dow Corning India Private Limited, Dow Corning India Private Limited has a right to terminate the agreement due to any direct or indirect change in the ownership of the Company.</p> <p>Under the Fabricator Agreement dated July 1, 2012 with SCHUECO India Solar and Windows Private Limited, it is an obligation of the Company to inform SCHUECO India Solar and Windows Private Limited prior to transferring any of its shares to any company.</p> |                         |                        |                         |                   |                 |        |
| 4.9                    | <p>The Promoters or the Promoter Group may inter-se transfer their existing Shares prior to the Closing.</p> <table><tr><th>Name of the transferor</th><th>Name of the transferee</th><th>Number of Equity Shares</th></tr><tr><td>Jawahar Hemrajani</td><td>Eshan Hemrajani</td><td>388765</td></tr></table>                                                                                                                                                                                                                                                                                                                                                                                                                                | Name of the transferor  | Name of the transferee | Number of Equity Shares | Jawahar Hemrajani | Eshan Hemrajani | 388765 |
| Name of the transferor | Name of the transferee                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Number of Equity Shares |                        |                         |                   |                 |        |
| Jawahar Hemrajani      | Eshan Hemrajani                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 388765                  |                        |                         |                   |                 |        |

| WARRANTY NO.                | DISCLOSURE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                |        |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------|
|                             | Jawahar Hemrajani                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Amit Hemrajani | 421162 |
| 5.1, 5.2                    | The Company is holding 10,000 (Ten Thousand) shares in Thane JanataSahakari Bank Limited and 9,779.951 (Nine Thousand Seven Hundred and Seventy Nine point Nine Five One) units in Sahara Wealth Plus Fund.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                |        |
| 7.1                         | (i) Encumbrance in favour of the Consortium of banks led by Bank of India vide Working Capital Consortium Agreement, between the Company, BOI and TJSB, dated 22nd November, 2010 and the related security documents;<br><br>(ii) The corporate guarantee in favour of the Company's clients M/s. Satellite Developers Ltd. upto Rs. 1,20,39,510/- and M/s. Forum Projects Private Limited, with liability upto Rs. 5,53,26,771/-.                                                                                                                                                                                                                                                                           |                |        |
| 7.5                         | The Promoters have given personal guarantees to the consortium of banks led by Bank of India.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                |        |
| 7.6, 18.4, 19.1, 19.5, 19.7 | (i) Potential CST exposure on account of inter-state sales as branch transfers;<br><br>(ii) Exposure of differential liability of service tax on contract executed with L&T;<br><br>(iii) Exposure of differential MVAT liability on the works contracts executed by it;<br><br>(iv) Potential CST exposure on account of pending declaration forms;<br><br>(v) Non-payment of Service Tax under reverse charge mechanism on legal consultancy services;<br><br>(vi) Non- filing of VAT audit report and Annual Return for the branches located in Gujarat and Haryana; and<br><br>(vii) Any contingent liability which may arise under the agreements, which are executed with the suppliers and customers. |                |        |
| 3.2                         | The Company has agreed to provide the following immoveable properties as the security for the working capital loan taken by GWS Engineers & Fabricators Private Limited:<br><br>Office no. 503 and 504, Corporate Centre, Nirmal Lifestyle, L.B.S. Marg, Mulund (West), Mumbai - 400 080.                                                                                                                                                                                                                                                                                                                                                                                                                    |                |        |
| 10.4                        | All the contracts executed by the Company in the course of its business do contain standard representations and warranties for its timely                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                |        |

| WARRANTY NO.     | DISCLOSURE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 10.17, 14.3      | performance and therefore may lead to certain expenditure<br>The consortium of the banks led by Bank of India has been given hypothecation on all plant and machinery of the Company as a security towards the borrowings taken from them.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| 11.5             | The Company is in the process of procuring insurance policy for the gratuity liability                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| 12.11, 12.16 (e) | The Company has been providing loans to the employees of the Company.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| 13.1, 16.1       | <p>The following Authorisations to be obtained by the Company:</p> <ol style="list-style-type: none"> <li><b>Ambernath Factory Subletting:</b><br/>On 23<sup>rd</sup> May, 2014, the Company with the Sameto AG has applied for approval from Maharashtra Industrial Development Corporation for subletting the factory premises by Sameto AG-Drive Pvt. Ltd to the Company.</li> <li><b>FSI consumption at N67 factory:</b><br/>The Company has agreed to construct 2000 Sq. mts. or more than 20% FSI is to be consumed before July 30, 2013 and further 2625 sq. Mts. on or before July 30, 2014. However, till date the Company has consumed 19% FSI.</li> <li><b>DG Set:</b><br/>The Company was using the DG set, originally purchased by GWS Engineers &amp; Fabricators Pvt. Ltd. In March, 2013, the Company purchased the DG set from GWS Engineers &amp; Fabricators Pvt. Ltd. However, in MIDC records, the license is in the name of GWS Engineers &amp; Fabricators Pvt. Ltd. The company has now removed the DG set from its premise</li> <li><b>Principal Employer license:</b><br/>For the Ambernath factory, the Company has applied with MIDC through application dated 28<sup>th</sup> May, 2014 for Principal Employer license as required under the Contract Labour (Regulation &amp; Abolition) Act, 1970.</li> <li><b>Gurgaon factory:</b><br/>The Company is in process of obtaining Authorisations for the factory owned and operated the Company in Gurgaon: (a) factory license under the Factories Act, 1948; (b) consent to establish / consent to operate under the Water (Prevention and Control of Pollution) Act, 1974, the Air (Prevention and Control of Pollution) Act, 1981, and the Hazardous Wastes (Management and Handling) Rules, 1989.</li> <li><b>Powai office:</b> Office bearing No. 708 on the 7th floor, Gateway Plaza, Hiranandani Garden, Powai, Mumbai admeasuring 400 square feet (built up) approximately ("Office"). The Office was bought in the name of the Promoters under the partnership firm "Glass Wall</li> </ol> |

| WARRANTY NO. | DISCLOSURE                                                                                                                                                                                                                                                                                                                                               |
|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|              | Systems", but the payment was made from the partnership firm's account. However, on conversion from partnership firm into the Company the said asset was transferred in the books of the Company.                                                                                                                                                        |
| 15.4         | The Company may be exposed to litigation in connection with valuation mechanism adopted, to discharge Central Excise duty on manufactured goods.                                                                                                                                                                                                         |
| 15.12        | The Company uses Dow Corning Sealants                                                                                                                                                                                                                                                                                                                    |
| 17.1         | The trademarks and logo used by the Company are in the process of being transferred from the erstwhile partnership to the Company. The designs created by the Company for some of the projects have not been patented                                                                                                                                    |
| 17.3         | GWS Engineers & Fabricators Private Limited and GWS Fabricators Private Limited are using the trademarks and logo of the Company.                                                                                                                                                                                                                        |
| 19.5         | The Company may have to fulfil its obligations under VCES scheme.                                                                                                                                                                                                                                                                                        |
| 20.4         | The Company does have the set off benefits in relation to its indirect taxes.                                                                                                                                                                                                                                                                            |
| 22.1         | A list of the Properties held by the Company is annexed as Exhibit 1 to this Schedule                                                                                                                                                                                                                                                                    |
| 22.2, 22.3   | The Company has taken on leave and license basis from Sameto AG Drive Private Limited, premises bearing no. B - 103, 107 and 108 MIDC, Additional Ambernath, which is originally leased to Sameto AG Drive Private Limited by MIDC. MIDC's prior approval for license in favour of the Company has not been obtained by Sameto AG Drive Private Limited. |

**Exhibit 1 to Schedule 6**  
**List of Properties**

| Sr. No. | Location                                                                                                                                                       | Status          |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| 1       | A-1206, 12 <sup>th</sup> Floor, Infinity, Ahmedabad, Gujarat                                                                                                   | Freehold        |
| 2       | 708, 7 <sup>th</sup> Floor, Gateway Plaza, Hiranandani Garden, Powai, Mumbai                                                                                   | Freehold        |
| 3       | 717, 7 <sup>th</sup> Floor, Corporate Centre, Nirmal Lifestyle, Mulund (West), Mumbai                                                                          | Freehold        |
| 4       | 718, 7 <sup>th</sup> Floor, Corporate Centre, Nirmal Lifestyle, Mulund (West), Mumbai                                                                          | Freehold        |
| 5       | 719, 7 <sup>th</sup> Floor, Corporate Centre, Nirmal Lifestyle, Mulund (West), Mumbai                                                                          | Freehold        |
| 6       | 503, 5 <sup>th</sup> Floor, Corporate Centre, Nirmal Lifestyle, Mulund (West), Mumbai                                                                          | Freehold        |
| 7       | 504, 5 <sup>th</sup> Floor, Corporate Centre, Nirmal Lifestyle, Mulund (West), Mumbai                                                                          | Freehold        |
| 8       | 2101, 21 <sup>st</sup> Floor, Silver Oak Tower, Raheja Willows, Akurli Road, Kandivali (East), Mumbai                                                          | Freehold        |
| 9       | 502, 5 <sup>th</sup> Floor, A Wing, Building No. 3, Raheja Green CHS, Borivali (East), Mumbai                                                                  | Freehold        |
| 10      | 1004, 10 <sup>th</sup> Floor, Interface Height, Near D mart, Link Road, Malad (West), Mumbai                                                                   | Freehold        |
| 11      | 423, Sector- 8, IMT Manesar, Gurgaon, Haryana                                                                                                                  | Leasehold       |
| 12      | Plot No. N - 67, Additional Ambernath Industrial Area, MIDC, Ambernath                                                                                         | Leasehold       |
| 13      | Plot No. A - 102, Additional Ambernath Industrial Area, MIDC, Ambernath                                                                                        | Leasehold       |
| 14      | Plot No. B - 103, 107 & 108, Additional Ambernath Industrial Area, MIDC, Ambernath                                                                             | Leave & License |
| 15      | AK - 105, Sector II, Salt Lake City, Bidhannagar, Kolkata                                                                                                      | Leave & License |
| 16      | Flat No. A - 5/901, Sparklet Megapolis, Hinjewadi Phase - 3, Pune                                                                                              | Leave & License |
| 17      | 202, Govind Nivas, Hinjewadi, Pune                                                                                                                             | Leave & License |
| 18      | A/1001, Mayuresh Residency, L.B.S. Marg, Bhandup (West), Mumbai                                                                                                | Leave & License |
| 19      | Old survey No. 59/2 New survey No.59/3 at Dodderi N.H. 4, Nelamangala, Taluk, Bangalore                                                                        | Leave & License |
| 20      | Premises No.5, 4 <sup>th</sup> Cross, 4 <sup>th</sup> Main, S.R. Nagar, Bangalore-27                                                                           | Leave & License |
| 21      | Dag No 880, 882, 883, 884, 922, 926, 1056 & 1057 under Khatian no 297, 505, 1114, 1116, 1121, 1125, Mouza Dhulagori, P.S. Sankrail, District - Howrah, Kolkata | Leave & License |
| 22      | A-49, Gallops Industrial Park, Sarkhej Balva National Highway No. 8A, Village Vasna Chancharwadi, Ahmedabad, Gujarat                                           | WIP             |
| 23      | 2903 (earlier 3004), Sky, Indiabulls Properties, Mumbai                                                                                                        | WIP             |
| 24      | 2808 (earlier 4108), Skysuites, Indiabulls Real Estate, Mumbai                                                                                                 | WIP             |
| 25      | 503, Marathon Realty Pvt. Ltd.                                                                                                                                 | WIP             |
| 26      | 504, Marathon Realty Pvt. Ltd.                                                                                                                                 | WIP             |

**SCHEDULE 7**  
**RESERVED MATTER ITEMS**

- (a) Approval of the annual budget including Business Plan or any alteration in the Business Plan;
- (b) Approval of annual accounts of the Company;
- (c) Any addition/deletion to the off-balance sheet liability structure of the Company including leasing, drawing on bank guarantees, Encumbrances, pledge or creation of lien and/or Transfer, which are not in the Ordinary Course of Business and exceeding a value which individually is more than or equal to Rs. 20,00,000 (Rupees Twenty Lakhs only) or together is more than Rs. 1,50,00,000 (Rupees One Crore fifty lakhs only) in a Financial Year (as per the written down value of the Assets as per the audited accounts of the previous Financial Year);
- (d) Change in any rights or benefits provided to the Investors;
- (e) Any changes to the Memorandum and Articles;
- (f) Creation of any new subsidiary(ies), joint ventures associate companies of the Company;
- (g) Change in the name or registered office of the Company;
- (h) Any transactions in relation to new activities with a Related Party of a value above Rs. 20,00,000 (Rupees Twenty lakhs only) singly and Rs. 1,50,00,000 (Rupees One Crore fifty lakhs only) in the aggregate in a Financial Year other than as described in the Schedule 19 hereto,
- (i) Any change in the capital structure including Share capital/ future issuances of Securities/ redemption of Securities/capital reduction / ESOP (other than the ESOP plan envisaged in this Agreement) and/or any Transfer of Securities, other than as explicitly permitted under this Agreement;
- (j) Change in the composition or size or structure of the Board;
- (k) Mergers, consolidation, acquisitions strategic/financial alliances by and of the Company, change of voting control, amalgamations, consolidations, spin-offs, sale of substantial Assets, insolvency, voluntary liquidation, winding up, compromise with creditors, other similar or related actions, either by or of the Company;
- (l) Listing, buy back, distribution of dividend, distribution of profits / commission other than dividend relating to any Securities;
- (m) Appointment/addition, dismissal, removal in the statutory auditors, internal auditors and Key Management Persons other than as agreed in this Agreement;
- (n) Any deviations of more than 10% (Ten percent) from the Business Plan approved in accordance with this Agreement and any deviation of more than 10% (Ten percent) from annual budget under major heads including revenues, direct costs including material and labour cost, employee cost, net working capital and debt equity ratio;
- (o) Availing of or providing guarantees and credit enhancements (other than in the Ordinary Course of Business) and entering into any derivative contracts which are not already incorporated in the annual budget approved by the Investors;
- (p) Purchase/disposal of fixed Assets for a consideration exceeding Rs 10,00,000 (Rupees One Crore only) or disposal of fixed Assets with a written down value exceeding Rs 10,00,000 (Rupees One Crore only) at the commencement of the relevant Financial Year other than Specific Properties
- (q) Changes to accounting or Tax policies or practices of the Company (other than those mandated by Indian GAAP);
- (r) Acquire or Transfer or otherwise dispose off any Intellectual Property rights of or used by the Company where the transaction involves a sum in excess of Rs. 10,00,000 (Rupees Ten Lakh only);
- (s) Change in the nature of Company's Business or entering into any new business line or activity or in any way undertaking any new business initiative related to the Business, exceeding a sum of more than Rs 3,00,00,000 (Rupees Three Crore) either singly or in the aggregate in a Financial Year, which does not fall in the scope of the Company's operations as per the

- Business Plan, whether connected to the then Business operations or otherwise;
- (t) Entering into, modification or termination of any material contract in existence or proposed to be entered into by the Company and including waiver of any material default under or in relation to the breach of any material contract, other than in the Ordinary Course Of Business;
  - (u) Commencement or settlement/withdrawal of any litigation(s) (i) other than in the Ordinary Course of Business or (ii) in the Ordinary Course of Business and involving an aggregate sum in excess of Rs. 10,00,000 (Rupees Ten Lakh only) per litigation;
  - (v) Entering into any arrangement or settlement with the debtors or creditors other than in the Ordinary Course Of Business;
  - (w) Change in the remuneration or material terms of employment of the Promoters (other than as specifically agreed in the Transaction Documents) and Key Management Persons.

**SCHEDULE 8  
DEED OF ADHERENCE**

THIS DEED OF ADHERENCE ("Deed") is made on [•] (*insert date*) by

[•] (*insert name*) (the "Covenantor");

The Persons listed in Annexure annexed hereto (hereinafter referred to as the "Continuing Shareholder/s")

[•] (the "Company");

[•] (hereinafter referred to as the ["Transferring Shareholder"])

(The Company and the Continuing Shareholders and the [Transferring Shareholder/Issuer] are hereinafter referred to individually as "Original Party" and collectively as the "Original Parties". The Original Parties and the Covenantor are collectively referred to as "Parties" and individually as "Parties".)

SUPPLEMENTAL to an Investment Agreement dated [•] 2014 (*insert date*) and made between [•] (the "Company"), the Investor, the Promoters and the Balance Shareholders (as such terms are defined in the Investment Agreement), (the "Agreement").

**WHEREAS:**

The Covenantor covenants as follows:

1. The Covenantor hereby confirms that a copy of the Agreement has been made available to it and hereby covenants with the Company and the Continuing Shareholders to observe, perform and be bound by all the terms which are capable of applying to the Covenantor and the Covenantor shall be deemed to be a shareholder of the Company with effect from the date on which the Covenantor is registered as a member of the Company and to be a party to the Agreement (as if named a party to the Agreement).
2. The Covenantor hereby covenants that it shall do nothing that derogates from the provisions of the Agreement. The Covenantor agrees to be bound by the obligations and shall be entitled to the rights, in relation to the Company, of the entity from whom the Covenantor has acquired the Securities of the Company as set out in the Agreement.
3. The Covenantor represents and warrants to the Original Parties that the execution of this Deed by it has been duly authorized, and that the execution and performance of this Deed does not conflict with or result in a breach of any of the terms, conditions or provisions of, or constitute a default or require any consent under, any agreement or other instrument it has executed or by which it is bound, or violate any of the terms and provisions of its charter documents or any judgment, decree or order or any statute, rule or regulation applicable to it.
4. All notices, requests, waivers and other communications ("Notices") shall be made in writing and by letter (delivered by hand, courier or registered post), email or facsimile transmission and shall be deemed to be duly given or made, in the case of personal delivery, when delivered; in the case of email/ facsimile transmission, provided that the sender has received a receipt indicating proper transmission, when dispatched. When by way of a letter, the Notice must be in writing in English and addressed to the Covenantor at the address set out below, when by email must be in English to the email address set out below, and when by facsimile must be in English to the number set out below  
In the case of notices to the **Covenantor**:



Address : [•]

Phone : [•]

Fax : [•]

Email : [•]

Attention: [•]

5. The Notice must be signed by a Person duly authorized by the sender. If delivery or receipt occurs on a day other than a Business Day, or is later than 5 p.m. (local time), it will be taken to have been duly given at the commencement of the next Business Day. In the event that the Covenantor refuses delivery or acceptance of a notice, request or other communication, under the Agreement, it shall be deemed that the Notice was given upon proof of the refused delivery, provided the same was sent in the manner specified in the Agreement.
6. This Deed of Adherence shall be governed in all respects and construed in accordance with the Laws of India and the terms of the Agreement (including without limitation the dispute resolution mechanism) shall be *mutatis mutandis* be applicable to this Deed. All capitalised terms used in this Deed of Adherence but not defined herein, shall, unless repugnant to the context or meaning, have the meaning ascribed to such terms under the Agreement.

#### ANNEXURE CONTINUING SHAREHOLDERS

Executed as a DEED the day and year first before written.

For the Covenantor

\_\_\_\_\_

By: [•] (*insert name*)

Title: [•] (*insert title*)

For the Continuing Shareholders

\_\_\_\_\_

By: [•] (*insert name*)

Title: [•] (*insert title*)

\_\_\_\_\_

By: [•] (*insert name*)

Title: [•] (*insert title*)

For the Transferring Shareholder

\_\_\_\_\_

By: [•] (insert name)

Title: [•] (insert title)

For the Company

By: [•] (insert name)

Title: [•] (insert title)

**SCHEDULE 9**  
**LIMITATION OF LIABILITY**

**1. Limitations on Quantum**

The liability of the Indemnifying Parties in respect of any Claim arising from or in relation to Clause 16:

- (a) shall not arise unless and until the amount of any individual Claim exceeds Rs. 20,00,000 (Rupees Twenty Lakh only). All Claims below Rs. 20,00,000 (Rupees Twenty Lakh Only) will be ignored and cannot be accumulated or claimed; and
- (b) shall not arise unless and until the aggregate amount of Claims, where the amount of each Claim is above Rs. 20,00,000 (Rupees Twenty Lakh only), exceed Rs. 5,00,00,000 (Rupees Five Crore only), in which case the Investors shall be entitled to claim the whole of such amount and not merely the excess; and
- (c) shall not (when aggregated with the amount of all other satisfied Claims) exceed the Investment Amount;

**2. Sunset Clause**

The Indemnifying Parties shall not be liable in respect of any Claim unless a Claim Notice is given by or on behalf of the Indemnified Parties to the Indemnifying Parties:

- (a) in the case of any Claim other than the Fundamental Representations and Warranties and Company Representations and Warranties related to Tax, by no later than 3 (three) years from the Closing Date;
- (b) in the case of a Claim under the Representations and Warranties related to Tax including but not limited to paragraph 19 of Part A of Schedule 5, by no later than 7 (seven) years or such higher period as prescribed under applicable Law from the Closing Date;

**3. No limit for certain breaches**

The provisions of Clause 1 (b) of this Schedule 9 regarding the basket shall not apply to any specific indemnities given pursuant to Clause 16.2 (j) and 16.2 (p). The provisions of Clauses 1 and 2 of this Schedule 9 shall not apply to any breach of (i) Fundamental Representations and Warranties (ii) any Warranty on account of fraud.

## SCHEDULE 10

### Terms and conditions of the CCPS Series 1

#### 1. Compulsorily Convertible Preference Shares

8,00,000 cumulative compulsorily convertible participating preference shares of series 1 having a face value of Rs. 10 (Rupees Ten only) each, aggregating to Rs. 80,00,000 (Rupees Eighty Lakhs only).

#### 2. Coupon

- (a) On each CCPS Series 1, an Investor shall be entitled to payment of 2% (two percent) coupon per annum on the subscription price thereof paid by the Investor, calculated from the date of payment of the subscription price by the Investor to the Company till the time the Investor holds the CCPS Series 1 ("**CCPS Series 1 Coupon**"). The CCPS Series 1 Coupon shall become due and payable by the Company to the CCPS Series 1 holder on 31st March of every Financial Year.

#### 3. Dividend

In the event any dividend (except the coupon declared and paid on CCPS Series 1's @2% (two percent) coupon is declared and distributed to the Shareholders of the Company, then on each CCPS Series 1, the Investors shall be entitled to payment of additional coupon, which is equivalent to dividend determined on a basis which ensures that the Investors receive additional dividend on the CCPS Series 1's had the CCPS Series 1 be deemed to have been converted into Equity Shares at such percentage equal to the percentage of dividend declared by the Company on the Equity Shares.

#### 4. Conversion

- (a) The CCPS Series 1 shall be convertible into a range as permitted in accordance with this Clause 4, such conversion band shall be referred to as the "**CCPS Series 1 Conversion Band**".
- (b) At the end of 10 (ten) years from the Closing Date, but not before end of the Financial Year 2016-17, the outstanding CCPS Series 1 shall be compulsorily convertible into Equity Shares in accordance with the applicable conversion ratio set out in (d) below *provided however that* the Investor shall have the right but not the obligation to convert all or any (at its sole discretion) of its outstanding CCPS Series 1 into Equity Shares from time to time in accordance with the applicable conversion ratio set out in (c) below.
- (c) Subject to (a) above, the CCPS Series 1 shall convert into such number of Equity Shares ("**CCPS Series 1 Conversion**") which within the CCPS Series 1 Conversion Band which shall be determined as per the principles below.

The Pre-Money Equity Valuation shall be determined as follows:

Based on the profit after tax earned by the Company for the Financial Year 2013-14

the Pre-Money Equity Valuation shall be determined ("Initial Pre-Money Equity Valuation");

| INITIAL PAT                                                                               | DEEMED PRE-MONEY EQUITY VALUATION                      | CCPS CONVERSION                                                                                                                                                                                                 | SERIES 1      |
|-------------------------------------------------------------------------------------------|--------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| NA – conversion ratio as of Closing Date                                                  | 1,85,00,00,000                                         | 6,47,941                                                                                                                                                                                                        | Equity Shares |
| PAT for Financial Year 2013-14 is less than Rs. 19,00,00,000 (Rupees Nineteen Crore only) | 9 (nine) multiple of PAT for Financial Year 2013-2014  | The conversion will be based on the deemed Pre-Money Equity Valuation. For illustration purposes, in case PAT for Financial Year 2013-14 is Rs. 18,00,00,000, then the number of Equity Shares will be 7,91,052 |               |
| PAT for Financial Year 2013-14 is less than Rs. 15,00,00,000 (Rupees Fifteen Crore only)  | 8 (eight) multiple of PAT for Financial Year 2013-2014 | The conversion will be based on the deemed Pre-Money Equity Valuation. For illustration purposes, in case PAT for Financial Year 2013-14 is Rs. 14,00,00,000 then the number of Equity Shares will be 13,49,024 |               |

Based on the Initial Pre-Money Equity Valuation determined as above, the Pre-Money Equity Valuation may be increased from the Initial Pre-Money Equity Valuation in the event that the Company achieves the following trigger events ("Trigger Events"):

| TRIGGER EVENTS                                                                                          | DEEMED PRE-MONEY EQUITY VALUATION                                   | CCPS CONVERSION | SERIES 1      |
|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|-----------------|---------------|
| PAT for Financial Year 2014-15 is more than Rs. 33,00,00,000 (Rupees Thirty Three Crore only)           | Rs. 2,10,00,00,000 (Rupees Two Hundred and Five Crore only)         | 4,24,183        | Equity Shares |
| PAT for Financial Year 2015-16 is more than Rs. 47,50,00,000 (Rupees Forty Seven Crore Fifty Lakh only) | Rs. 2,22,00,00,000 (Rupees Two Hundred and Seventeen Crore only)    | 3,36,601        | Equity Shares |
| PAT for Financial Year 2016-17 is more than Rs. 74,00,00,000 (Rupees)                                   | Rs. 2,32,00,00,000 (Rupees Two Hundred and Twenty Seven Crore only) | 2,71,058        | Equity Shares |

|                        |  |  |
|------------------------|--|--|
| Seven Four Crore only) |  |  |
|------------------------|--|--|

In the event where the Company is able to satisfy any of the Trigger Events as above, the Pre-Money Equity Valuation shall be increased from the Initial Pre-Money Equity Valuation to the amount corresponding to the relevant Trigger Event, and it is clarified that each Trigger Event shall be independent and shall be eligible to be achieved notwithstanding that an earlier Trigger Event has not been achieved. In the event that no Trigger Event is achieved, the Pre-Money Equity Valuation shall be deemed to be the Initial Pre-Money Equity Valuation as determined above.

It is further agreed between the Parties that in case in any financial year between 2013-2014 and 2016-17, if the PAT of such financial year is lower than the PAT of the preceding financial year then the Pre-Money Equity Valuation will be equal to Initial Pre-Money Equity Valuation.

- (d) In addition to what is provided under (c) above, in the event of the Investors being entitled to exercise any of its rights of exit under Clause 17 or 18 of the Agreement, or in the event of the Investors choosing to convert the CCPS Series 1 into Equity Shares pursuant to (b) above, the conversion of the CCPS Series 1 held by the Investors shall convert into Equity Shares as follows:

**Voluntary Conversion**

In the event of the Investors choosing to convert the CCPS Series 1 into Equity Shares pursuant to (b) above, the CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion. It is further agreed between the parties that unless required by Law, the Investors will not convert the CCPS Series 1 into Equity Shares before June 30<sup>th</sup> 2017. In case, conversion is required by law prior to 30<sup>th</sup> June 2017, the conversion mechanism will be mutually decided between the Promoters and the Investor holding such CCPS Series 1.

**IPO:**

The CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion

**Strategic Sale:**

The CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion

**Drag Along Right:**

The CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion

**Buy-Back Right/ Put Option:**

The CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion

**Event of Default**

The CCPS Series 1 shall convert into Equity Shares at the CCPS Series 1 Conversion

- (e) For exercising the above conversion (where it is at the option of the Investor), the

Investor shall deliver a notice to the Company with a copy to the Board, calling upon the Company to convert all or part of the CCPS Series 1.

- (f) On receipt of the above notice, the Company shall issue and allot the relevant number of Equity Shares against the surrender of the CCPS Series 1 within 15 (fifteen) days from receipt of the notice from the Investor and shall deliver the duly issued and stamped relevant number of share certificates to the Investor. The Company and the Promoters shall take all actions necessary to effectuate the conversion of the CCPS Series 1 into Equity Shares, including but not limited to (i) holding a Board meeting and General Meeting (if necessary) to authorise the issue of Equity Shares to the Investor; (ii) deliver to the Investor any cash equal to all accrued and unpaid CCPS Series 1 Coupon; (iii) register the name of the Investor as the legal and beneficial owner of the Equity Shares in the statutory registers of the Company. Within a period of 30 (thirty) days from the issue of Equity Shares pursuant to the conversion of the CCPS Series 1, if required by law, the Company shall and the Promoters shall cause the Company to, ensure that the relevant forms / filings are filed with the relevant Governmental Authorities, in accordance with applicable Law.
- (g) Fractional entitlements on conversion shall be rounded off to the nearest whole number. The conversion mentioned above should be adjusted to take into account any merger, amalgamation, reorganization, issue of bonus or stock splits.
- (h) Upon the occurrence of the Trigger Event, for determining the conversion ratio of CCPS Series 1, the Company, at its expense, shall promptly compute such PAT in accordance with these terms and conditions and prepare and furnish to each of the Investors a certificate signed by the statutory auditor.
- (i) The Equity Shares issued to the Investor post the conversion of the CCPS Series 1 shall rank *pari passu* in every respect with other Equity Shares and shall also carry such other rights as the Investor is entitled to under this Agreement.

#### 5. Non-Marketable

The CCPS Series 1 are Transferable (subject to the restrictions set out in the Agreement) but non-marketable i.e. they are not capable of being sold on a recognized stock exchange in or outside India. The Company does not intend to list the CCPS Series 1 on any recognized stock exchange in or outside India.

#### 6. CCPS Series 1 to rank *pari passu* with Equity Shares for certain purposes

- (a) Apart from voting rights at General Meetings and entitlement to dividend, the Investors' shareholding percentage in the Equity Share capital shall be computed on a Fully Diluted Basis assuming conversion of all the CCPS Series 1 and other Share Equivalents then outstanding for all other purposes. If at any time or from time to time there shall be a reorganization (including any split of shares, rights issue, bonus shares, consolidation, merger, amalgamation, demerger etc.) of the Equity Share capital, provision shall be made so that the Investors shall thereafter be entitled to receive upon conversion of the CCPS Series 1, the number of Securities or property of the Company or otherwise, which such Investors would have been entitled to receive upon such reorganization had the Investors converted their CCPS Series 1 immediately prior to such reorganization.

- (b) The Company will not, by amendment of its Articles or through any reorganization, recapitalization, transfer of assets, consolidation, merger, dissolution, issue or sale of securities or any other voluntary action, avoid or seek to avoid the observance or performance of any of the terms to be observed or performed hereunder by the Company, but will at all times in good faith assist in the carrying out of all the provisions herein and in the taking of all such action as may be necessary or appropriate in order to protect the conversion rights of the Investors against impairment.



## SCHEDULE 11

### Terms and conditions of the CCPS Series 2

#### 1. Compulsorily Convertible Preference Shares

47,00,000 cumulative compulsorily convertible participating preference shares having a face value of Rs. 10 (Rupees Ten only) each, aggregating to Rs. 4,70,00,000 (Rupees Four Crore Seventy Lakhs only).

#### 2. Coupon

- (a) On each CCPS Series 2, an Investor shall be entitled to payment of 2% (two percent) coupon per annum on the subscription price thereof paid by the Investor, calculated from the date of payment of the subscription price by the Investor to the Company till the time the Investor holds the CCPS Series 2 ("**CCPS Series 2 Coupon**"). The CCPS Series 2 Coupon shall become due and payable by the Company to the CCPS Series 2 holder on 31st March of every Financial Year.

#### 3. Dividend

In the event any dividend (except to the dividend declared and paid on CCPS Series 2 @2% (two percent) coupon) is declared and distributed to the Shareholders of the Company, then on each CCPS Series 2, the Investors shall be entitled to payment of additional dividend determined on a basis which ensures that the Investors receive additional dividend on the CCPS Series 2 had the CCPS Series 2 be deemed to have been converted into Equity Shares at such percentage equal to the percentage of dividend declared by the Company on the Equity Shares.

#### 4. Conversion

- (a) The CCPS Series 2 shall be convertible into a lower range of Equity Shares as set out under (c) hereunder ("**the Variable CCPS Series 2 Lower End**") and at a higher end to 9,400,000 Equity Shares ("**CCPS Series 2 Higher End Conversion**"), such conversion band shall be referred to as the "**CCPS Series 2 Conversion Band**".
- (b) At the end of 10 (ten) years from the Closing Date, but not before end of the Financial Year 2017, the outstanding CCPS Series 2 shall be compulsorily convertible into Equity Shares in accordance with the applicable conversion ratio set out in (d) below *provided however that* the Investor shall have the right but not the obligation to convert all or any (at its sole discretion) of its outstanding CCPS Series 2 into Equity Shares from time to time in accordance with the applicable conversion ratio set out in (c) below.
- (c) Subject to (a) above, the minimum number of Equity Shares into which the CCPS Series 2 will convert ("**CCPS Series 2 Lower End Conversion**") will be determined which will be a number within the Variable CCPS Series 2 Lower End of the CCPS Series 2 Conversion Band as per the principles below.

The Pre-Money Equity Valuation shall be determined as follows:

Based on the profit after tax earned by the Company for the Financial Year 2013-14 the Pre-Money Equity Valuation shall be determined ("Initial Pre-Money Equity Valuation"):

| INITIAL PAT                                                                               | DEEMED PRE-MONEY EQUITY VALUATION                      | CCPS SERIES 2 LOWER END CONVERSION                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------------|--------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| NA – conversion ratio as of Closing Date                                                  | 1,85,00,00,000                                         | 38,06,654 Equity Shares                                                                                                                                                                                            |
| PAT for Financial Year 2013-14 is less than Rs. 19,00,00,000 (Rupees Nineteen Crore only) | 9 (nine) multiple of PAT for Financial Year 2013-2014  | The conversion will be based on the deemed Pre-Money Equity Valuation.<br>For illustration purposes, in case PAT for Financial Year 2013-14 is Rs. 18,00,00,000 then the number of Equity Shares will be 46,47,432 |
| PAT for Financial Year 2013-14 is less than Rs. 15,00,00,000 (Rupees Fifteen Crore only)  | 8 (eight) multiple of PAT for Financial Year 2013-2014 | The conversion will be based on the deemed Pre-Money Equity Valuation.<br>For illustration purposes, in case PAT for Financial Year 2013-14 is Rs. 14,00,00,000 then the number of Equity Shares will be 79,25,513 |

Based on the Initial Pre-Money Equity Valuation determined as above, the Pre-Money Equity Valuation may be increased from the Initial Pre-Money Equity Valuation in the event that the Company achieves the following trigger events ("Trigger Events"):

| TRIGGER EVENTS                                                                                          | DEEMED PRE-MONEY EQUITY VALUATION                                   | CCPS SERIES 2 LOWER END CONVERSION |
|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|------------------------------------|
| PAT for Financial Year 2014-15 is more than Rs. 33,00,00,000 (Rupees Thirty Three Crore only)           | Rs. 2,10,00,00,000 (Rupees Two Hundred and Five Crore only)         | 32,31,141 Equity Shares            |
| PAT for Financial Year 2015-16 is more than Rs. 47,50,00,000 (Rupees Forty Seven Crore Fifty Lakh only) | Rs. 2,22,00,00,000 (Rupees Two Hundred and Seventeen Crore only)    | 30,05,346 Equity Shares            |
| PAT for Financial Year 2016-17 is more than Rs. 74,00,00,000 (Rupees Seven Four Crore only)             | Rs. 2,32,00,00,000 (Rupees Two Hundred and Twenty Seven Crore only) | 28,36,842 Equity Shares            |

In the event where the Company is able to satisfy any of the Trigger Events as above,

the Pre-Money Equity Valuation shall be increased from the Initial Pre-Money Equity Valuation to the amount corresponding to the relevant Trigger Event, and it is clarified that each Trigger Event shall be independent and shall be eligible to be achieved notwithstanding that an earlier Trigger Event has not been achieved. In the event that no Trigger Event is achieved, the Pre-Money Equity Valuation shall be deemed to be the Initial Pre-Money Equity Valuation as determined above.

It is further agreed between the Parties that in case in any financial year between 2013-2014 and 2016-17, if the PAT of such financial year is lower than the PAT of the preceding financial year then the Pre-Money Equity Valuation will be equal to Initial Pre-Money Equity Valuation.

- (d) In addition to what is provided under (c) above, in the event of the Investors being entitled to exercise any of its rights of exit under Clause 17 or 18 of the Agreement, or in the event of the Investors choosing to convert the CCPS Series 2 into Equity Shares pursuant to (b) above, the conversion of the CCPS Series 2 held by the Investors shall, at the option of the Investors, the conversion shall be restricted to convert into Equity Shares as follows:

**Voluntary Conversion**

In the event of the Investors choosing to convert the CCPS Series 2 into Equity Shares pursuant to (b) above, the CCPS Series 2 shall convert into Equity Shares at the CCPS Series 2 Lower End Conversion. It is further agreed between the parties that unless required by law, the Investors will not convert CCPS Series 2 into Equity Shares before June 30<sup>th</sup> 2017. In case, conversion is required by law prior to 30<sup>th</sup> June 2017, the conversion mechanism will be mutually decided between the Promoters and the Investor holding such CCPS Series 2.

**IPO:**

The CCPS Series 2 shall convert into Equity Shares at the CCPS Series 2 Lower End Conversion

**Strategic Sale:**

The CCPS Series 2 shall convert into Equity Shares at the CCPS Series 2 Lower End Conversion

**Drag Along Right:**

The CCPS Series 2 shall convert into Equity Shares at the CCPS Series 2 Lower End Conversion

**Buy-Back Right/ Put Option:**

In the event of the Investor becoming entitled to exercise the Buy-Back Right, or becoming entitled to require the Promoter to acquire any of the Investor Securities, the CCPS Series 2 shall be converted into Equity Shares as follows:

The CCPS Series 2 shall convert into such number of Equity Shares in accordance with Clause 17.4 of the Agreement.

### Event of Default

The CCPS Series 2 shall convert into Equity Shares at the CCPS Series 2 Lower End Conversion

- (e) For exercising the above conversion (where it is at the option of the Investor), the Investor shall deliver a notice to the Company with a copy to the Board, calling upon the Company to convert all or part of the CCPS Series 2.
- (f) On receipt of the above notice, the Company shall issue and allot the relevant number of Equity Shares against the surrender of the CCPS Series 2 within 15 (fifteen) days from receipt of the notice from the Investor and shall deliver the duly issued and stamped relevant number of share certificates to the Investor. The Company shall take all actions necessary to effectuate the conversion of the CCPS Series 2 into Equity Shares, including but not limited to (i) holding a Board meeting and General Meeting (if necessary) to authorise the issue of Equity Shares to the Investor; (ii) deliver to the Investor any cash equal to all accrued and unpaid CCPS Series 2 Coupon; (iii) register the name of the Investor as the legal and beneficial owner of the Equity Shares in the statutory registers of the Company. Within a period of 30 (thirty) days from the issue of Equity Shares pursuant to the conversion of the CCPS Series 2, if required by law, the Company shall and the Promoters shall cause the Company to, ensure that the relevant forms / filings are filed with the relevant Governmental Authorities, in accordance with applicable Law.
- (g) Fractional entitlements on conversion shall be rounded off to the nearest whole number. The conversion mentioned above should be adjusted to take into account any merger, amalgamation, reorganization, issue of bonus or stock splits.
- (h) Upon the occurrence of the Trigger Event, for determining the conversion ratio of CCPS Series 2, the Company, at its expense, shall promptly compute such PAT in accordance with these terms and conditions and prepare and furnish to each of the Investors a certificate signed by the statutory auditor setting forth such adjustment and showing in detail the facts upon which such adjustment is based.
- (i) The Equity Shares issued to the Investor post the conversion of the CCPS Series 2 shall rank *pari passu* in every respect with other Equity Shares and shall also carry such other rights as the Investor is entitled to under this Agreement.

### 5. Non-Marketable

The CCPS Series 2 are Transferable (subject to the restrictions set out in the Agreement) but non-marketable i.e. they are not capable of being sold on a recognized stock exchange in or outside India. The Company does not intend to list the CCPS Series 2 on any recognized stock exchange in or outside India.

### 6. CCPS Series 2 to rank *pari passu* with Equity Shares for certain purposes

- (a) Apart from voting rights at General Meetings, the Investors' shareholding percentage in the Equity Share capital shall be computed assuming conversion of all the CCPS Series 2 then outstanding for all other purposes. In the event any

dividend is declared or paid on the Equity Shares, the holders of outstanding CCPS Series 2 shall be entitled to receive an amount equivalent to dividend entitlement on such CCPS Series 2 on as is converted basis. If at any time or from time to time there shall be a reorganization (including any split of shares, rights issue, bonus shares, consolidation, merger, amalgamation, demerger etc.) of the Equity Share capital, provision shall be made so that the Investors shall thereafter be entitled to receive upon conversion of the CCPS Series 2, the number of Securities or property of the Company or otherwise, which such Investors would have been entitled to receive upon such reorganization had the Investors converted their CCPS Series 2 immediately prior to such reorganization.

- (b) The Company will not, by amendment of its Articles or through any reorganization, recapitalization, transfer of assets, consolidation, merger, dissolution, issue or sale of securities or any other voluntary action, avoid or seek to avoid the observance or performance of any of the terms to be observed or performed hereunder by the Company, but will at all times in good faith assist in the carrying out of all the provisions herein and in the taking of all such action as may be necessary or appropriate in order to protect the conversion rights of the Investors against impairment.

SCHEDULE 12

ANTI DILUTION ENTITLEMENT

New Conversion Price for Investment Amount ("NCP") =  $IA/E * ((A+B) / (A+C))$

Anti-dilution number of Shares to be received by the Investors ("ADS") =  $(IA/NCP)-E$

IA = Investment Amount

E = Aggregate of Investor Purchase Shares and Equity Shares received by the Investors upon conversion of CCPS Series 1 and CCPS Series 2

A = Equity Shares outstanding on a Fully-Diluted Basis prior to the Dilutive Issuance

B = Equity Shares issuable (on a Fully-Diluted Basis) if the Dilutive Issuance has been made at the price as determined in Schedule 10 and/or Schedule 11

C = Equity Shares issued (on a Fully-Diluted Basis) at the Dilutive Issuance price

All calculations of the ADS shall be made to the nearest whole number. The Company shall not issue any fractional Equity Shares, and any fractions shall be rounded up to a whole number.

## SCHEDULE 13

### Dividend Policy

1. **Distribution of Dividend:** On and from the Completion Date, the Company shall make such payments to the Shareholders of the Company (including to the Investors in respect of the Investors Securities) as declared by the Board from time to time in accordance with the dividend policy as enumerated below.
2. **Distribution of dividend to the Investors:** The Company shall ensure that the dividend on the Investors Securities is determined on a basis which ensures that the Investors receive dividend on the Investors Securities had the Investors Securities be deemed to have been converted into Equity Shares.

## SCHEDULE 14

### Adjustments to PAT

The following adjustments shall be made to the PAT for the purpose of this Agreement:

1. Exclusions. The following shall be excluded while calculating PAT:
  - 1.1. All items of income which are not attributable to the Business of the Company and/or its Subsidiaries as set out below:
    - 1.1.1. Items arising from changes in accounting policy that have an impact of an increase/decrease in income and/or reduction/increase in expenses; except for financial year 2013-14.
    - 1.1.2. Items of the nature of income/loss arising out of disposal of fixed assets or investments;
    - 1.1.3. Any income arising out of profits from speculation. Any income arising out of profits from trading activities not in the ordinary course of business;
    - 1.1.4. Any income/loss arising out of non-recurring or extraordinary items not in the ordinary course of business unless explicitly permitted by the Investors as defined in GAAP 5 or otherwise;
    - 1.1.5. Any income arising out of reversal of provisions and/or write-back of items written off in earlier years, except for the amounts actually received;
    - 1.1.6. Any amounts received on account of settlement of any litigation not being amounts paid by the customers or any discounts/retentions/quantity discounts recovered from vendors/suppliers/service providers in the ordinary course of business;
    - 1.1.7. Any other income/loss of a non-recurring or non-operating nature not received in the ordinary course of business unless such activity is explicitly permitted by the Investors.
2. Inclusions. The following items shall be provided in full while calculating PAT:
  - 2.1. Receivables (excluding retention) due and outstanding for a period over 365 days as of the date of the balance sheet of the Company. For the purpose of this clause amount receivable in respect of the following clients be excluded:
    - Kohinoor CTNL Infrastructure Company
    - Kohinoor Planet Construction Pvt. Ltd.
  - 2.2. Retention amount outstanding, only in the cases where amount is due and not recovered to the extent of 75% of total retention amount in 2 years from its due date; Further, it is clarified due date for the respective project shall be calculated by adding defect liability period to the last billing date.



- 2.3. Overdue loans and advances outstanding as on March 31 of the Financial Year outstanding for a period of more than 365 days. For this, staff loans, staff advances, die deposits not settled, EMD, deposit & advances for properties, scaffolding deposits, refunds due from government and taxation authorities, and other running/regular accounts be not treated as loans and advances as they are recoverable in ordinary course of business or tax related assessments.
- 2.4. In the event the statutory auditors opine that any of the expenditure capitalized needs to be charged to the profit and loss account, the same shall be provided for while computing PAT. The opinion of the statutory auditors shall be final and binding on all Parties to this Agreement.

It is further clarified that adjustments shall not be made to the PAT on account of Income/Expenses arising out of Scrap Sales, Interest on FDs, Dividend received, Foreign exchange gain / loss due to LC / BG payments, rent received/paid on assets.

It is further agreed that PAT Adjustment stated above based on audited balance sheet of any financial year will be carried out in the same financial year only and not in any preceding financial year. For e.g.

- If any income arising from any speculation activity in financial year 2014-15 the same should get reflected as PAT adjustment only in the financial year 2014-2015.
- If any provision is made on account for debtors outstanding for more than 365 days in financial year 2014-2015, the same should get reflected as PAT adjustment only in the financial year 2014-2015.

## SCHEDULE 15

### Anti-Corruption Guidelines

The purpose of these guidelines is to clarify the meaning of the terms "Corrupt Practices", "Fraudulent Practices", "Coercive Practices", "Collusive Practices" and "Obstructive Practices" in the context of Company's operations.

#### 1. Corrupt Practices

A "Corrupt Practice" is the offering, giving, receiving or soliciting, directly or indirectly, of anything of value to influence improperly the actions of another party.

##### Interpretation

- A. Corrupt practices are understood as kickbacks and bribery. The conduct in question must involve the use of improper means (such as bribery) to violate or derogate a duty owed by the recipient in order for the payer to obtain an undue advantage or to avoid an obligation. Antitrust, securities and other violations of law that are not of this nature are excluded from the definition of corrupt practices.
- B. It is acknowledged that foreign investment agreements, concessions and other types of contracts commonly require investors to make contributions for bona fide social development purposes or to provide funding for infrastructure unrelated to the project. Similarly, investors are often required or expected to make contributions to bona fide local charities. These practices are not viewed as Corrupt Practices for purposes of these definitions, so long as they are permitted under local law and fully disclosed in the payer's books and records. Similarly, an investor will not be held liable for corrupt or fraudulent practices committed by entities that administer bona fide social development funds or charitable contributions.
- C. In the context of conduct between private parties, the offering, giving, receiving or soliciting of corporate hospitality and gifts that are customary by internationally-accepted industry standards shall not constitute corrupt practices unless the action violates applicable law.
- D. Payment by private sector persons of the reasonable travel and entertainment expenses of public officials that are consistent with existing practice under relevant law and international conventions will not be viewed as Corrupt Practices.
- E. The World Bank Group does not condone facilitation payments. For the purposes of implementation, the interpretation of "Corrupt Practices" relating to facilitation payments will take into account relevant law and international conventions pertaining to corruption.

#### 2. Fraudulent Practices

A "Fraudulent Practice" is any action or omission, including misrepresentation that knowingly or recklessly misleads, or attempts to mislead, a party to obtain a financial or other benefit or to avoid an obligation.

##### Interpretation

- A. An action, omission, or misrepresentation will be regarded as made recklessly if it is made

with reckless indifference as to whether it is true or false. Mere inaccuracy in such information, committed through simple negligence, is not enough to constitute a "Fraudulent Practice" for purposes of this Agreement.

- B. Fraudulent Practices are intended to cover actions or omissions that are directed to or against a World Bank Group entity. It also covers Fraudulent Practices directed to or against a World Bank Group member country in connection with the award or implementation of a government contract or concession in a project financed by the World Bank Group. Frauds on other third parties are not condoned but are not specifically sanctioned in IFC, MIGA, or PRG operations. Similarly, other illegal behaviour is not condoned, but will not be considered as a Fraudulent Practice for purposes of this Integrity Policy.

3. Coercive Practices

A "Coercive Practice" is impairing or harming, or threatening to impair or harm, directly or indirectly, any party or the property of the party to influence improperly the actions of a party.

Interpretation

- A. Coercive Practices are actions undertaken for the purpose of bid rigging or in connection with public procurement or government contracting or in furtherance of a Corrupt Practice or a Fraudulent Practice.
- B. Coercive Practices are threatened or actual illegal actions such as personal injury or abduction, damage to property, or injury to legally recognizable interests, in order to obtain an undue advantage or to avoid an obligation. It is not intended to cover hard bargaining, the exercise of legal or contractual remedies or litigation.

4. Collusive Practices

A "Collusive Practice" is an arrangement between two or more parties designed to achieve an improper purpose, including to influence improperly the actions of another party.

Interpretation

Collusive Practices are actions undertaken for the purpose of bid rigging or in connection with public procurement or government contracting or in furtherance of a Corrupt Practice or a Fraudulent Practice.

5. Obstructive Practices

An "Obstructive Practice" is (i) deliberately destroying, falsifying, altering or concealing of evidence material to the investigation or making of false statements to investigators, in order to materially impede a World Bank Group investigation into allegations of a corrupt, fraudulent, coercive or collusive practice, and/or threatening, harassing or intimidating any party to prevent it from disclosing its knowledge of matters relevant to the investigation or from pursuing the investigation, or (ii) acts intended to materially impede the exercise of Investors access to contractually required information in connection with a World Bank Group investigation into allegations of a corrupt, fraudulent, coercive or collusive practice.

Interpretation

Any action legally or otherwise properly taken by a party to maintain or preserve its regulatory, legal or constitutional rights such as the attorney-client privilege, regardless of whether such action had the effect of impeding an investigation, does not constitute an Obstructive Practice.

#### General Interpretation

A person should not be liable for actions taken by unrelated third parties unless the first party participated in the prohibited act in question.

**SCHEDULE 16**

**Recommendations of Environment and Social Due-Diligence Report.**

**Environmental and Social Action Plan**

| Key Areas                                               | Key Corrective Actions                                                                                                                                                                                                                                      | Measurable Outcomes                                                                                                                                                                                    | Reference in PS Table | Indicative Timelines                                                                                        | Implementation Role         |
|---------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-------------------------------------------------------------------------------------------------------------|-----------------------------|
| <b>A. Corrective actions to be taken up on priority</b> |                                                                                                                                                                                                                                                             |                                                                                                                                                                                                        |                       |                                                                                                             |                             |
| <b>Corporate Level</b>                                  | Amendment in Registration under Shop and Establishments Act for inclusion of 103 employees;                                                                                                                                                                 | Amended Shop and Establishment Certificate                                                                                                                                                             | Section 1.3           | Within 2 month Application to be made prior to disbursement                                                 | GWS management              |
| <b>Existing Ambernath Facility</b>                      | Updated Consent to Operate. capturing all activities including DG set, hazardous waste etc.*<br><br>* It was informed that GWS has submitted the application for renewal of CTO immediately after site visit without including DG set and hazardous wastes. | Updated Consent to Operate including:<br>- DG set;<br>- Empty sealant catalyst containers as hazardous waste;<br>- Inclusion of sealant residues (if found hazardous after detailed chemical analysis) | Section 1.3           | Three months for determining the chemical nature of sealants used onsite and applying for amendment in CTO. | GWS management, EHS manager |
|                                                         | Obtain a Principal Employer Certificate under the Contract Workers (Regulation and Abolition) Act, 1970                                                                                                                                                     | Principal Employer certificate of registration                                                                                                                                                         | Section 1.3           | Within 2 month. Application to be made prior to disbursement                                                | GWS management              |
| <b>Proposed Ambernath</b>                               | -The company will not initiate                                                                                                                                                                                                                              | Valid permits, NOCs, license                                                                                                                                                                           | Section 1.3           | Permits, NOCs, Licenses -                                                                                   | CEO and                     |

| Key Areas                  | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Measurable Outcomes                                                                                                                                                                                   | Reference in PS Table | Indicative Timelines                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Implementation Role                              |
|----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| Facility                   | any site level work unless it received all necessary permits, approvals and NOCs from relevant authorities.                                                                                                                                                                                                                                                                                                                                                                                                                    | etc.                                                                                                                                                                                                  |                       | prior to initiating relevant activity at new proposed facility                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | project head                                     |
| Installation project sites | <p><b>Installation Project Sites</b></p> <p>GWS to obtain a contract labour license under the Contract Workers (Regulation and Abolition) Act, 1970*</p> <p>Obtain a certificate of registration under the Building and Other Construction Work (Regulation and Employment and Conditions of Service) Act, 1996.</p> <p>*It was observed during visit to World One site that there was delay in receiving Form-V from the Project developer and as GWS has recently received Form-V, it is in the process of submitting an</p> | <p>Contract Labour License and Certificate of Registration under the Building and Other Construction Work (Regulation and Employment and Conditions of Service) Act, 1996, if applicable for site</p> | Section 1.3           | <p>Submission of application for License and Certificate of Registration within 2 weeks from receipt of Form-V from Principal Employer.</p> <p>For all operational project sites, in addition to above two approvals, other necessary registration/certification/licenses will be secured, as and when applicable.</p> <p>For all new sites GWS will ensure that such Work Orders for mobilization are through written or electronic communication.</p> <p>GWS will take following steps with regard to the process of obtaining licence to employ contract labours in its site-work:</p> <ol style="list-style-type: none"> <li>Post receipt of the work order, GWS to issue a notice to the Principal Employer requesting issuance for Form-V at least 15 days prior to initiating work on site;</li> <li>Thereafter GWS will once in every fortnight after issuance of notice,</li> </ol> | GWS management and respective site/project heads |

| Key Areas | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                 | Measurable Outcomes                                                         | Reference in PS Table | Indicative Timelines                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Implementation Role |
|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
|           | <p>application for the licence.</p> <p>It was reported by GWS that they are often directed to initiate the work at site by Builders. GWS mostly uses sub-contractors to supply labour to carry out the on-site installation works. The process of registration under Contract Labour Act and to obtain the certificates/Licences runs in parallel.</p> |                                                                             |                       | <p>follow-up in writing with the Principal Employer for Form-V;</p> <p>c. GWS to ensure that GWS or its sub-contractors as the case may be, should get the contract labour license within 2 months of the receipt of Form-V;</p> <p>d. GWS to stop the work at site post 2 months if the contract labour license is not received. GWS will also intimate the Principal Employer regarding stoppage of work.</p> <p>GWS will not engage on a third assignment with those principal employers, who in past two assignments did not provide documents that it requested in writing (such as Form-V) required to ensure compliance to applicable labour statutes.</p> |                     |
|           | GWS should seek a declaration from their sub-contractors on engaging interstate migrant workers as part of their contract document. The contract document should specify that the obligations                                                                                                                                                          | Declaration from Sub contractor on engagement of interstate migrant workers | Section 1.3           | Prior to initiation of construction work                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | GWS management      |

| Key Areas      | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                                                                 | Measurable Outcomes | Reference in PS Table | Indicative Timelines | Implementation Role |
|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------|----------------------|---------------------|
|                | under the Inter State Migrant Workers Act will be met by the sub-contractor, if applicable. The contract agreement will also include clause for action to be taken in case of violation.                                                                                                                                                                                                               |                     |                       |                      |                     |
| Legal Register | <p>Prepare a Legal Register to keep a track of the validity of existing licenses and applicability of any additional regulations. The regulatory compliance requirements of permits obtained should also be a part of this register.</p> <p>A document pertaining to legal register was shared with ERM dated 20.03.2014 which indicates that GWS had started process of preparing legal register.</p> | Legal Register      | Section 1.3           | Within 1 month       | GWS management      |

#### B. Other corrective actions

| Corporate Level |                                                        |                                                                            |  |                            |                                         |
|-----------------|--------------------------------------------------------|----------------------------------------------------------------------------|--|----------------------------|-----------------------------------------|
| EHSMS policy    | Company will formulate and implement a corporate EHSMS | <ul style="list-style-type: none"> <li>Updated corporate policy</li> </ul> |  | 2 months from disbursement | MD/CEO signoff on new policy statements |



| Key Areas          | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Measurable Outcomes                                                            | Reference in PS Table | Indicative Timelines | Implementation Role                             |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|-----------------------|----------------------|-------------------------------------------------|
|                    | <p>policy/upgrade existing policy to include the following-</p> <ul style="list-style-type: none"> <li>- For any construction/work site, GWS will undertake necessary regulatory processes to secure all statutory approvals and licenses including contract labour license from the labour commissioner.</li> <li>-company will not use the services of subcontractors who violate any labour law</li> <li>-Vertigo test of all workers, including that of contractors, who are required to work at height shall be mandatory prior to site mobilization.</li> </ul> |                                                                                |                       |                      |                                                 |
| Management Systems | <p>The existing management systems to be upgraded to include</p> <ul style="list-style-type: none"> <li>• Monitoring mechanism for tracking regulatory compliance</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"> <li>• Updated management system;</li> </ul> | Section 1.1, 1.3, 1.5 | Within 4 months      | GWS management with aid of external consultant. |

| Key Areas | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                                         | Measurable Outcomes                                                                   | Reference in PS Table      | Indicative Timelines | Implementation Role |
|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|----------------------------|----------------------|---------------------|
|           | <p>requirements (Environment, labour and Health and safety) for GWS and their contractors;</p> <ul style="list-style-type: none"> <li>Grievance redressal system;</li> <li>Procedures and safety standards such that the upgraded system is certifiable to OHSAS 18001 for all site/project work company undertakes and its current activities at fabrication unit.</li> </ul> |                                                                                       |                            |                      |                     |
| HR Manual | Develop the HR manual that is under preparation to cover aspects such as clear policies on leave, overtime, retrenchment, promotion, rights of employees, wages/salaries, statutory allowances and benefits,                                                                                                                                                                   | <ul style="list-style-type: none"> <li>HR manual</li> <li>Training records</li> </ul> | Section 1.1, 2.1, 2.2, 2.9 | Within 4 months      | GWS Management      |

| Key Areas                                            | Key Corrective Actions                                                                                                                                                                                                                                                             | Measurable Outcomes                                                                                                                                                                                                                                                                                           | Reference in PS Table           | Indicative Timelines                                                                                                                                                                                                        | Implementation Role |
|------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
|                                                      | grievance handling, reporting and redressal, policy for security personnel<br>Outline procedures for the same and communicate to all employees and workers.                                                                                                                        |                                                                                                                                                                                                                                                                                                               |                                 |                                                                                                                                                                                                                             |                     |
| <b>Ambernath Facility Level Recommendations</b>      |                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                               |                                 |                                                                                                                                                                                                                             |                     |
| <b>Environmental Monitoring</b>                      | <ul style="list-style-type: none"> <li>Ambient air and noise monitoring to be conducted at facility;</li> <li>Submission of Environmental Statement to MPCB.</li> </ul>                                                                                                            | <ul style="list-style-type: none"> <li>Environmental monitoring report;</li> <li>Environmental Statement</li> </ul>                                                                                                                                                                                           | Section 1.3, 1.5, 3.1           | <p>Initially, Environmental monitoring within 3 months and later on frequency (quarterly/ half yearly/ yearly) to be decided on basis on initial results.;</p> <p>Submission of annual Environmental Statement to MPCB.</p> | GWS management      |
| <b>Improvements in Labour and Working Conditions</b> | <ul style="list-style-type: none"> <li>Improve the working conditions and housekeeping such drinking water facilities, space for storing worker's belongings, rest/ to have lunch etc. in accordance with the Maharashtra Factory Rules, 1963.</li> <li>Communicate the</li> </ul> | <ul style="list-style-type: none"> <li>Improved drinking water, sanitation facilities and designated space for storing worker's belongings.</li> <li>A designated space for rest/ lunch with drinking water and sanitation facilities at the proposed new facility;</li> <li>Improved housekeeping</li> </ul> | Section 2.2, 2.3, 2.4, 2.8, 2.9 | <p>Improvement in labour conditions at existing facility within 2 months and subsequent regular monitoring;</p> <p>Designated space for workers in the new fabricating facility;</p>                                        | GWS Management      |

| Key Areas                          | Key Corrective Actions                                                                                                                                                                                                                                                                                                                                                                                    | Measurable Outcomes                                                                                                                                                                                 | Reference in PS Table | Indicative Timelines                                                                                     | Implementation Role         |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|----------------------------------------------------------------------------------------------------------|-----------------------------|
|                                    | procedures of the Grievance redressal system outlined in the HR manual at the facility level.                                                                                                                                                                                                                                                                                                             | g as per the Maharashtra Factory Rules, 1963.<br>• Established grievance redressal system.                                                                                                          |                       |                                                                                                          |                             |
| <b>Material Management</b>         | <ul style="list-style-type: none"> <li>• Improve housekeeping in the storage area for raw materials and waste/scraps etc.;</li> <li>• Display of hazardous nature and precautionary measures for sealant handling in local language in working area;</li> <li>• Sealant residue analysis to know the category of residue (hazardous or non hazardous), so that it is disposed off accordingly.</li> </ul> | <ul style="list-style-type: none"> <li>• Good housekeeping;</li> <li>• Display of hazardous nature and precautionary measures for sealant handling;</li> <li>• Sealant residue analysis;</li> </ul> | Section 3.1, 3.4, 4.2 | <p>Within 1 month and regular inspection thereafter;</p> <p>Sealant residue analysis within 2 months</p> | GWS Management; EHS manager |
| <b>Community Health and Safety</b> | <ul style="list-style-type: none"> <li>• Ensure that contractors are aware and follows GWS vehicle traffic and safety guidelines</li> </ul>                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"> <li>• Records for road safety trainings given to transporters</li> </ul>                                                                                         | Section 4.1           | Within 2 months and regular monitoring thereafter.                                                       | GWS Management; Contractors |

| Key Areas                                              | Key Corrective Actions                                                                                                                                                                                                                                                                           | Measurable Outcomes                                                                                                                                        | Reference in PS Table | Indicative Timelines              | Implementation Role                |
|--------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-----------------------------------|------------------------------------|
|                                                        | as provided in safety manual to reduce risks and impacts during transportation of raw materials and finished products onsite as well as offsite.                                                                                                                                                 |                                                                                                                                                            |                       |                                   |                                    |
| <b>Installation Project Site Level Recommendations</b> |                                                                                                                                                                                                                                                                                                  |                                                                                                                                                            |                       |                                   |                                    |
| <b>Improvements in Labour and Working Conditions</b>   | <ul style="list-style-type: none"> <li>At installation sites, where GWS has liberty to provide area for their workmen to rest and have food, ensure that the location is away from any stored materials and have sanitation facilities.</li> <li>Improvement in sanitation facilities</li> </ul> | <ul style="list-style-type: none"> <li>Separate space for workmen to rest and have food (if GWS is responsible for providing these facilities).</li> </ul> | Section 2.3           | During installation work at site. | GWS management                     |
| <b>H&amp;S Improvement</b>                             | Specific work related risk assessment and associated control measures to minimize the severity of risk needs to be identified in a                                                                                                                                                               | <ul style="list-style-type: none"> <li>Risk assessment sheet duly signed by working team and site In charge;</li> </ul>                                    | Section 2.8           | Prior to any work undertaken      | EHS manager and Project Developer. |

| Key Areas | Key Corrective Actions                                                                                                                   | Measurable Outcomes | Reference in PS Table | Indicative Timelines | Implementation Role |
|-----------|------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------|----------------------|---------------------|
|           | detailed and practical manner by applying hierarchy of/ combination of controls such as engineering control, administrative control etc. |                     |                       |                      |                     |

## SCHEDULE 17

### LIST OF SPECIFIC PROPERTIES

- Residential Flat - 2101, 21<sup>st</sup> Floor, Silver Oak Tower, Raheja Willows, Akurli Road, Kandivali (East), Mumbai - 400101 - The Company will sell this property in the market within 24 months from the Closing Date.
- Residential Flat - 502, 5<sup>th</sup> Floor, A Wing, Building No. 3, Raheja Green Co-operative Housing Society, Borivali (East), Mumbai - 400 066 - The Company will sell this property in the market within 24 months from the Closing Date.
- Residential Flat - 2903, 29<sup>th</sup> Floor, Indiabulls Sky, Jupiter Mill Compound, Senapati Bapat Marg, Elphiston Road, Mumbai - 400 035 - The Company has paid some advance to the developer for purchasing this flat. The Promoters / Promoter Group will reimburse such advance without any interest within 6 (six) months from the Closing Date to the Company and will be entitled to purchase this flat and execute necessary agreement in respect thereof in Promoters / Promoter Group's name. Post this transfer there will not be any further claim to the Promoters / Promoter Group.
- Residential Flat - 2808, 28<sup>th</sup> Floor, Indiabulls Sky Suites, Elphiston Mill Compound, Senapati Bapat Marg, Elphiston Road, Mumbai - 400 035. - The Company has paid some advance to the developer for purchasing this flat. The Promoters / Promoter Group will reimburse such advance without any interest within 6 (six) months from the Closing Date to the Company and will be entitled to purchase this flat and execute necessary agreement in respect thereof in Promoters / Promoter Group's name. Post this transfer there will not be any further claim to the Promoters / Promoter Group.
- Industrial Plot with shed- A-102, Additional Ambarnath Industrial Area, MIDC, Thane - This property will be transferred by the Company in favour of the Promoters / Promoter Group at book value or MIDC value, whichever is higher subject to transfer expenses within 36 months from the Closing Date. It is further clarified that the payment on account of this property shall be received from the Promoters / Promoter Group within 24 months from the date of signing.

**SCHEDULE 18**

**LIST OF ANCILLARY ENTITIES**

Mr. Jawahar Hemrajani

| Sr. No. | Name of the Companies/Firms                 | Nature of Interest |
|---------|---------------------------------------------|--------------------|
| 1.      | M. J. Coaters Private Limited*              | Member & Director  |
| 2.      | GWS Fabricators Private Limited             | Member & Director  |
| 3.      | GWS Engineers & Fabricators Private Limited | Member & Director  |
| 4.      | M. J. Aluminium Private Limited             | Member & Director  |
| 5.      | Jaysons Chemicals and Gases Private Limited | Member & Director  |
| 6.      | M. J. Enterprises                           | Partner            |
| 7.      | M. J. Infotech                              | Partner            |
| 8.      | GWS Infotech                                | Partner            |

Mr. Kamlesh Choudhari

| Sr. No. | Name of the Companies/Firms                 | Nature of Interest |
|---------|---------------------------------------------|--------------------|
| 1.      | Murano Corp Private Limited                 | Member & Director  |
| 2.      | GWS Fabricators Private Limited             | Member & Director  |
| 3.      | GWS Engineers & Fabricators Private Limited | Member & Director  |
| 4.      | Atrium Glass Galleria                       | Partner            |
| 5.      | Murano Ceramica                             | Proprietor         |
| 6.      | Murano Veneers Private Limited              | Member & Director  |
| 7.      | GWS Infotech                                | Partner            |

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# SCHEDULE 19

## Related party transactions – existing activities

| Name of Related Party                   | Existing Related party Activities                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| GWS Engineers and Fabricators Pvt. Ltd. | <p>All types of Fabrication of:</p> <ul style="list-style-type: none"> <li>• MS Brackets</li> <li>• GI Trays</li> <li>• Aluminium Trays</li> <li>• Aluminium Flashings</li> <li>• GI Flashings</li> <li>• MS Structures</li> <li>• Aluminium Structures</li> </ul> <p>Project &amp; factory Fabrication<br/>All sorts of Sheet Metal Fabrication</p>                        |
| M. J. Coaters Pvt. Ltd.                 | <p>All types of wet and dry coatings that include:</p> <ul style="list-style-type: none"> <li>• Powder Coating</li> <li>• PVDF Coating</li> <li>• Wood Finish Coating</li> </ul> <p>Metalizing</p>                                                                                                                                                                          |
| Atrium Glass Galleria                   | <p>Supply of:</p> <ul style="list-style-type: none"> <li>• All types of Glasses that include: <ul style="list-style-type: none"> <li>○ Toughened Glass</li> <li>○ Non Toughened Glass</li> <li>○ Heat Strengthened Glass</li> <li>○ Laminated Glass</li> <li>○ Ceramic Frit</li> <li>○ DGU</li> </ul> </li> <li>• Hardware for Doors , Windows &amp; Accessories</li> </ul> |

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# SCHEDULE 20

## Conversion Illustration

*purely for illustrative purposes only*

Deemed Pre Money Equity Valuation = Rs. 185,00,00,000

| Particulars               | IBEF IIA      | IBEF II      |
|---------------------------|---------------|--------------|
| Equity shares - primary   | 3,806,654     | 647,941      |
| No. of instrument         | 4,700,000     | 800,000      |
| Primary shareholding      | 19.58%        | 3.33%        |
| Secondary shareholding    | 2.92%         | 5.42%        |
| <b>Total shareholding</b> | <b>22.50%</b> | <b>8.75%</b> |

| @185 Pre-Money Valuation | No. of shares     | Shareholding   | Investors shareholding | Price per share |
|--------------------------|-------------------|----------------|------------------------|-----------------|
| Promoters                | 13,363,786        | 68.750%        |                        |                 |
| Secondary - offshore     | 566,950           | 2.917%         |                        | 123.47          |
| Secondary - domestic     | 1,052,904         | 5.417%         |                        | 123.47          |
| Primary - Offshore       | 3,806,654         | 19.583%        | 31.2500%               | 123.47          |
| Primary - Domestic       | 647,941           | 3.333%         |                        | 123.47          |
| <b>Total Shares</b>      | <b>19,438,235</b> | <b>100.00%</b> |                        |                 |

| @185 Pre-Money Valuation | Offshore - Higher Band | Offshore - Lower Band | Offshore - Higher Band |
|--------------------------|------------------------|-----------------------|------------------------|
| Promoters                | 13,363,786             |                       |                        |
| Secondary - offshore     | 566,950                | 566,950               | 566,950                |
| Secondary - domestic     | 1,052,904              |                       |                        |
| Primary - Offshore       | 9,400,000              | 3,806,654             | 9,400,000              |
| Primary - Domestic       | 647,941                |                       |                        |
| <b>Total Shares</b>      | <b>25,031,581</b>      | <b>19,438,235</b>     | <b>25,031,581</b>      |
| % Conversion offshore    |                        | 22.50%                | 39.82%                 |

| CCPS Series 2 16% IRR - Conversion stake at FMV in INR in Crores |        |        |        |        |        |
|------------------------------------------------------------------|--------|--------|--------|--------|--------|
| 300                                                              | 400    | 500    | 600    | 700    | 800    |
| 44.68%                                                           | 33.51% | 26.81% | 22.34% | 19.15% | 16.76% |
| Final Stake Conversion as per Investment Agreement               |        |        |        |        |        |
| 39.82%                                                           | 33.51% | 26.81% | 22.50% | 22.50% | 22.50% |

Deemed Pre Money Equity Valuation = Rs. 210,00,00,000

| Particulars               | IBEF IIA      | IBEF II      |
|---------------------------|---------------|--------------|
| Equity shares - primary   | 3,231,141     | 424,183      |
| No. of instrument         | 4,700,000     | 800000       |
| Primary shareholding      | 17.34%        | 2.28%        |
| Secondary shareholding    | 3.04%         | 5.65%        |
| <b>Total shareholding</b> | <b>20.38%</b> | <b>7.92%</b> |

| @210 Pre- Money Valuation | No. of shares     | Shareholding   | Investors shareholding | Price per share |
|---------------------------|-------------------|----------------|------------------------|-----------------|
| Promoters                 | 13,363,786        | 71.70%         |                        |                 |
| Secondary - offshore      | 566,950           | 3.04%          |                        | 123.47          |
| Secondary - domestic      | 1,052,904         | 5.65%          |                        | 123.47          |
| Primary - Offshore        | 3,231,141         | 17.34%         | 28.30%                 | 145.46          |
| Primary - Domestic        | 424,183           | 2.28%          |                        | 188.60          |
| <b>Total Shares</b>       | <b>18,638,964</b> | <b>100.00%</b> |                        |                 |

| @210 Pre-Money Valuation | Offshore - Higher Band | Offshore - Lower Band | Offshore - Higher Band |
|--------------------------|------------------------|-----------------------|------------------------|
| Promoters                | 13,363,786             |                       |                        |
| Secondary - offshore     | 566,950                | 566,950               | 566,950                |
| Secondary - domestic     | 1,052,904              |                       |                        |
| Primary - Offshore       | 9,400,000              | 3,231,141             | 9,400,000              |
| Primary - Domestic       | 424,183                |                       |                        |
| Total Shares             | 24,807,823             | 18,638,964            | 24,807,823             |
| % Conversion offshore    |                        | 20.38%                | 40.18%                 |

| CCPS Series 2 16% IRR - Conversion stake at FMV in INR in Crores |        |        |        |        |        |
|------------------------------------------------------------------|--------|--------|--------|--------|--------|
| 300                                                              | 400    | 500    | 600    | 700    | 800    |
| 44.68%                                                           | 33.51% | 26.81% | 22.34% | 19.15% | 16.76% |
| Final Stake Conversion as per Investment Agreement               |        |        |        |        |        |
| 40.18%                                                           | 33.51% | 26.81% | 22.34% | 20.38% | 20.38% |

Deemed Pre Money Equity Valuation = Rs. 222,00,00,000

| Particulars             | IBEF IIA  | IBEF II |
|-------------------------|-----------|---------|
| Equity shares - primary | 3,005,346 | 336,601 |
| No. of instrument       | 4,700,000 | 800000  |
| Primary shareholding    | 16.40%    | 1.84%   |
| Secondary shareholding  | 3.09%     | 5.75%   |
| Total shareholding      | 19.49%    | 7.58%   |

| @222 Pre-Money Valuation | No. of shares | Shareholding | Investors shareholding | Price per share |
|--------------------------|---------------|--------------|------------------------|-----------------|
| Promoters                | 13,363,786    | 72.92%       |                        |                 |
| Secondary - offshore     | 566,950       | 3.09%        |                        | 123.47          |
| Secondary - domestic     | 1052904       | 5.75%        |                        | 123.47          |
| Primary - Offshore       | 3005346       | 16.4%        | 27.08%                 | 156.39          |
| Primary - Domestic       | 336601        | 1.84%        |                        | 237.67          |
| Total Shares             | 18,325,587    | 100.00%      |                        |                 |

| @222 Pre-Money Valuation | Offshore - Higher Band | Offshore - Lower Band | Offshore - Higher Band |
|--------------------------|------------------------|-----------------------|------------------------|
| Promoters                | 13,363,786             |                       |                        |
| Secondary - offshore     | 566,950                | 566,950               | 566,950                |
| Secondary - domestic     | 1,052,904              |                       |                        |
| Primary - Offshore       | 9,400,000              | 3,005,346             | 9,400,000              |
| Primary - Domestic       | 336,601                |                       |                        |
| Total Shares             | 24,720,241             | 18,325,587            | 24,720,241             |
| % Conversion offshore    |                        | 19.49%                | 40.32%                 |

| CCPS Series 2 16% IRR - Conversion stake at FMV in INR in Crores |        |        |        |        |        |
|------------------------------------------------------------------|--------|--------|--------|--------|--------|
| 300                                                              | 400    | 500    | 600    | 700    | 800    |
| 44.68%                                                           | 33.51% | 26.81% | 22.34% | 19.15% | 16.76% |
| Final Stake Conversion as per Investment Agreement               |        |        |        |        |        |
| 40.32%                                                           | 33.51% | 26.81% | 22.34% | 19.49% | 19.49% |

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Deemed Pre Money Equity Valuation = Rs. 232,00,00,000

| Particulars             | IBEF IIA  | IBEF II |
|-------------------------|-----------|---------|
| Equity shares - primary | 2,836,842 | 271,058 |
| No. of instrument       | 4,700,000 | 800000  |
| Primary shareholding    | 15.68%    | 1.50%   |
| Secondary shareholding  | 3.13%     | 5.82%   |
| Total shareholding      | 18.81%    | 7.32%   |

| @232 Pre-Money Valuation | No. of shares | Shareholding | Investors shareholding | Price per share |
|--------------------------|---------------|--------------|------------------------|-----------------|
| Promoters                | 13,363,786    | 73.87%       |                        |                 |
| Secondary - offshore     | 566,950       | 3.13%        |                        | 123.47          |
| Secondary - domestic     | 1,052,904     | 5.82%        |                        | 123.47          |
| Primary - Offshore       | 2,836,842     | 15.68%       | 26.13%                 | 165.68          |
| Primary - Domestic       | 271,058       | 1.50%        |                        | 295.14          |
| Total Shares             | 18,091,540    | 100.00%      |                        |                 |

| @232 Pre-Money Valuation | Offshore - Higher Band | Offshore - Lower Band | Offshore - Higher Band |
|--------------------------|------------------------|-----------------------|------------------------|
| Promoters                | 13,363,786             |                       |                        |
| Secondary - offshore     | 566,950                | 566,950               | 566,950                |
| Secondary - domestic     | 1,052,904              |                       |                        |
| Primary - Offshore       | 9,400,000              | 2,836,842             | 9,400,000              |
| Primary - Domestic       | 271,058                |                       |                        |
| Total Shares             | 24,654,698             | 18,091,540            | 24,654,698             |
| % Conversion offshore    |                        | 18.81%                | 40.43%                 |

| CCPS Series 2 16% IRR - Conversion stake at FMV in INR in Crores |        |        |        |        |        |
|------------------------------------------------------------------|--------|--------|--------|--------|--------|
| 300                                                              | 400    | 500    | 600    | 700    | 800    |
| 44.68%                                                           | 33.51% | 26.81% | 22.34% | 19.15% | 16.76% |
| Final Stake Conversion as per Investment Agreement               |        |        |        |        |        |
| 40.43%                                                           | 33.51% | 26.81% | 22.34% | 19.15% | 18.81% |

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# SAMPLE IRR CALCULATION

|                                 |               |                               |
|---------------------------------|---------------|-------------------------------|
| CCPS Series 2 - higher band     |               |                               |
| Equity shares - primary         | 9,400,000     |                               |
| No. of instrument               | 4,700,000     | conversion @Rs 50/- per share |
| i. Offshore Inv amount in Rs    | 540,000,000   |                               |
| ii. Offshore Inv value @16% IRR | 1,340,500,000 |                               |

| Periods    | 10-Jun-14     | 31-Mar-15 | 31-Mar-16 | 31-Mar-17 | 31-Mar-18 | 31-Mar-19 | 31-Mar-20 | 31-Dec-20 |
|------------|---------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Cash flows | -54.0         | 0.757     | 0.94      | 0.94      | 0.94      | 0.94      | 0.94      | 134.05    |
| IRR        | 16.00%        |           |           |           |           |           |           |           |
|            | 1,340,500,000 |           |           |           |           |           |           |           |

## IRR CALCULATION FOR 24%

| Periods    | 10-Jun-14     | 31-Mar-15 | 31-Mar-16 | 31-Mar-17 | 31-Mar-18 | 31-Mar-19 | 31-Mar-20 | 31-Dec-20 |
|------------|---------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Cash flows | -54.0         | 0.757     | 0.94      | 0.94      | 0.94      | 0.94      | 0.94      | 210.10    |
| IRR        | 24.00%        |           |           |           |           |           |           |           |
| INR        | 2,101,000,000 |           |           |           |           |           |           |           |